

**GREEN
CLIMATE
FUND**

Meeting of the Board
9 – 13 November 2020
Virtual meeting
Provisional Agenda Item 11

GCF/B.27/02/Add.09

21 October 2020

Consideration of funding proposals – Addendum IX

Funding proposal package for FP149

Summary

This addendum contains the following six parts:

- a) A funding proposal summary titled “Green Climate Financing Facility for Local Financial Institutions in Latin-America” submitted by the Corporación Andina de Fomento (CAF);
- b) No-objection letters issued by the national designated authority(ies) or focal point(s);
- c) Environmental and social report(s) disclosure;
- d) Independent Technical Advisory Panel’s assessment;
- e) Response from the accredited entity to the independent Technical Advisory Panel’s assessment; and
- f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled titled “Green Climate Financing Facility for Local Financial Institutions in Latin-America” submitted by the Corporación Andina de Fomento (CAF) is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged or commercially sensitive information of the entity.

Table of Contents

Funding proposal submitted by the accredited entity	1
No-objection letters issued by the national designated authority(ies) or focal point(s)	74
Environmental and social report(s) disclosure	79
Independent Technical Advisory Panel's assessment	81
Response from the accredited entity to the independent Technical Advisory Panel's assessment	90
Gender documentation	92

Funding Proposal

Project/Programme title: Green Climate Financing Facility for LFIs in Latin-America

Country(ies): Latin America: Chile, Ecuador, Panamá and Peru.

Accredited Entity: Corporación Andina de Fomento (CAF – Development Bank of Latin America)

Date of first submission: 2018/07/19

Date of current submission 2019/11/01

Version number V.2.0



Contents

Section A	PROJECT / PROGRAMME SUMMARY
Section B	PROJECT / PROGRAMME INFORMATION
Section C	FINANCING INFORMATION
Section D	EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA
Section E	LOGICAL FRAMEWORK
Section F	RISK ASSESSMENT AND MANAGEMENT
Section G	GCF POLICIES AND STANDARDS
Section H	ANNEXES

Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

“FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]”

A. PROJECT/PROGRAMME SUMMARY			
A.1. Project or programme	Programme	A.2. Public or private sector	Private
A.3. Request for Proposals (RFP)	NA		
A.4. Result area(s)	Check the applicable GCF result area(s) that the <u>overall</u> proposed project/programme targets. For each checked result area(s), indicate the estimated percentage of <u>GCF budget</u> devoted to it. The total of the percentages when summed should be 100%.		
	Mitigation: Reduced emissions from: ☒ Energy access and power generation: ☐ Low-emission transport: ☒ Buildings, cities, industries and appliances: ☒ Forestry and land use: Adaptation: Increased resilience of: ☐ Most vulnerable people, communities and regions: ☐ Health and well-being, and food and water security: ☐ Infrastructure and built environment: ☐ Ecosystem and ecosystem services:		GCF contribution: <u>32%</u> <u>0%</u> <u>38%</u> <u>30%</u> NA% NA% NA% NA%
A.5. Expected mitigation impact	10,704,562 tCO ₂ eq	A.6. Expected adaptation impact	NA
			NA
A.7. Total financing (GCF + co-finance)	<u>USD 150.2 million</u>	A.9. Project size	Medium (50<X<250)
A.8. Total GCF funding requested	<u>USD 100 million</u>		
A.10. Financial instrument(s) requested for the GCF funding	Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8. ☒ Grant <u>USD 5 million</u> ☐ Equity <u>NA</u> ☒ Loan <u>USD 95 million</u> ☐ Results-based payment <u>NA</u> ☐ Guarantee <u>NA</u>		
A.11. Implementation period	5 years. Expected financing close is 5 years from the start date.	A.12. Total lifespan	10 years. (all funding returned) 20 years for total calculated impacts to be realized.
A.13. Expected date of AE internal approval	This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/programme, if available. Click or tap to enter a date.	A.14. ESS category	Medium (Category B)
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☐ No ☐	A.18. Is this FP included in the country programme?	Yes ☐ No ☐

A.19. Complementarity and coherence	<i>Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.</i> Yes ☒ No ☐
A.20. Executing Entity information	CAF – Development Bank of Latin America ¹ Boulevard Pacifica P.H. Oceanía Business Plaza Torre 2000 piso 27, Punta Pacífica Código postal 0832 Ciudad de Panamá Contact person: Maria Moreno, Principal Executive, Environment and Climate Change mmoreno@caf.com +5072975317
A.21. Executive summary (max. 750 words, approximately 1.5 pages)	
Energy and land use are two of the main sources of greenhouse gas (GHG) emissions in many Latin American countries. The objective of the Programme 'Green Climate Financing Facility for Local Financial Institutions (LFIs) in Latin America' is to reduce GHG emissions in this Region through locally financed and developed climate change projects in the renewable energy, energy efficiency and land use sectors. The Programme will achieve this by helping local market actors from the agriculture, forestry, commerce, industry and services sectors, overcome key barriers to climate change project development, including financial barriers – for example, smaller businesses do not have trusted relationships with mainstream commercial banks – as well as knowledge barriers, considering many LFIs have limited knowledge on how to assess climate change projects. The programme will make available to LFIs a Green Finance Credit Line; it will also implement ten grant-funded activities with a focus on awareness raising and technical support, including: climate change and mitigation awareness raising, matchmaking between LFIs, Technology and/or Solution Providers (TSP), and SMEs (including farmers); performance based payments for TSPs; technical support and capacity building for LFIs, SMEs and TSPs; and dissemination and learning. For this first Programme roll out, four countries will be targeted: Chile, Ecuador, Panamá and Perú, which have a combined population of 72 million. Each country was selected based on the strength of its existing climate policy; energy and land use project market sizes; uncrowded financial markets for local climate change projects, and the strength of existing CAF relationships with LFIs. Pending the success of this first programme, it could be likely replicated in other Latin American countries and in other regions. This Programme will achieve 10.70 million tCO₂eq in lifetime GHG emission reductions while training personnel at 11 LFIs in project assessment, 720 SMEs in project development, and increasing climate awareness among 36,420² other local market actors (e.g. SME employees, business owners benefitting from sub-loans, green TSPs, banks' credit managers, public officials, among others) at a total cost of USD \$14.03 per tCO₂eq avoided.	

¹ CAF is the overall executing entity for the programme.

GCF reimbursable proceeds will be channelled by CAF onto Local Financial Institutions (LFIs) for the purposes of funded activities.

Component 1 - Green finance credit line for LFIs

CAF will execute the planned activities in collaboration with Local Financial Institutions (LFIs) and other local and national actors.

Component 2 - Technical Support and Awareness Building

CAF will execute and carry out the planned activities under this component in collaboration with local actors.

² Approximately 30 people reached estimated per each project to be carried out over the 5-year project period

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

Strategic Context

Baselines:

The energy and land use sectors are responsible for majority of greenhouse gas emissions in many Latin American countries. It has been estimated that approximately 40% of GHG emissions are from agriculture, forestry and other land use (AFOLU) sector.³ Emissions from the energy sector vary substantially from country to country, yet the region's reliance on fossil fuels and growing energy needs imply that without the adoption of clean energy technologies that the sector will continue to contribute to increasing GHG emissions globally. Investments in low-carbon technologies and land use practices have been identified as effective investments for climate change mitigation, yet the adoption of such practices is limited due to the lack of green-lending for sustainable climate change mitigation projects (refer to Section B2 for a detailed description of the barriers limiting the establishment and adoption of green credit lines).

The following paragraphs provide a brief overview of each target country's GHG emissions profile, commitments to the United Nations Framework Convention on Climate Change (UNFCCC), as well as key development and sectoral strategies/ policies that are related to the energy and land use sectors. Please refer to *Annex 2 - Feasibility Study* for further details on National priorities of each country.

Panama

In terms of mitigation, Panama's Nationally Determined Contribution (NDC) to the UNFCCC highlights the importance of the energy and land use, land use change and forestry (LULUCF) sectors. Energy contributes 17.3% of national emissions, whereas LULUCF contributes to 80% of national emissions. The country's NDC further discusses its intention to contribute to the de-carbonization of the electric matrix, promoting renewable energies and supporting improvements in energy efficiency. It further discusses promoting reforestation, supporting the establishment of plantations, agroforestry systems, silvopastoral systems and agroforestry, as well as incorporating agricultural systems into measures to support the reforestation and restoration of ecosystems. By 2050 Panama aims for renewable energy to comprise 30% of all installed capacity, as compared to 7% in 2010.⁴ excluding hydropower In terms of LULUCF, Panama aims to have at least a 10% more CO₂ absorption capacity by 2050, as compared to the baseline scenario without NDC (and up to 80% more if international support is provided).⁵

National strategies and policies further demonstrate Panama's commitments to the energy and land use sectors. The 'Strategic Government Plan 2015-2019' includes measures to support low-emission development, as well as capacity development and technology transfer. The *National Energy Strategy 2015-2050*, States that electricity demand is expected to increase by more than six-fold between 2014 and 2050, and prioritizes early action with efficiency measures, and recognizes the role of small and medium renewable energy sources in meeting future demand. In terms of land use, the *Strategic Government Plan* identifies the agricultural sector as the top investment priority sector because it is an employment intensive sector that is characterized by low productivity. The Government further has a law on forest incentives from 2017, supporting agroforestry systems and plantation forestry amongst others as activities that have the potential to halt and reverse deforestation.

Ecuador

The country's National Climate Change Strategy 2012-2025 (ENCC) establishes the strategic and institutional basis for the generation of national climate change plans in prioritized sectors for mitigation and adaptation. Ecuador is also currently working on the development of a National Adaptation Plan and aims to develop a National Mitigation Plan.

Ecuador's NDC has addressed the five sectors prioritized in the ENCC. The lines of action in the Energy, Agriculture, Industrial Processes and Waste sectors result in an estimated GHG emission reduction potential of 9% compared to the trend scenario for 2025. In addition, a potential reduction of 20.9% over the same period could be achieved with the support of international cooperation. This would give way to an 11.9% increase in mitigation ambition in reference to the trend scenario for 2025. With respect to LULUCF, a reduction potential of 4% has been identified compared to the 2025

³ Calvin et al. 2016

⁴ <https://www.carbonbrief.org/paris-2015-tracking-country-climate-pledges>

⁵ Language provided in the Panama NDC:

<https://www4.unfccc.int/sites/ndcstaging/PublishedDocuments/Panama%20First/PANAMA%20NDC.pdf>

benchmark. With support of international cooperation, additional mitigation potential of 16% would provide an additional reduction of 20% compared to the benchmark level for 2025.

The present proposal contributes to the following NDC's lines of action and initiatives: boost the use of renewable energy (hydroelectricity, wind, solar, biogas), strengthen energy efficiency, in line with the National Energy Efficiency Plan by supporting equipment replacement and cogeneration in the industrial sector; promote sustainable livestock development; develop and implement sustainable agro-productive systems (agricultural and forestry), strengthen sustainable forest management; and support generation, exchange and dissemination of information to drive mitigation actions in the Industrial Processes sector.

Climate change adaptation and mitigation have been addressed through national policies since 2009 via Executive Decree 1815, and through the Inter-institutional Committee on Climate Change established in 2010, via Executive Decree 495. Furthermore, Ecuador has adopted the 2030 Agenda for Sustainable Development as a national policy through Executive Decree 371 from April 2018. Related to the energy sector, Ecuador's 2008 Constitution explicitly states that the government will promote the use of clean and alternative energy sources, in addition to energy efficiency, while providing access to public services, preserving the environment and maintaining food and water security. In terms of land use, the agricultural sector policy identifies various prioritized value chains: cocoa, coffee, dairy products, flowers and commercial forestry. The government has launched several programs and/or large projects focusing on strengthening these sectors that are further outline in the market study within Annex 2. Ecuador has also developed a REDD+ Action Plan to guide the implementation of the country's national REDD+ program, where supported measures include commercial reforestation as well as providing incentives to support the transition to sustainable production systems in non-forested areas.

Additionally, the country is implementing the Amazon Integral Program for Forest Conservation and Sustainable Production, PROAmazonía, an initiative of the Ministry of Environment (MAE), the Ministry of Agriculture and Livestock (MAG) and the United Nations Development Program (UNDP), funded by GCF and GEF. This Program focuses on reducing emissions from deforestation, the growth of the agricultural and livestock frontier, strengthening mitigation and adaptation efforts, forest protection and the promotion of bioenterprises. GCF co-financing provides targeted investment to control agricultural expansion into forest areas; optimize existing financial, economic mechanisms to implement agricultural and livestock production practices that reduce deforestation; align land-use zoning plans with national climate change-related targets; strengthen restoration, conservation and sustainable production in vulnerable watersheds; redesign public credit lines to orient them towards sustainable agricultural production practices; promote tax incentives for REDD-supportive activities; and strengthen purchasing policies for deforestation-free commodities, their certification and traceability⁶. This way, the proposed Program strategically aligns and complements Ecuador's actions to tackle climate change,

Peru

Peru's INDC highlights the importance of promoting renewable energy sources, reducing deforestation and forest degradation, maximizing social and environmental benefits of efficient and inclusive productive sectors and supporting sustainable natural resource management. Agriculture and forestry are priority areas for adaptation. Half of national emissions in Peru are attributed to LULUCF.⁷ By 2030, Peru aims to reduce GHG emissions by 30% below BAU levels (20% through domestic resources, 10% subject to the availability of international financing and the existence of favorable conditions). In this regard, 75 mitigation options distributed in the six emission sectors were presented. The Energy sector had the highest number of mitigation options, 25 (33.3%); followed by the LULUCF sectors (13; 17.3%).⁸

The *National Strategy on Climate Change* is the main instrument that guides the management of climate change in Peru. It provides guidance on climate change for national, sectoral and regional development plans and projects, including REDD+. The national policy proposes measures for a more rational management of greenhouse gas (GHG) emissions, better management of forests for increased carbon sequestration, and distribution of knowledge and information about climate change, among other topics. In terms of energy, the country's *National Energy Policy for the period 2010-2040 (Supreme Decree No 064-2010-EM)* sets the country's energy policy objectives, including: relying on a diversified energy matrix, promoting energy from renewable energy sources and promoting energy efficiency and developing an energy sector with minimum impact on the environment, including a reducing the sector's contribution to

⁶ <https://www.greenclimate.fund/sites/default/files/document/funding-proposal-fp019-undp-ecuador.pdf>

⁷ INDC Peru (2016)

⁸ Grupo de Trabajo Multisectorial de naturaleza temporal encargado de generar información técnica para orientar la implementación de las Contribuciones Nacionalmente Determinadas (GTM-INDC) INFORME FINAL, 17 de diciembre de 2018

national GHG emissions. The National Strategy on Forests and Climate Change (ENBCC) (2016) promotes the reduction of deforestation and degradation and the conservation of 54 million hectares of primary forests as national priority. Since 2016, the Government is working on a National Law on Climate Change that aims to set clear emission mitigation and adaptation trajectories across sectors, as a response to the Paris Climate Agreement (2015). The National Forest Law (29763) was approved in 2011 and includes the creation of the National Forest Service (SERFOR). It aims to sustainably develop a competitive forest industry in natural forests and plantations while conserving forests and wildlife resources. Peru is a high priority country for forest conservation and sustainable forest management for international donors, and many programs have been designed to address the high deforestation rates in different regions of the country (e.g. REDD+, FIP).

Peru has been implementing consultation meetings with different sectors to define, update and define an implementation plan for the NDCs in Peru, as mandated by the Paris Agreement. The monitoring of this and the definition of the next cycles will be under the competence of the High-Level Commission on Climate Change, recently created.

Chile

Chile's NDC notes that energy is the largest contributor to Chile's GHG emissions (75% of emissions), followed by agriculture (15%).⁹ LULUCF is an important sector for GHG mitigation. Identifies energy, agriculture land use land use change and forestry as priority sectors for mitigation in Chile. Chile aims to reduce GHG emissions by 30% (from 2007 levels) by 2030 (35-45% of these reductions are conditional international financial support). Chile was one of the first nations in Latin America to set long-range targets for adding clean generating capacity. This includes a clean energy mandate at 20% of generation by 2025.

Chile's *National Energy Agenda* (2014) aims to reduce marginal costs of electric energy production by 30% by 2018, integrate 20% of non-conventional renewable energies in the energetic matrix by 2025, and reduce energy consumption 20% by 2025. Chile has proposed to undertake Nationally Appropriate Mitigation Actions (NAMAs) in different areas to reach an emissions level 20% below BAU by 2020 (as projected from 2007). While climate-finance in Chile has had a stronger focus on the energy sector, national policies recognize the importance of climate change mitigation and adaptation measures within the land use sector. The Chilean Forestry Policy 2015-2035 recognizes the importance of sustainable forest management and reforestation within the country. Chile's current goal with the Forestry Sector is to restore 100,000 hectares of degraded land with its own resources. The government has committed to invest an estimated USD \$250 million, which would be for reforesting an area of at least 100,000 hectares of managed native forest by 2035. There is further a strong enabling environment in place for commercial forestry investments. In terms of agriculture, the Government Program on Agriculture 2014-2018 and other sectorial policies and initiatives includes measures to support climate change adaptation and mitigation, recognizing the importance of the sector to mitigate GHG emissions. Chile does not have suitable and competitive financing (proper tenor and interest rates) for small and medium size enterprises to implement sustainable energy or land use projects. The financial market provides good option for large corporations. This Programme aims to support LFI to incorporate specialized credit lines and measures to support SMEs to implement RE, EE and land-use projects.

Project / Programme Objective against Baseline

National Baselines

The following table provides an overview of key indicators for each country including their gross domestic product (GDP), total primary energy supply, emissions from fuel combustion, energy intensity and carbon intensity.

Table 1. Key baseline indicators, by target country¹⁰

Country	Gross Domestic Product (GDP) (billion USD \$)	Total Primary Energy Supply (million toe)	Emissions from fuel combustion (million tCO ₂ eq)	Energy Intensity (TPES/GDP) (toe/ thousand USD \$)	Carbon Intensity (CO ₂ /GDP) (kgCO ₂ / USD \$)
Panama	42.24	4.26	10.68	0.10	0.25
Peru	186.21	24.61	49.15	0.13	0.26

⁹ 2010 data from Chile's INDC (2015): http://portal.mma.gob.cl/wp-content/doc/2014_1IBA_Chile_Espanol.pdf

¹⁰ USD value from 2010

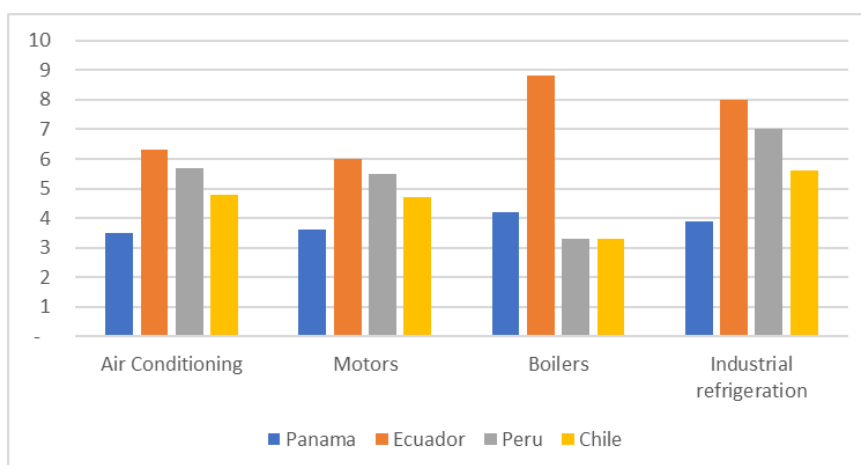
Ecuador	86.64 ¹¹	15.06	37.57	0.17	0.43
Chile	263.13	36.11	81.68	0.14	0.31

Source: International Energy Agency (Data from 2015)

Energy Efficiency Baselines

Small to medium energy efficiency investments in target countries have average simple paybacks ranging from four years for boilers to six years for industrial refrigeration (Figure 2). This is illustrative of the financial unattractiveness of energy efficiency to most SMEs since businesses generally require payback periods of two years or less.

Figure 1. Estimated payback (years) of small to medium energy efficiency measures in target countries

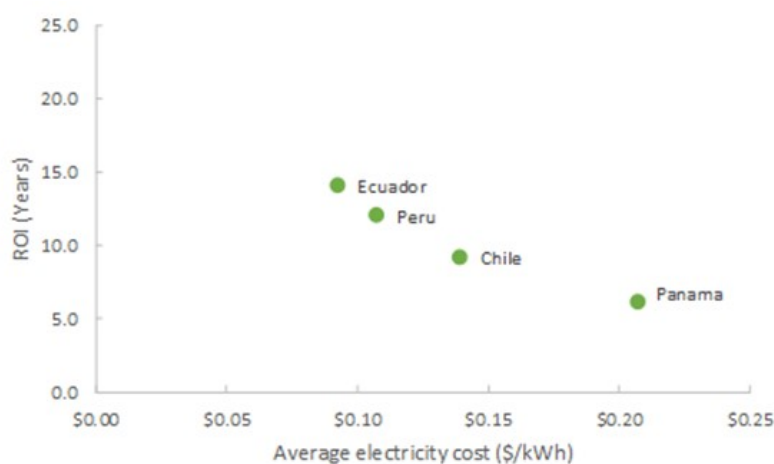


Source: Own analysis – assumptions included in Annex 3

Distributed renewable energy baseline

Distributed generation is often equally unattractive. For example, even in the target countries with the highest retail electricity costs (Panama), the return-on-investment for a 100kW distributed solar array is still 6 years (Figure 3).

Figure 2. Average electricity cost per kWh v. ROI for a 100-kW distributed solar system in target countries



Source: Own analysis – assumptions included in Annex 3

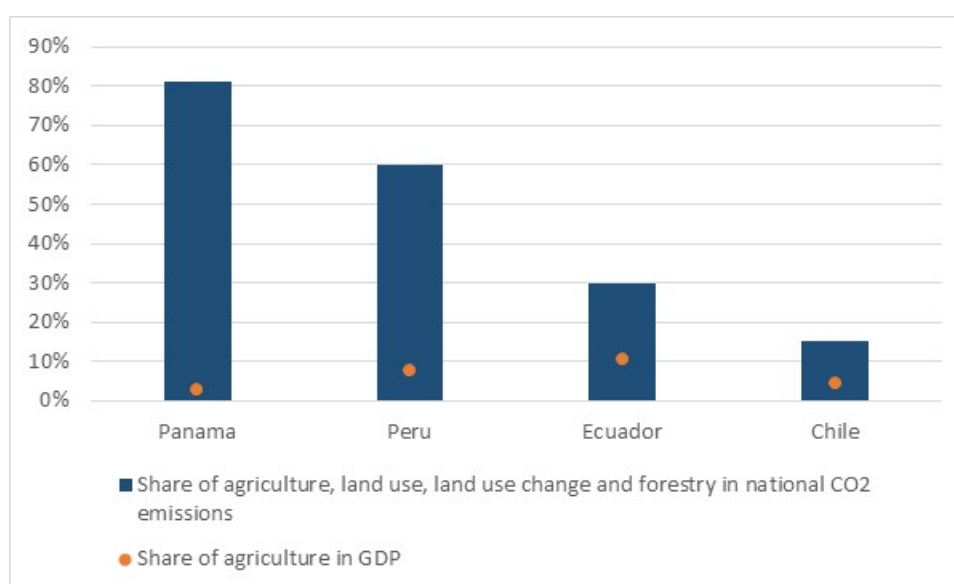
¹¹ PIB 2015 at constant prices of 2007 = 70.3 billion USD (Central Bank of Ecuador; <https://www.bce.fin.ec/index.php/boletines-de-prensa-archivo/item/909-la-econom%C3%ADa-ecuatoriana-creci%C3%B3-en-02-en-el-2015>)

Land use baseline

Agriculture, together with land use, land use change and forestry, is a major emitter of GHGs in all participating countries (Figure 4). In general, land use emissions represent a large share of total emissions in Latin America. On the one hand energy matrixes include large renewable energy sources, while on the other hand land use change in the form of deforestation further plays a dominant role in the region. While each country experiences unique trends, drivers and underlying causes of deforestation, often the agricultural sector is often attributed to some degree of deforestation and/or forest degradation. For example, in Ecuador, 99% of the forested area lost from 1990-2008 was converted from forest to agricultural land use (incl. livestock).¹²

The share of land use emissions within total country emissions varies however due to many factors. In Chile for example, the forestry sector is a carbon sink. This means that agricultural emissions are compensated by reductions in the forestry sector and the overall land use sector emissions are relatively low. The following figure gives an overview of land use emission shares in participating countries.

Figure 5. Share of agriculture, land use, land use change and forestry in national CO₂ emissions, and share of agriculture in GDP



The following table gives an overview of static land use sector emissions from the year 2015 as compared to annual land use GHG emission savings of the program, expressed in tCO₂eq.

Table 2. Baseline Land Use emissions and emission reductions with the Programme (tCO₂eq)

Country	Agriculture emissions	Land use emissions	Total annual baseline emissions	Annual emissions reduction with project
	(tCO ₂ eq)			
Panama	3,220,100	8,562,900	11,783,000	-168,900
Peru	23,523,100	72,039,000	95,562,100	-21,113
Ecuador	11,760,700	33,899,100	45,659,800	-142,643
Chile	12,837,700	-105,087,000	-92,249,300	-339,042

Source: FAOSTAT 2015, own calculations, a negative value indicates net emission savings

Programme outcomes against baseline

The overarching objective of the programme is to reduce greenhouse gas emissions in Latin America through locally financed and developed climate change projects. It will contribute to the following GCF results areas:

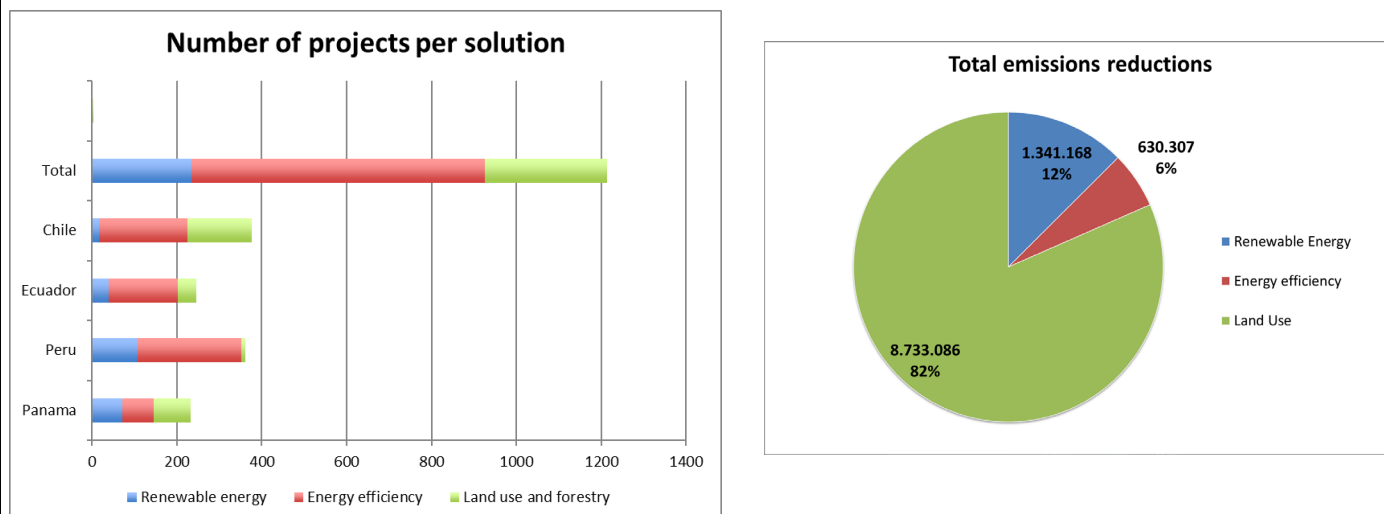
- M1.0: Reduced emissions through increased low-emission energy access and power generation, and

¹² Ministerio del Ambiente de Ecuador 2016

- M3.0: Reduced emissions from buildings, cities, industries and appliances
- M4.0: Reduced emissions from land use, deforestation, forest degradation and through sustainable forest management, and conservation and enhancement of forest carbon stocks.

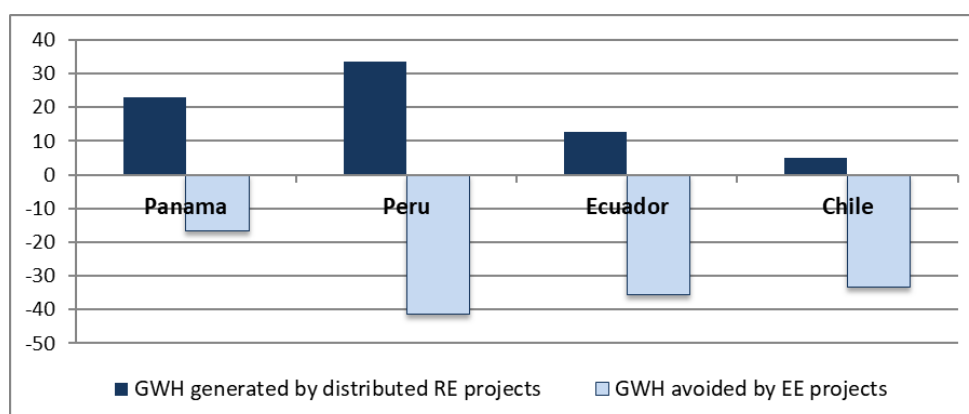
The Programme will help LFI and beneficiaries/SMEs overcome financial and market barriers to implementing climate change projects. The Programme is expected to finance nearly 1,214 local climate change projects in the four target countries. The distribution by project type is reflective of different country baselines and opportunities as documented in detail in the Market Assessment (Annex 2). Energy efficiency projects are forecasted to account for 57% of total projects, renewables 19%, and land use 24%. While land use accounts for a small share of anticipated projects, these projects are expected to account for 82% of the total GHG emissions mitigated within the Programme because of the cost-effectiveness of the sector and supported investments. However, it is important to highlight that the objective of the Programme is to engage Banks in financing green climate change solutions, requiring alignment with the demand and appetite from the banks whilst also finding a balanced distribution of funds between energy efficiency, renewable energy and low-carbon land use projects. A good distribution of financing (for renewable energy, energy efficiency, and low-carbon sustainable land use projects) allows banks to reduce their risk perception when committing to build a green financing product and allocate the funding requested to the Programme in a reasonable period of time. The projects financed through the programme are expected to result in the mitigation of up to 10.70 million tCO₂eq over a period of 20 years (Figure 9).

Figure 1. Climate change projects by target country and in total (left) and distribution of lifetime CO₂ mitigated by project type (right)



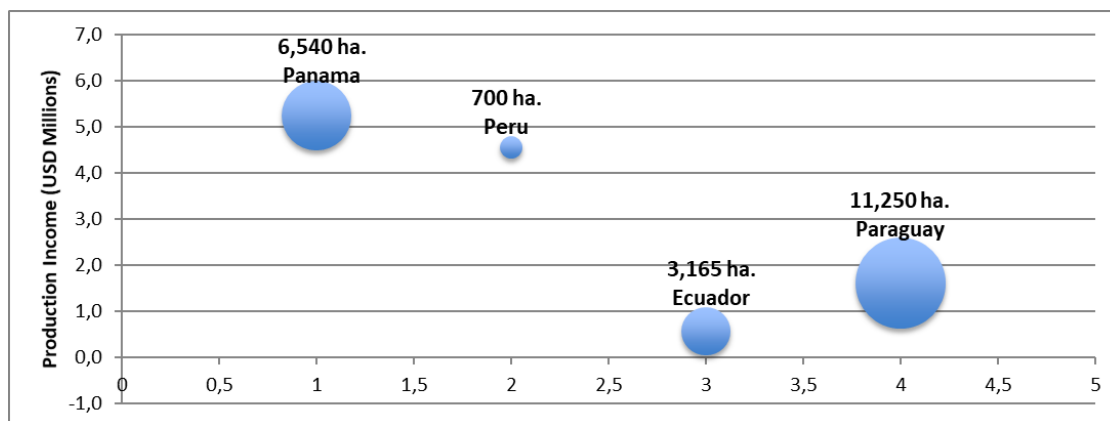
Distributed renewable energy projects are expected to generate 1,168 GWh total over the lifetime of the investments; conversely, energy efficiency projects are expected to save 1,270 GWh. Annually, this corresponds to generation of 74.47 GWh/year and savings from energy efficiency projects of 126.98 GWh/year. Figure 7 shows the annual impacts per country.

Figure 2. Annual energy generated and saved through the programme, by target country (GWh)



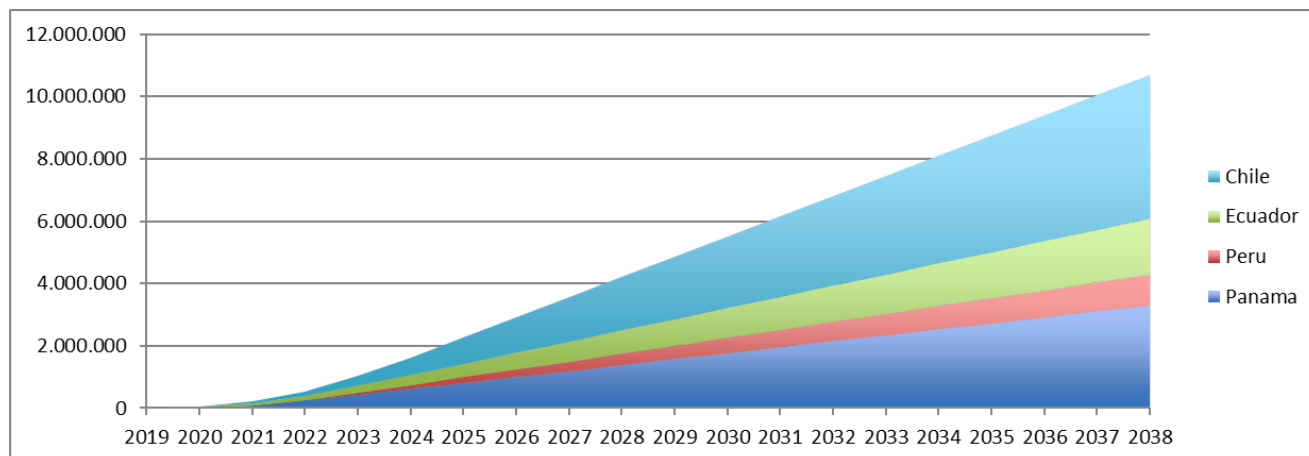
Beyond direct climate change mitigation benefits, the Programme will further generate diverse additional benefits. It will simultaneously increase land use sustainability and boost local economies. A conversion of 21,662 hectares (ha) of land area to sustainable uses is expected, with a value added of USD \$17,304 million in production income over the projects' lifetimes (Figure 8). Further project-specific investments can also have biodiversity benefits, reduce workplace hazards (such as the exposure to harmful agrochemicals), and adaptation benefits, among others.

Figure 3. Lifetime production income generated by sustainable land use projects (y-axis) and land area converted to sustainable use (bubble size)



Finally, the projects financed through the programme are expected to result in the mitigation of over 10,70 million tCO₂eq (Figure 9).

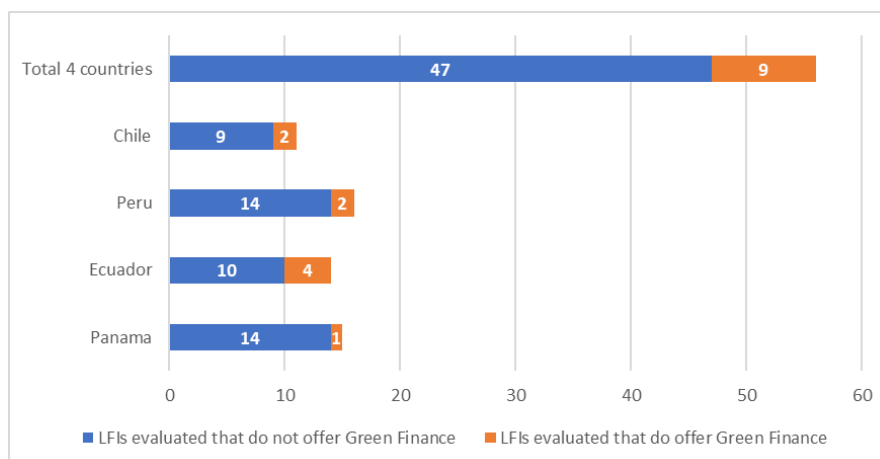
Figure 4. Lifetime emissions (tCO₂eq) mitigated as a result of the programme



Financial markets overview

Commercial banks can offer credit to SMEs for green projects through conventional credit lines, however very few LFIs have dedicated and specialized green financial products that allow them to identify, evaluate and finance these projects in a suitable way (Figure 10). There is a growing interest from LFIs to get involved in financing climate change projects, however there is a general lack of understanding by majority of LFIs on the market potential and characteristics of sustainable projects, resulting in the misalignment of credit evaluations and characteristics of financing provided. Only 16% of 56 LFIs evaluated by CAF in the four participant countries have dedicated green financial products. A detailed market assessment for the target countries and sectors has been prepared to inform Programme design (refer to Section 2.3 of the Market Assessment within Annex 2 for detailed information).

Figure 5. Number of LFI's evaluated by CAF that do and do not offer Green Finance (total=56)



Number of LFIs currently offering financing for climate change projects

The existing market for LFI-financed climate change projects in target countries is very small. Of the 9 LFIs evaluated that have dedicated green financial products, only two are specialized on land use while 7 focus on sustainable energy. Only 4 financial institutions offer green finance for both segments, sustainable energy and land use. For further details on market overview, please refer to Section 2 'Market assessment and baseline report' of the Feasibility Study.

Table 3: Number of LFIs offering green finance in target countries

Country	Number of LFIs	Type of products (energy &/or land use)
Panama	1	Both
Ecuador	4	Both
Peru	2	Both
Chile	2	Both

In this unfavourable context, the COVID-19 crisis has made the situation even more difficult. The participant countries have been impacted by the global outbreak and will need larger support for facing the economic downturn. In response, CAF has approved a USD 50 mm Emergency Loan to each of its country-members directed towards the health sector and a USD 2.500 million Emergency Credit Line which will allow authorities to contribute to the continuity of business operations and the recovery of their economies. The GCF funding will come to provide further support and generate synergies through this programme, at a key time for fostering post-crisis low-carbon development.

B.2. Theory of change (max. 1000 words, approximately 2 pages plus diagram)

Challenges and Barriers for Investing in Climate-Change Mitigation Projects

All participating countries have substantial energy and agricultural emissions. The forest sectors in three out of the four countries, except for Chile, contribute to GHG emissions as well. While there is a strong knowledge based on proven and effective low-carbon technologies and practices for the target sectors, it remains a challenge to scale up and properly incentivize their adoption due to various barriers.

One of the main barriers for investing in climate change mitigation technologies includes high upfront investment costs for low-GHG technologies and practices, often with unattractive payback periods. Practices with the highest mitigation potential in terms of emission savings are production systems that incorporate trees and sequester carbon in their woody biomass. At the same time, such systems take years (coffee and cocoa) or decades (high value timber plantations) to reach full harvest potential and generate little cash flow in the meantime. Conventional credit products are not designed to service such investments. While barely "profitable enough" in the short term, inefficient land use systems such as cattle raising on degraded land, are not profitable in the long run and incentivize area expansion, often

at the expense of forests. Sustainable intensification in the form of mitigation investments can reverse the trend if financial risks (high upfront cost, long paybacks) are overcome.

On the finance supply side, LFI's often do not have the technical skills or the financial backing needed to evaluate, finance and monitor climate change projects. Projects are also perceived by LFI's as being too risky, and thus many LFI's may not decide to develop green credit lines.

On the demand side – SMEs and farmers (end users) often do not fully understand how projects benefit them, or how to identify appropriate projects. End users often view new, climate friendly technologies as high risk. The high upfront costs of climate friendly solutions, and high cost of credit are common barriers to investments in climate friendly solutions.

When projects are identified, end users typically face high transaction costs and unattractive terms for project financing through larger commercial banks. Nonetheless, awareness of climate change issues and appropriate responses remains low among most market actors, as well as in the general population. This limits people's willingness and ability to adopt sustainable technologies and practices.

Other barriers include the lack of knowledge about green land use investments at the commercial LFI level, so that decision makers at LFI's are not in a position to create credit lines that service the above described project types. Apart from the perceived inherent risk, potential borrowers of climate loans also tend to have risk profiles that do not match LFI's' lending appetite. A better understanding of land use SME profiles, improving match making between LFI's and project developers, as well as supporting intermediation on a performance-based level, can help overcome this gap. In addition, local sustainable development opportunities are not yet equal for men and women in the region. Financial inclusion remains a challenge for many women globally, where there is a funding gap of \$287 billion for financing SMEs owned by women.¹³ It has been further estimated that 70% of women-owned SMEs in developing countries have inadequate or no access to financial services.¹⁴

The following table outlines how each barrier will be addressed by the proposed program, while figure 11 depicts the Programme's theory of change.

Additional challenges (such as financial needs, and needs for strengthening LFI's institutional capacity), are outlined in section D.4 Needs of recipient below. For further details on barriers related to women accessing funds, and how dedicated budget and activities have been assigned, please refer to Annex 8 - Gender Assessment and Action Plan.

Table 4. Key market barriers to local climate project development and how the programme addresses them

Market actor facing barrier	Barrier type	Barrier	How barrier will be addressed by programme
LFI's	Financial	LFI's have insufficient suitable capital (interest and tenor) to finance climate change projects in SMEs.	• Activity 1.1 - Green finance credit line: Will increase the volume of financing available for local projects.
TSPs, SMEs	Financial	TSPs/SMEs currently face high interest rates and unattractive loan tenor and grace periods to finance their commercial activities	• Activity 1.1 - Green finance credit line: The credit line for LFI's will have more attractive terms than are available through larger commercial banks.
TSPs, SMEs	Financial	TSPs/SMEs do not have trusted relationships with mainstream commercial banks, or their projects are too small to be of interest to commercial banks	• Activity 1.1.1 - Green finance credit line: Dispersing climate project financing through LFI's takes advantage of their capillarity, through their local presence and knowledge of local markets.
All	Knowledge	Lack of knowledge of the Programme and available financing as well as climate change, mitigation projects, targeted sectors and countries.	• Activity 2.1.1 - Climate change and mitigation awareness raising: workshops for LFI's, and potential beneficiaries SMEs and TSP.
All	Knowledge	Local market actors - including TSPs, LFI's and SMEs - do not have sufficient connections to get the help	• Activity 2.2.1 – Matchmaking between LFI's and TSPs: The programme will connect market actors to facilitate climate change projects. For example, the programme will connect SMEs with

¹³ IFC 2014

¹⁴ Goldman Sachs 2014

		they need to develop climate change projects	specific technology needs with appropriate TSPs.
TSPs, SMEs	Know-ledge	There is a lack of trust from SMEs on how to negotiate and deal with green climate investments. This generate lack of trust. Contractual arrangements between TSP and SME are not very clear to reduce risks for investors.	• Activity 2.2.2 – Country opportunities for standardized performance-based contracts: The objective is to help to standardize contractual arrangements and payments to the provider according to the performance.
LFIs	Know-ledge	LFIs do not have the tools or the knowledge to effectively evaluate the viability of climate change projects	• Activity 2.3.1.1 - Technical support for LFIs: Classroom and on-the-job training, and ongoing technical support for LFI personnel on project assessment and evaluation.
LFIs	Know-ledge	LFI need to strengthen their internal environmental and social risk management systems and gender policies to reduce risk and drive corporate engagements and green lending	• Activity 2.3.1.2 –Strengthening Environmental and Social risk management systems and skills: Strengthens internal environmental and social risk management processes and gender policies and sets the framework at participating LFI level to manage sub-borrower/end-user beneficiary risk
LFIs	Know-ledge	LFIs do not have the tools or the knowledge to effectively assess GHG baselines and MRV	• Activity 2.3.1.3 – Technical support for GHG baseline definition and MRV for LFIs: Development of MRV framework and training to strengthen skills among LFIs personnel.
TSPs, SMEs	Know-ledge	TSPs and SMEs do not have the tools or the knowledge to effectively identify climate change projects or understand their financial and non-financial benefits.	• Activity 2.3.2.1 - Technical Support for project development: trainings on mitigation projects, green business literacy for women-led SMEs, project pre-investment facility for SMEs.
TSPs, SMEs	Know-ledge	LFIs do not have the tools or the knowledge to effectively assess GHG baselines and MRV	• Activity 2.3.2.2 – Technical support for GHG baseline definition and MRV for SMEs and TSPs: workshops on GHG baseline and MRV.
All	Know-ledge	Actors need to access and manage information about the Programme in an effective manner.	• Activity 2.4.1 – Communication and visibility: communication and dissemination strategy, promotional material, programme website and information management platform, will allow to disseminate information on the Programme and have a platform for its general management.
All	Know-ledge	Actors have insufficient information about the learnings that can be taken from the implementation of mitigation measures through intermediation.	• Activity 2.4.2 Lessons learned and stakeholders' engagement activities: case studies, women-led SMEs success stories, learning workshops and targeted presentations for dissemination of lessons learned to key stakeholders will help to build alliances and exchange lessons learned.

Climate Change Context

- While emission levels and sources differ among countries, energy and land use activities (agriculture, forestry and other land use as well as land use, land use change and forestry) are often among the main sources of GHG emissions in many Latin American countries (including within the participating countries Panama, Ecuador, Peru, Chile, Paraguay and Uruguay)
- Investments in energy, including measures to improve energy efficiency as well as measures to support the adoption of renewable energy, can have a major impact to reduce GHG emissions
- Investments in low carbon and climate-resilient land use can lead to reduced emissions from agriculture, and further increase forest cover (through reforestation and integration of trees in production systems, improved production practices, as well as through reducing emissions from deforestation and forest degradation).

Baseline Situation:

- LFIs do not have the technical skills or the financial backing needed to evaluate, finance and monitor climate change projects.
- Climate change projects are often perceived by LFIs as being too risky.
- On the supply side, project promoters – such as SMEs and farms – often do not know how to identify projects, or fully understand how projects benefit them.
- When projects are identified, promoters typically face high transaction costs and unattractive terms for project financing through larger commercial banks.
- Awareness of climate change issues and appropriate responses is low among all market actors, as well as in the general population.
- Local sustainable development opportunities are not equal for men and women in the region.

Barriers...

- | | |
|---|---|
| <ul style="list-style-type: none"> Project promoters do not have trusted relationships with mainstream commercial banks, or their projects are too small to be of interest to commercial banks | <ul style="list-style-type: none"> Local market actors, including project promoters, LFIs and TSPs, do not have sufficient connections to get the help they need to develop climate change projects |
| <ul style="list-style-type: none"> Project promoters currently face high interest rates and unattractive loan tenor and grace periods to finance their commercial activities | <ul style="list-style-type: none"> Project promoters do not have the tools or the knowledge to effectively identify climate change projects or understand their financial and non-financial benefits |
| <ul style="list-style-type: none"> LFIs have insufficient capital to invest in climate change projects | <ul style="list-style-type: none"> LFIs do not have the ability to monitor and report on project results |
| <ul style="list-style-type: none"> The perceived level of risk of financing climate change projects is too high for LFIs | <ul style="list-style-type: none"> LFIs do not have the tool or the knowledge to effectively evaluate the financial viability of climate change projects |
| <ul style="list-style-type: none"> Project promoters have insufficient financial incentives to develop projects in the LAC region | <ul style="list-style-type: none"> Opportunities for sustainable development are not equal for men and women in Latin American countries |

Program Objective: To reduce greenhouse gas emissions through locally financed and developed climate change projects in Latin America.

Component 1: Green finance credit line for LFIs

- 1.1 Financially viable climate change mitigation projects are identified, and financed
 - 1.1.1 Green finance credit lines for LFIs

Component 2: Technical support and awareness building

- 2.1 Climate change and mitigation awareness raised
 - 2.1.1 Climate change and mitigation awareness raising
- 2.2 Enabling environment activities for development of mitigation projects
 - 2.2.1 Matchmaking between LFIs and TSPs
 - 2.2.2 Country opportunities for standardized performance-based contracts
- 2.3 Technical support and capacities built for LFIs, SMEs and TSPs
 - 2.3.1 Technical support for LFIs
 - 2.3.2 Technical support for SMEs/TSPs
- 2.4 Dissemination and learning reinforced
 - 2.4.1 Communication and visibility
 - 2.4.2 Lessons learned and stakeholders' engagement activities

Component 3: Programme management

Paradigm
Shift

- Bankable climate change projects are identified, financed and implemented → improved incentives for project promoters and LFIs
- LFIs see climate projects as bankable and necessary projects
- Increased volume of finance, with suitable conditions, for climate change projects in Latin America
- Capacities are built on climate change project financing in LFIs, which are mainstreamed into LFI procedures and funding portfolios
- Project promoters are more aware of climate benefits, and have a strengthened understanding of financial and non-financial benefits
- Climate change project monitoring and reporting skills are mainstreamed by LFIs
- Improved opportunities for women to access finance for climate change projects in participating countries

Key Results (MITIGATION)

GCF Results Area M1.0: Reduced emissions through increased low-emission energy access and power generation
GCF Results Area M3.0: Reduced emissions from buildings, cities, industries and appliances
GCF Results Area M4.0: Reduced emissions from land use, deforestation, forest degradation and through sustainable forest management, and conservation and enhancement of forest carbon stocks

Figure 11: Theory of change

B.3. Project/programme description (max. 2000 words, approximately 4 pages)

Summary

The proposed Programme supports national level GHG savings ambitions in all the target countries based on their NDCs under the Paris Agreement. All target countries have expressed interest in scaling up investment in energy efficiency, renewables and land use projects. All the NDCs expressed the need for additional international financial support to reach their GHG savings targets – as there are limited public resources to do so. This suggests a key role for the private sector in dispersing investments to help these countries meet the ambitions they set forth in their NDCs. This is particularly true of local climate change efforts, since national government spending tends to focus on larger-scale, higher-visibility projects. Globally it is estimated that only 11% of climate change project funding has actually reached local populations within the period from 2003-2015, emphasizing a major financial gap to support local populations to invest in low-carbon and climate-resilient measures.¹⁵ The proposed Programme thus aims to support LFIs to develop green credit lines and overcome existing barriers in order to improve access to finance for climate change projects in key sectors, primarily for SMEs in Latin America. The participant countries are Panama, Ecuador, Peru and Chile.

Programme overview

The Programme is designed to accelerate the development and volume of local climate change projects in Latin America by helping market actors overcome key financial and knowledge barriers (Figure 11). It targets projects in the energy and land use sectors with strong mitigation benefits, supporting countries to reduce emissions from two sectors that comprise a large share of their national GHG emissions.

Using a combination of funding sources, including loans and grants, the Programme will conduct activities across two Programme components – (1) Financial, (2) Technical Support and Awareness Building – to boost local markets for climate change projects.

Programme beneficiaries

The beneficiaries of the refundable resources (Component 1) are SMEs and TSPs of the eligible productive sectors.

The beneficiaries of non-refundable technical assistance resources (Component 2) are SMEs, TSPs and LFIs.

- i) **LFIs – Local Financing Institutions:** LFIs are the Local Financial Institutions that have been selected by CAF for the implementation of this Programme. Numerous eligible LFIs have already been identified in each target country (Please refer to Annexes 2 and 3 for further details). In principle, any LFI that meets the following criteria could be eligible for the green finance credit line:
 - Criteria 1: Sustainability and green finance goals
 - Criteria 2: Have in place an environmental and social risk management system
 - Criteria 3: LFI is a client of CAF.¹⁶
- ii) **SMEs – Small and Medium Enterprises:** Categories of SMEs eligible for the Programme are summarized in the table below.

Table 5. Eligibility of SMEs

Criteria	Description		
Sales cap	Up to USD 100 MM		
Types of SME	<u>Small and medium enterprises</u> producing goods and services in the eligible sectors.		
Sectors	<table border="1"> <tr> <td>Industry</td><td> - Agroindustry - Food processing and beverages - Textile, leather and shoe manufacturing - Furniture and wood sector - Cement and aggregates sector - Construction materials and finishing products - Paper and pulp </td></tr> </table>	Industry	- Agroindustry - Food processing and beverages - Textile, leather and shoe manufacturing - Furniture and wood sector - Cement and aggregates sector - Construction materials and finishing products - Paper and pulp
Industry	- Agroindustry - Food processing and beverages - Textile, leather and shoe manufacturing - Furniture and wood sector - Cement and aggregates sector - Construction materials and finishing products - Paper and pulp		

¹⁵ Soanes and Shakya 2016

¹⁶ The control will be implemented through contractual obligations. In the Credit Lines Agreements, the relevant clauses on this matter must be transferred to both: the LFI and the agreement with Beneficiaries/SMEs. In the Credit Lines Agreements there will be clauses that oblige Beneficiaries/SMEs and third parties to comply with such policies.

		- Metallic and mechanical industry
	Services	- Hospitals and clinics - Hotels - Restaurants - Educational and sport centers - Cultural and entertaining facilities (cinemas, theatres, etc.)
	Commercial	- Big surfaces, supermarkets, department stores, malls - General commerce facilities - Office, residential and public buildings

- iii) **TSPs - Technology Services Providers:** Eligible TSPs under the Programme are SMEs (sales cap up to 100 MM USD). TSP and SMEs create a mutual beneficial arrangements or business linkage, such a mutually beneficial supply chain structure to penetrate new markets, increase market share or increase profitability.

TSPs for Energy investments are companies of the services sector whose core business is the development and/or the construction and/or operation of Renewable Energy plants or co-generation projects or energy efficiency projects.

TSPs for Land Use investments can be Anchor firms (that facilitate and strengthen an enabling environment to penetrate new markets, expand market share, increase profitability), cooperatives that can provide sub-loans to their members/constituents, and other TSPs such as Social enterprises or other private and non-governmental organizations with the potential to provide sub-loans and/or technical assistance (advisory services, trainings, etc.).

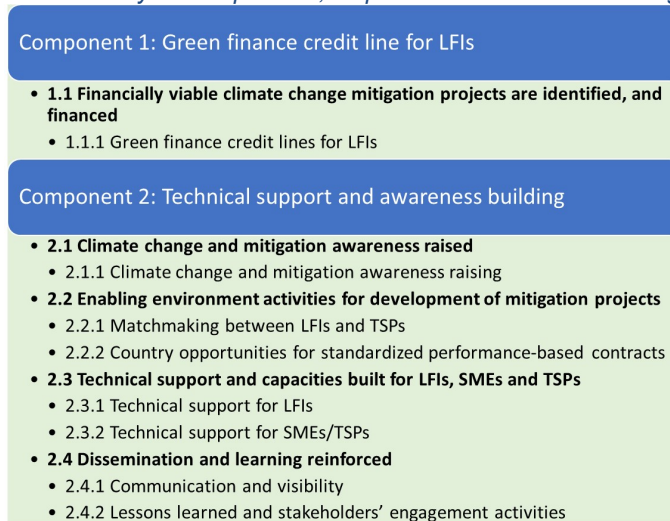
TSPs shall demonstrate legal status/right to operate within the host/beneficiary country to undertake intended activities, demonstrate relevant experience in the sector or implementing project activities, have access to national, regional and international markets. TSPs that act as intermediaries providing sub-loans to SMEs shall commit to transfer the concessional terms and conditions of the loan received from LFI to the final beneficiary.

Please refer to Section 3.3 of the Feasibility Study for further description of beneficiaries.

Description of Programme Components

Components, outputs and activities are structured as shown in the figure below.

Figure 12. Summary of Components, outputs and activities of the Programme



Component 1 – Green finance credit lines for LFIs

Activity 1.1.1: Green finance credit lines for LFIs

Financing: Loans will be provided through Local Finance Institutions (LFIs).

Outputs resulting from this activity include:

- **Output 1.1** Financially viable climate change mitigation projects are identified and financed.

Delivery:

A climate finance credit line with adequate financial terms and conditions will be made available for LFIs from countries participating in the programme to finance local distributed renewable energy, energy efficiency, and land use climate change mitigation projects. Loans will be made available to SMEs and TSPs to improve or grow their businesses.

Access to these credits will be enhanced by ensuring that the GCF concessionality is passed on to LFIs and beneficiaries, and with the support provided by activities in Component 2.

The use of loan proceeds by an eligible LFI will comply with a binding “Policy Statement” included in the loan agreement between CAF and the LFI. This will also contain GCF requirements. LFIs will on-lend funds to Beneficiaries/SMEs for investments in programs/projects defined in the eligibility criteria.

Each project will have CAF’s approval before their disbursement. See *Section B.7 Implementation arrangements*. The Draft OM (Operations Manual) submitted with this proposal provides further description on this procedure.

Detailed project eligibility criteria have been established to define the scope of investment of the climate finance credit line and specific climate change and environmental, social, and economic co-benefits indicators.

CAF, in coordination with LFIs, will promote the participation of women-owned SMEs according to the objectives of the Gender Action Plan (GAP).

Eligibility criteria

i) Eligibility of projects

Projects will need to comply with the eligibility criteria listed in Table 6 and Table 7 that provides an overview of the assessment and prioritization criteria that will be followed.

Table 6. Project eligibility criteria

Eligibility Criteria	Energy	Land Use
Exclusion List	Subproject activities are not included in CAF and Programme Exclusion List (Section 3.4.3) and ESMF (Annex 6)	
E&S Category	Category B and C Subprojects category A are excluded.	
Indicative Mitigation Technology	• Renewable Energy • Energy Efficiency	• Silviculture, production and conservation • Agriculture and livestock
Financing thresholds	• Renewable Energy: USD 5k to USD 10 million • Energy Efficiency: USD 5k to USD 2 million	• All Land Use projects: up to USD 1 million
Minimum Objectives	Eligibility of technology based on minimum reductions in Table 8.	10% reduction of water and fuel consumption plus 10% reduction of GHG emission.
Other	• Documentation Check: E&S, stakeholder, farm management plan, etc.	• Documentation Check: E&S, stakeholder, farm management plan, etc.

- The project should involve the deployment of proven EE and RE technologies.
- The EE and RE technologies must be new (not second hand or reassembled systems).

Table 7. Project assessment and prioritization criteria

GCF Investment Criteria	Subproject Assessment and Prioritization Criteria
Paradigm Shift	Innovation: innovative revenue model, financial structure, and/or blended finance instrument, with diversified products and mitigation potential.
	Catalytic effect: (i) be replicated in diversified markets, (ii) achieve environmental and social co-benefits.
	Long-term sustainability of the results
Impact Potential	Reduction of Tons CO ₂ Emissions
	Number of Beneficiaries
	Associativity Potential
Sustainable Development	Number of jobs generated by the subproject
	Women led SMEs/TSPs prioritized
	Additional income or savings generated by the subproject
	Locally developed technology
	Diversification: • Energy: Combination of EE&ER Technologies • Land Use: Livelihood and productive diversification
	Environmental: • Land Use: Restoration of degraded lands and reduction of soil erosion
	Value-Added: • Land Use: Increased value-added potential in the agriculture and forestry chain (certifications, access to equipment, wood/timber of high quality).
Needs of the beneficiary	Access to Market
	Rationale to overcome SME/TSP barriers and necessities
Priority by country	Investments' alignment with National Priorities (NDCs and National Communications), considering investments prioritized in Section 3.5 of the present Feasibility Study.
Efficiency and effectiveness	Financial Viability
	Cost Efficiency: Ton CO ₂ / USD invested
	Equity Contribution from subproject proponents

The Feasibility Study and the Draft OM submitted with this proposal include further detail on assessment and prioritization criteria of investments, including country priorities. The Final OM will include further precisions about priority measures and the tools for ensuring that these priorities are addressed by the Programme.

ii) Eligibility of technologies

Eligible criteria for Energy and Land Use investments are shown below in Tables 8 and 9.

Section 3.3.1 of the Feasibility Study provides further detail on the eligible and excluded technologies.

Table 8: Eligible Energy technologies and minimum objectives (non-exhaustive)

Energy	
Energy Efficiency	Renewable Energy Generation

High efficiency furnaces High efficiency motors High efficiency lighting Energy cogeneration Fuel replacement Improvements of boilers and steam systems Air conditioners Refrigeration Compressed air systems efficiency Automation and control systems Solar water heaters¹⁷	Micro hydropower plants (less than 10MW). Small wind turbines Bioenergy projects which include biogas and biomass for heating or electricity generation (waste to energy projects) (up to 5MW) Photovoltaic power generation Solar water heaters²³
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Technology type	Minimum objectives	
	Reduced energy consumption (%)	Reduced GHG emissions (%)
Energy Cogeneration	10	10
Fuel replacement	10	20
High Efficiency Lighting	30	30
Boilers and steam systems	10	10
Air conditioners	20	20
Refrigeration	15	15
Water Heating with Solar Energy	50	50
High efficiency furnaces	10	10
Compressed air	10	10
Photovoltaic solar energy	10	10
Automation and process control	10	10
Micro hydropower	N/A	100
Small wind turbines	N/A	100

Table 9: Eligible Land Use technologies (non-exhaustive)

Land Use	
Silviculture, production and conservation	Agriculture and livestock systems
Forest conservation & avoided deforestation: - Management of uneven-aged areas dedicated to value-added timber productions under recognized forest certification schemes. - Conservation schemes.	Agrisilviculture: - Alley cropping & windbreaks - Multipurpose trees on crop lands - Plantation crop combination - Improved fallows and rotation fallows - Intensive farming with land sparing - Maintenance or renovation of old plantations
Reforestation and afforestation:	Silvopastoral systems: Trees in rangeland or pastures

¹⁷ Solar water heaters can be considered as a Renewable Energy project or Energy Efficiency depending on the application of the technology.

Sustainable management of even-aged stands for high-value timber production.	- Protein banks - Intensive silvopastoral systems - Tree Alleys & pastures - Multipurpose woody hedgerows - Apiculture with trees - Aquaforestry
Forest landscape restoration: Innovative and multipurpose forest landscape restoration approaches and techniques that respond to the need for mitigating to climate change in highly vulnerable deforested and degraded rural lands.	Agriculture resource use and production efficiency: - Low-energy irrigation systems - Rice integrated crop management practices - Technological improvements in the agriculture value chain processes,

Technical references are presented in Section D.6 and detailed in Appendix 2 of the Feasibility Study. The Programme will use validated technologies in the region. References of validated technologies, guidelines, and reference manuals for the Programme's investment decisions.

Component 2.0 – Technical Support and Awareness building

Financing: Activities will be financed by a GCF grant of USD 4.765 million and a co-financing of USD 200,000 from CAF. This grant managed and monitored directly by CAF through the Programme Management Unit (PMU) (see Section B.7 Implementation arrangements).

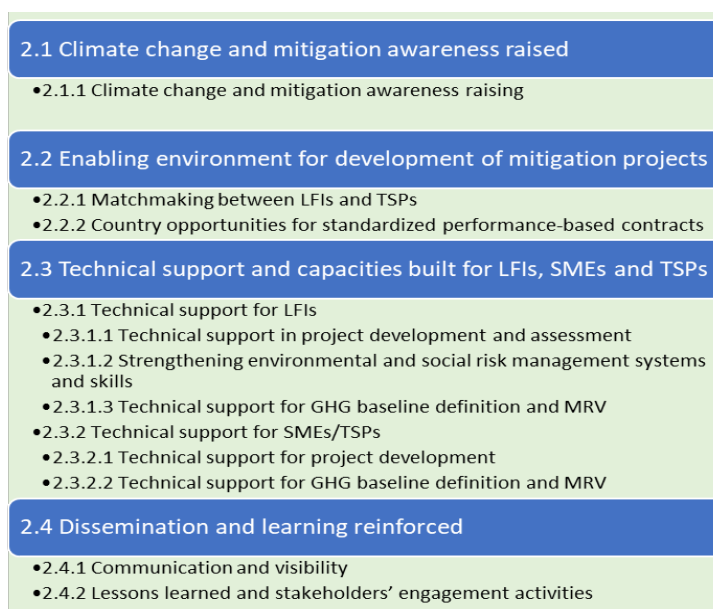
Beneficiaries of this component are: LFIs receiving loans under Component 1, SMEs and TASPs.

The **objective** of the component is to facilitate the implementation of the Programme by increasing knowledge on climate change, mitigation projects and the Programme, supporting enabling activities to facilitate the development of Projects, providing support to LFIs, SMEs and TSPs to strengthen their capacities, as well as ensuring dissemination of lessons learned and general learning throughout the Programme.

The **specific objectives** of the component are:

- Raise awareness on climate change, mitigation, and the operational aspects to access resources for the Programme.
- Generate an enabling environment for development of mitigation projects by developing standardized contracts and matchmaking among TSPs and LFIs.
- Strengthen capacities and provide technical support for IFIs, SMEs and TSPs for the identification and development of Projects, improve ESMS systems, ensure baseline development and adequate MRV of Projects.
- Ensure dissemination and learning on the Programme.

Figure 13. Outputs and Activities of Component 2



Subcomponent 2.1 Climate change and mitigation awareness raised

Activity 2.1.1 Climate change and mitigation awareness raising

The goal of this subcomponent is to increase knowledge of the Programme and available financing as well as climate change, mitigation projects, targeted sectors and countries of the Programme, highlighting the benefits of such projects and operational aspects important for accessing the financing. For the organization of the workshops, the following table provides further details to consider regarding participants to convene and the proposed content.

Table 9: Potential participants and content of Climate Change Mitigation Workshops

Participants	LFIs with a current Credit Line with CAF and interested in disbursing funds for the Programme. SMEs who could be potential beneficiaries for EE, RE, Land Use mitigation projects TSPs and anchor companies, which could be potential allies for implementing the mitigation solutions and potential borrowers of credits.
Contents	✓ Climate Change impacts on the region, adaptation and mitigation technologies, vulnerability and gender differentiated impacts. ✓ Climate change mitigation: potential of different mitigation interventions focused on energy and land use to reduce GHG emissions, benefits of these technologies ✓ Concepts of renewable energy sources and cogeneration. ✓ Concepts of energy efficiency and typical projects for each SMEs sector and technology. ✓ Climate variability and extreme weather, as well as unsustainable agricultural and land management practices can jeopardize productivity of business and enterprises. ✓ Project eligibility and assessment for participating in the Programme (financial and technical guidelines). Description of the eligibility criteria for EE, RE and land use. ✓ Environmental and social considerations of the potential interventions to reduce GHG emissions

- | | |
|--|---|
| | <ul style="list-style-type: none"> ✓ Awareness raising and gender considerations on gender gaps, barriers and additional issues women face in energy efficiency, renewable energy and land use sector. ✓ MRV of mitigation projects ✓ Operation and characteristics of the Programme: including components, access mechanisms, available finance and requirements of the Programme to participate ✓ Once the Programme is operational, information will be shared on actual projects being implemented and benefits experienced by the beneficiaries. |
|--|---|

Subcomponent 2.2 Enabling environment for development of mitigation projects

The goal of this output is to contribute to create a trusting relationship between the TSPs, the LFIs and the SMEs. One of the main barriers identified for these technologies is that mostly due to lack of knowledge, LFIs and SMEs perceive it as risky investments. Thus, the Programme will promote matchmaking between LFIs and TSPs, as well as the identification of opportunities in each country for the standardization of contracts, to facilitate the development of bankable projects interesting for LFIs.

Activity 2.2.1 Matchmaking between LFIs and TSPs

The goal of this activity is to achieve connections between market actors to facilitate project development. Potential TSPs often do not have established relationships with LFIs. The same is true of LFIs – they often do not know TSPs. Through this activity's funds will be available to:

1. Identify potential TSPs, which could be engaged in the Programme per LFI and country and develop a database.
2. Work to connect them through direct outreach and the organization of workshops and information sessions.

Activity 2.2.2 Country opportunities for standardized performance-based contracts

This activity will contribute to create standardized contract templates for different identified needs in each country. The goal is to contribute to facilitate contractual agreements between clients and providers¹⁸, which will have a clear and transparent standard to negotiate investments in energy efficiency, renewable energy or low-carbon land use. Contractual agreements will aim to create trust and transparency (not to subsidize payments).

The following products will be developed:

1. Market assessment (one per country) to analyze regulatory and pre-investment requirements for the identification of adequate legal contracts to reduce risks for the different actors involved in the EE, RE, and low-carbon land use mitigation projects. The main goal is to determine for each country, the most suitable contribution of the Programme to support mitigation projects in terms of standardized contractual agreements. Thus, these studies will explore the legal aspects needed for promoting potential eligible investments among key actors, the priorities in each country regarding structured contracts, and the alignment with country strategies in the same sector and projects. The studies must include a gender sensitive approach.
2. Contractual standardized agreements: considering country needs and alignment with the gaps and opportunities identified through the market assessment, standardized agreements will be proposed for each sector. These contracts will contribute to reduce risk and to improve trust in the implementation of these projects, clearly stating obligations and rights of all the parties involved.
Examples of these contractual agreements are contracts in the form of transparent, payment arrangements that are structured to provide an incentive for TSPs and Anchor Companies, to distribute risk to appropriate actors, and/or to guarantee savings. This mechanism functions as a reward for TSPs that achieve or exceed climate results

¹⁸ Including contractual agreements with Anchor Companies for Agroforestry and Resource Efficiency sector.

pre-established in their loan contract with LFI. See description of potential financing mechanisms in Section 3.4 of the Feasibility Study.

Examples of performance-based contracts include pay-per-use contracts, leasing contracts, and energy performance contracts; as well as trader credit, off-taker agreements, advance purchase agreements, physical-asset collateralization¹⁹, financial leasing, among others.

The contractual standardized agreements will be a valuable tool for the development of projects and will be presented and explained in the different workshops in activity 2.1 and 2.3.

Subcomponent 2.3 Technical support and capacity building for LFIs, SMEs and TSPs

The main objective of the output is to strengthen LFIs, SMEs and TSPs capacities for the development of mitigation projects, and to comply with the ESMS, MRV requirements.

2.3.1 Technical support for LFIs

The following activities are directed at LFI who have already disbursed funds with the Programme or have committed to disbursing funds with the Programme.

Activity 2.3.1.1 Technical Support in Project Development and Assessment

This activity will support LFIs to strengthen capacities of Officials, Executives and personnel participating in the Programme to identify potential clients, assess the potential beneficiaries and projects against the eligibility criteria, and to identify potential bankable projects and financial mechanisms for the development of a mitigation portfolio in the targeted sectors. To this end the PMU shall organize:

1. Trainings on Project Assessment: The training will consist on two modalities:
 - a. Classroom training: The PMU will hire consultants to provide classroom or face to face trainings for the LFIs during the first year of implementation to provide a detailed introduction of all the important aspects of Project Assessment and the different characteristics of the mitigation projects in each sector
 - b. On-the-job training: the PMU will contract consultants to assist LFIs executives on the job to further develop capacities on Project assessment with practical cases in each LFI.

The PMU shall ensure the trainings cover at least the content included in table 20.

Table 10: Proposed content for training on Project Assessment

General content	Verification of technical feasibility as well as capabilities to deliver, report and/or monitor expected results, as per defined indicators. To the greatest extent possible, standardized forms for different technology types will be developed to facilitate project assessment (to be developed in the full version of the OM). LFIs will be trained on how to conduct and utilize market assessments, including data collection and analysis, selection of target clients, preliminary eligibility and creditworthiness assessment of projects. This will strengthen the selection of creditworthy TSPs/SMEs and support the identification of eligible projects at an early stage. LFIs will also receive training on gender and how to improve access to finance for women-owned SMEs, and to improve gender mainstreaming and monitoring. In general, women participation will be promoted in all workshops, trainings and conferences.
Energy	Energy sector: The training program will cover at least the following topics:

¹⁹ For example: warehouse receipt credit

		- State of the art in Climate Change science. - Presentation of Local Country level GHG inventory, NDCs and Mitigation Programs - Concepts of renewable energy sources and cogeneration. - Concepts of energy efficiency and typical projects for each SMEs sector and technology. - Training on CAF's specific manuals - Concepts of quantifying GHG emissions. Identification of activity data. - Generalities of Technical procedures for measuring the consumption of electricity and liquid, solid and gaseous fuels. - Analysis of the technical feasibility procedure of the OM Component 2	
	Low-carbon land use	Land use sector: The training program will cover at least the following topics: - General concept of LULUCF investments, its importance, socio-economic benefits and potential to mitigate GHG - Examples of exit strategies and programs in LULUCF sector (include lesson learned) - Available financial instruments to leverage LULUCF investments - Risk mitigation for carbon offset programs - Available low-carbon technology for land use projects, tendencies, strategic partners, etc. - National GHG inventories and the role of LULUCF sector in this context - Technologies and methodologies to estimate/calculate Carbon sequestration, Carbon stocks or quantification of GHG removals (desktop review and in-situ) - Silviculture and Agroforestry concepts, systems, sustainable management: practices, others. - Climate service tools, concept and strategies - Other technologies and platforms with potential to improve land use sector projects, for example: use of remote sensing, etc.	

2. Technical Assistance to develop a pipeline of bankable projects. Support will be provided for LFIs to develop specific financing mechanisms to overcome current market barriers. The financing mechanisms would be tailored to each bank and could include energy savings insurance; and/or pay per use model for the energy sectors.

Activity 2.3.1.2 Strengthening environmental and social risk management systems and skills

The objective of this activity is to develop improved environmental and social risk management systems within LFIs engaged with the Programme; and strengthen their capacities on the field. For interested LFIs, the Programme will provide the following technical support:

- Gap analysis: to identify the current status and needs for improvement of LFIs' current ESMS.
- Provision of technical support (external consultancies, trainings) to LFIs to strengthen their ESMS systems to enhance their ability to invest in sustainable projects and ensure robust environmental and social management systems are in place. This includes managing for gender benefits and reducing gender related risks (e.g. supporting development or strengthening of gender strategies, policies, and procedures), to ensure that both men and women benefit from projects financed by the LFI, promoting gender-responsive monitoring of investments, and ensuring that supported investments do not widen gender gaps or produce adverse impacts.
- Independent audits: to assess the adequate implementation of ESMS.

The PMU will ensure proper coordination and implementation of lessons learned from the Environmental and Social Management Program for Financial Institutions (PGASIFs), a platform implemented by CAF to promote and enhance the management of environmental and social impacts in the financial sector of the Latin-American region, while also transferring knowledge and promoting good practices in environmental and social and Governance (ESG) to strengthen the adoption of ESG principles in LFIs. The PMU will work closely to the Programme to ensure synergies and that appropriate and robust procedures and safeguards are in place for implementing climate change projects in the energy and land use sectors.

Activity 2.3.1.3 Technical support for GHG baseline definition and MRV

To support LFIs in the estimation of GHG baseline and the implementation of the MRV, the PMU will contract a consultant to further develop the monitoring and reporting framework and methodology, to facilitate the monitoring and aggregation of climate results. Then, the PMU will organize trainings to strengthen skills among LFIs personnel on the monitoring and reporting framework. The following content shall be included in the workshops.

Table 11: Proposed content of GHG baseline and MRV

Content	Training on CAF's specific framework. Concepts of quantifying GHG emissions. Identification of activity data. Generalities of Technical procedures for measuring the consumption of electricity and liquid, solid and gaseous fuels. Analysis of the technical feasibility procedure of the OM Component 2. LFIs should identify SMEs who could request this technical assistance and provide information on the facility. MRV Complexity of methods for measurement, reporting and verification, and capacity barriers in implementing these methods. Analysis and training in reporting and MRV procedures specific for the Programme. Energy and land use indicators of the program: description on how LFIs will consolidate the projects reports. Remote sensing, GIS database and platforms to support MRV.
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Ongoing support by the PMU and CAF experts will be available throughout the implementation to ensure understanding of the methodology.

2.3.2 Technical support for SMEs /TSPs

The goal of this output is to strengthen capacities and provide technical support to SMEs and TSPs for an effective project development and implementation of mitigation projects.

Activity 2.3.2.1 Technical support for project development

This activity aims at training potential SMEs and TSPs beneficiaries of the Programme with the skills and project pre-investment facilities to better understand and be able to develop mitigation projects in the targeted sectors.

To this end, the PMU is responsible of setting up the following activities:

1. Training on mitigation projects how to structure bankable projects, ESMS, standardize contracts and operational aspects of the Programme. At least 2 training per country in year 1, 2 and 3 shall be organized directed at SMEs, TSPs and Anchor Companies²⁰. The following content is presented at each workshop:

Table 12: Proposed content for training on Mitigation Projects

Content of the training	- Beneficiaries/SMEs (including TSPs) on how to structure bankable projects and present them to LFIs for financing. To the extent possible, standardized formats for different technology types will be prepared to facilitate the presentation of the
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²⁰ For land-use investments

		projects (templates to be developed in the full version of the OM). - Local legal framework for energy trading - Barrier analysis of the program activities and contract solutions - Description, benefits and examples of Pay per use or power purchase agreement models - Description, benefits and examples of Energy Savings Insurance model - Description, benefits and examples of other potential types of agreements - Potential Environmental and Social risks of the technologies, mitigation plans - Awareness raising and gender considerations on gender gaps, barriers and additional issues women face in energy efficiency, renewable energy and land use sector. - low-carbon technology (remote sensing, GIS database and platforms). - General: Improve access to information, for example, access to weather information and early warning systems would enable farmers to take better and informed decisions. - Risk reduction: Diversification options in agriculture and forestry productions systems and income access (short, medium- and long-term investments). Through integrated crop management and agroforestry practices, SME have more and better options to obtain revenue and incomes through the harvest of using annual and perennial crops, livestock, and forest plantations. - Improve resource management, efficiency in the use of inputs and natural resources. - TSP: Knowledge: knowledge about green land use investments and available low-carbon technology - Available technological package for improving the design and monitoring of Land Use investments. Good management practices for silviculture and agroforestry sector. - Reducing carbon footprint in agro-process value chain and forest products and by-products.	
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2. Training on green business literacy for women-led SMEs

The goal of this activity is to foster participation of women-led SMEs in the Programme, in line with the Gender Action Plan. To this end, workshops on green business literacy will be directed at women-led SMEs in the energy and land use sector together with women's organizations and LFIs in participating countries.

To this end, the PMU shall procure the required consultancy services to organize 1 training per country in year 1, 2 and 3 and ensure a widespread communication strategy to ensure participation of the targeted beneficiaries.

3. Project pre-investment facility (only for SMEs):

Only SMEs, potential borrowers of LFIs participating in the Programme can be eligible for this facility. The facility will support the performance of audits and technical feasibility studies at beneficiary sites for the identification of project development opportunities for EE, RE or low-carbon land use mitigation projects. Support for financial evaluation and financial aspects of projects can also be eligible. SMEs will request this support to the PMU through a participant LFI. Procedures are described in the Draft OM.

Financing: up to 5.000 USD per feasibility per SME will be available on a rolling basis until resources are finished.

Destination of resources:

SMEs will be able to request the use of resources for the following destination:

- i. Final design of climate change mitigation projects.
- ii. Audits at project site for project development.
- iii. Environmental Assessments.
- iv. Financial evaluations.
- v. Consulting or support for the final design of a business plan to obtain financing.
- vi. Other advisory activities or prior studies required by SMEs for the viable and effective implementation of climate change mitigation investments for subsequent financing.

Activity 2.3.2.2 Technical support for GHG baseline definition and MRV

The goal of this activity is to train potential beneficiaries and SMEs and TSPs who have already been allocated credits through the Programme in the adequate GHG baseline definition and the MRV framework of the Programme, to guarantee and effective monitoring and reporting. The proposed contents of the workshops are described below.

Table 13: Proposed content on GHG baseline and MRV for SMEs and TSPs workshops

Content	
	Training on CAF's specific framework. Concepts of quantifying GHG emissions. Identification of activity data. Generalities of Technical procedures for measuring the consumption of electricity and liquid, solid and gaseous fuels. Analysis of the technical feasibility procedure of the OM Component 2. Energy and land use indicators of the program. MRV Complexity of methods for measurement, reporting and verification, and capacity barriers in implementing these methods. Analysis and training in reporting and MRV procedures specific for the Programme. Description and how SMEs/TSPs shall report to LFIs. Use of standardized information platform. Remote sensing, GIS database and platforms to support MRV.

Additionally, the PMU shall procure the required services to develop educational material to support the training on GHG baseline and MRV. make available through the website of the Programme on practical "how-to" videos along with webinars to support SMEs and TSPs in the definition of GHG baselines and the adequate MRV of the project.

Subcomponent 2.4 Dissemination and learning reinforced

The goal of this output is to ensure a wide dissemination of the Programme in the targeted countries and among the key stakeholders as well as Programme beneficiaries; and to ensure learning, including sharing of lessons learned and best practices among key stakeholders.

Activity 2.4.1 Communication and visibility

- **Communication and Dissemination Strategy:** The Programme will develop and implement a communication and dissemination strategy that includes measures to engage women, women's organizations and women-owned SMEs
- **Development of promotional material** of the Programme: include webinars, explainer videos, story-telling videos, communication material, and publications, two-pagers, among others.
- **Programme Website:** Develop of a Programme website to share information on the Programme and on mitigation projects in the targeted sectors.

- **Information Management Platform**, which will allow to disseminate information on the Programme, and will work as a platform for the general management of data and information on project eligibility, monitoring and reporting of LFI and beneficiaries.

Activity 2.4.2 Lessons learned and stakeholders' engagement activities

- **Case studies:** Identifying throughout the project at least 3 case studies with lessons learned in each of the sector: EE, RE, Land Use. Selected successful projects in the different countries will be selected and identified by the PMU to learn what made them succeed, what were the main benefits of the project and lessons learned to be later on shared in the Program website, presentations, among other formats. In the selection of the stories both men-led as well as women-led SMEs projects must be included, and when interviewing project beneficiaries, it must be guaranteed the voice of women and men are equally included.
- **Women-led SMEs success stories:** Develop a case study of inclusive finance in mitigation projects identifying women led-SMEs which were allocated a credit for the first time for mitigation technologies: EE, ER and land use projects.
- **Learning workshops:** 2 workshops will be conducted during the lifetime of the Project: one in the mid-term of the Project implementation and another in year 5. The goal of the workshop will be to present lessons learned with relevant stakeholders, including government, other organizations working in mitigation projects, and beneficiaries.
- **Targeted Presentations for dissemination of lessons learned to key stakeholders:**
During year 2 and year 4, the PMU will organize targeted presentations in each country. The PMU will consolidate and build alliances with key stakeholders (e.g., government sector, trade or commercial associations). The information sessions will consist of bilateral meetings between the PMU and country executives of the Private Sector Vice-Presidency of CAF with the following stakeholders:
 - Government institutions:** NDAs and relevant government institutions in each country related to the targeted sectors.
 - Industrial/sectorial association of SMEs**, which could be interested in mitigation credit lines.
 - TSPs:** potential TSPs in the countries and TSPs, which have already been allocated credit to the project will be convened for targeted presentations.

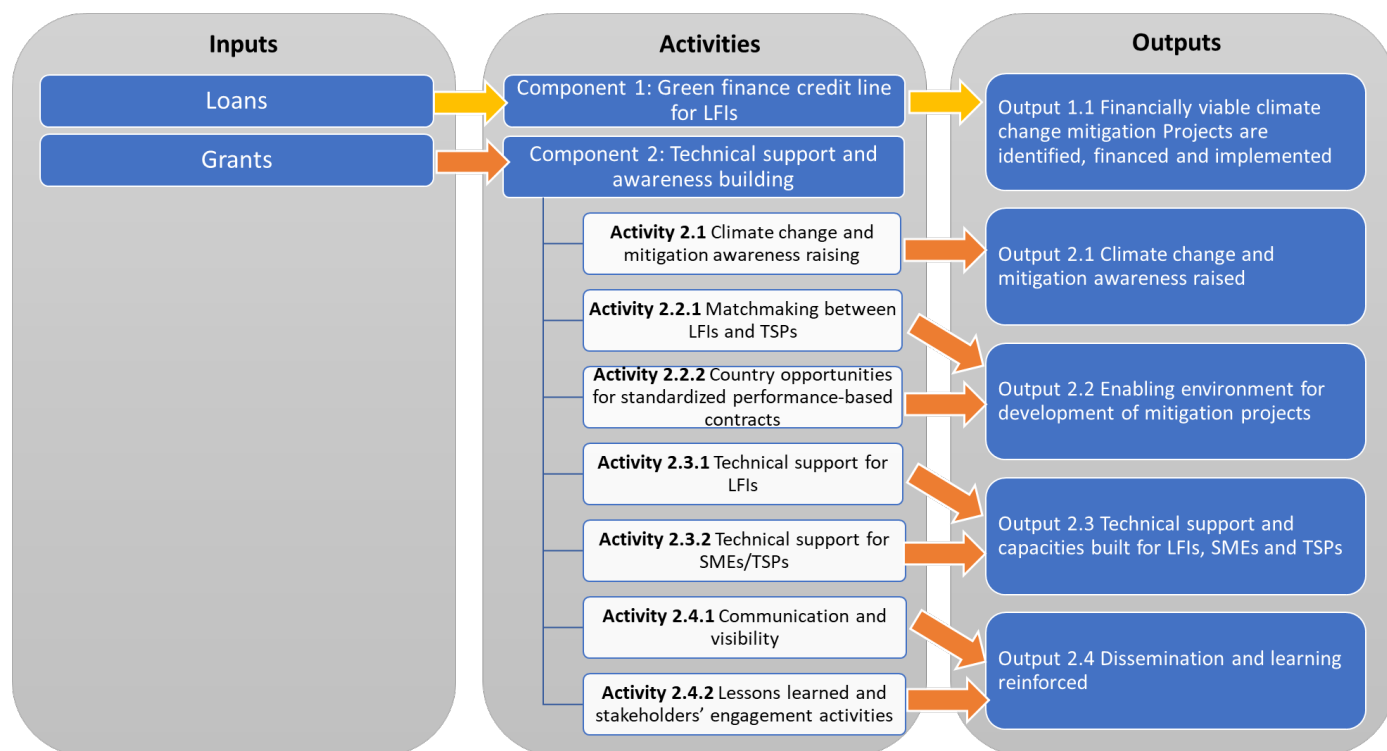
Programme Management

A Programme Management Unit (PMU) will be established and will have a dedicated team to guarantee all components and activities are carried out according to the Programme design, to ensure that all expected results will be achieved on time and within budget. This unit will have at least five full-time positions including a Programme Coordinator, an Energy Specialist, a Land Use Specialist, an Environmental, Social and Gender Specialist, and a Capacity Building Officer. Support for administrative functions will as well be hired. These specialists will work within the existing CAF's structure and will articulate with the monitoring and evaluation specialist (covered by CAF as Accredited Entity). Commercial officers that are already part of CAF for the management of intermediated programmes will be assigned for this Programme. The composition and functions of the PMU are largely described in Section C.7 Implementation Arrangements. Please refer to Section H.2 for a description of the M&E activities to be performed by CAF as Accredited Entity.

The programme activities described above are designed to produce outputs (Figure 13) leading to core GCF outcomes and expected results (Figure 14). These **outputs include**:

- **Output 1.1.** Financially viable local climate change projects are identified and financed.
- **Output 2.1.** Climate change and mitigation awareness raised
- **Output 2.2.** Enabling environment activities for development of mitigation projects
- **Output 2.3.** Technical support and capacities built for LFIs, SMEs and TSPs
- **Output 2.4.** Dissemination and learning reinforced.

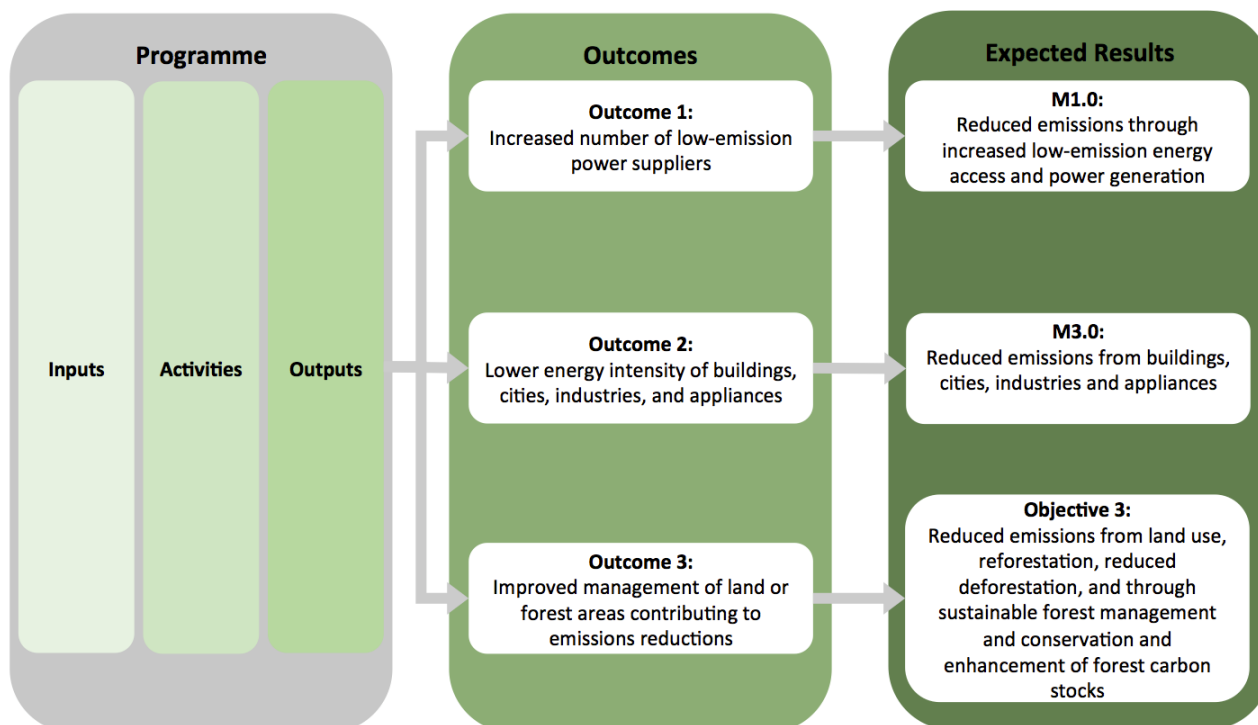
Figure 14 Programme inputs, activities and outputs



Local distributed renewable energy, energy efficiency, and land use climate change projects conducted because of the programme will lead to the following outcomes and GCF level expected results (Figure 15):

- Increased amounts of low-emission power generation (**Outcome 1**) and thereby reduced emissions through increased low-emission energy access and power generation (**Expected Result 1**),
- Lower energy intensity of enterprises and energy using equipment (**Outcome 2**) and thus reduced emissions from buildings, cities, industries and appliances (**Expected Result 2**), and;
- Improved management of land or forest areas contributing to emissions reductions (**Outcome 3**), leading to reduced emissions from land use, reforestation, reduced deforestation, and through sustainable forest management and conservation and enhancement of forest carbon stocks (**Expected Result 3**).

Figure 15 Programme outcomes and expected results



Description of financial elements of the programme

The programme aims to support local financial institutions (LFIs) in four countries in Latin America to develop green credit lines to invest in renewable energy, energy efficiency and land-use projects, mainly targeting small and medium enterprises (SMEs). The programme will have a total volume of USD \$150.2 million. This includes USD \$95 million from GCF reimbursable funding, USD \$50 million in senior loans from CAF, USD \$4.765 million in grants from the GCF for technical assistance, USD \$0.235 million in grants for Programme Management and a USD \$0.2 million grant from CAF (see Table B1.1).

The programme is designed to support LFIs to develop their green credit lines by providing suitable financing and technical assistance. Technical assistance is required to develop LFIs' capacities to invest in green projects, in particular in renewable energy, energy efficiency and land use. Such assistance will support them to strengthen their capacities and ability to identify 'green' business opportunities, mitigate associated risks, and build synergetic commercial relationships between key stakeholders (TSPs, and LFIs, among others).

LFIs that receive reimbursable funding (senior loans) from the programme (USD \$95 million from GCF and USD \$50 million from CAF) are well positioned to disburse these funds to small and medium enterprises (SMEs) to invest in renewable energy, energy efficiency and sustainable land use practices.

GCF grant funding will be managed and executed by CAF to support the implementation and monitoring of the proposed lending activities. The programme's grant activity (USD \$5 million from GCF and USD \$0.2 million from CAF) will be used to provide technical assistance for at least 11 participating LFIs to strengthen their capacities, standardise processes, strengthen environmental and social management systems (ESMS), bridge information asymmetries, generate an initial pipeline of bankable projects, and support the dissemination of successful green financing cases and best practices.

Table 14: Indicative Programme cost by main Activity and type of funding (million USD \$)

Main component	Funding type	GCF Funding	Currency of disbursement to recipient	Co-Financing-CAF	Total for entire project
1. Green finance credit line for LFI	Loan	95	million USD dollars (\$)	50	145
2. Technical Support and Awareness Building	Grant	4.774	million USD dollars (\$)	0.191	4.965
Programme Management costs	Grant	0.226	million USD dollars (\$)	0.009	0.235
Total program cost	-	100	million USD dollars (\$)	50.2	150.2

Barriers

Key barriers that currently inhibit investments in small scale renewable energy, energy efficiency and land use sector-related climate change mitigation projects include: i) high and undifferentiated interest rates, ii) unsuitable loan tenors, iii) lack of access to suitable finance for many SMEs, iv) lack of visibility of LFIs, and v) limited knowledge of the benefits of such climate change projects. The programme has been designed to address these barriers and to strengthen lending for sustainable projects with climate change benefits in Latin America. A more detailed description on how the programme will overcome these barriers is outlined in Section B2, Barriers. Country-specific barriers will be further addressed through the technical assistance activities, which will include targeted support to develop financial mechanisms and/ or tailored business models to overcome such country- and sector-specific barriers.

Use of loan proceeds

Loan proceeds will finance local energy efficiency, distributed renewable energy, and land use climate change projects. The sustainable technologies expected to be deployed are relatively consistent across the four target countries while land use project types considerably vary. Anticipated project types are described further below, along with project eligibility criteria. See section D.6. Technical Evaluation for more details on project types.

Regulation, Taxation, and Insurance

Between CAF and the LFIs, there is not a need to obtain any additional licenses or permits to carry out the proposed activities in this Programme. LFIs and recipients will comply with relevant regulations in each target country including, but not limited to, the banks superintendence and environmental regulations. The interest rate that will be returned to the GCF are free of withholding tax on interest. CAF enjoys preferred creditor status in its shareholder countries.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

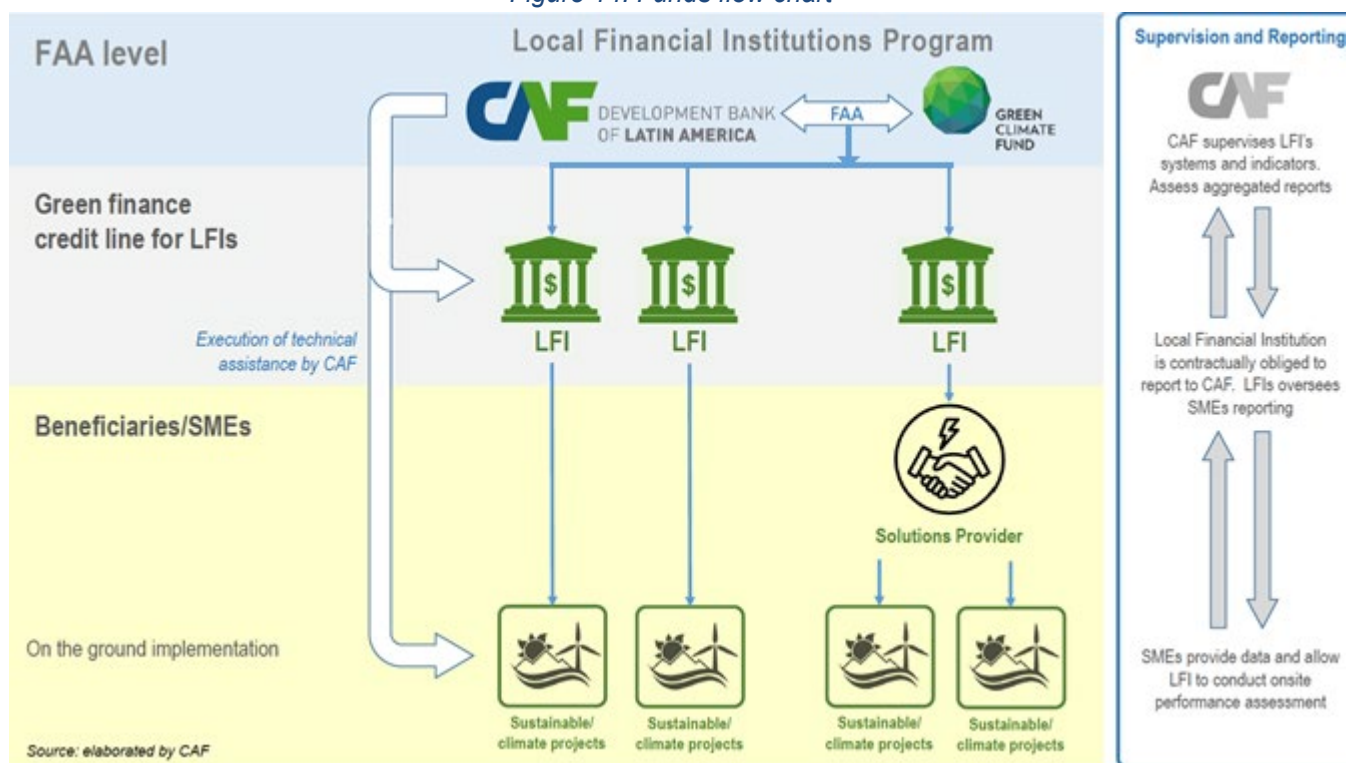
The anticipated legal arrangements between the GCF, CAF, LFIs, and beneficiaries include (Figure 17):

- CAF and GCF will enter into a Funded Activity Agreement (FAA) for the programme in the framework of the Accreditation Master Agreement (AMA) entered between CAF and the GCF in November 2016 and effective since the 19th of March 2018. The FAA will outline the sectorial, technological, and geographical scope (the “Mandate”) of the proposed CAF/GCF programme.
- GCF proceeds will be held in a Trust Fund.
- CAF will enter into loan agreements or amend existing loan agreements with each of the individual LFIs participating in the programme. It will be a requirement in the eligibility criteria and credit rules that refinancing is not allowed. These loan agreements will make available CAF financing and GCF co-financing for investments consistent with the Mandate of the programme. During programme implementation, CAF will be responsible for providing governance, oversight, and quality assurance in accordance with its policies, procedures, and with the FAA and AMA. CAF as per the loan agreement will have the ability to reject a sub-loan.
- CAF will follow appropriate commercial practices and procedures for LFIs in all operations financed with GCF resources. In the provision of financing, CAF will perform a due diligence of the LFIs and carefully assess their ability to meet their obligations under the loan agreement. The LFI 's selected for the programme have been through a pre-assessment screening, based on the criteria included in Annex 2, and in most cases have pre-established financial relations with CAF. An updated and robust due diligence will be in place before CAF

approves each LFI under this Programme, where each due diligence will be presented to the CAF investment committee for review.

- LFI's will disburse GCF and CAF loans to beneficiaries (SMEs, TSPs) consistent with the mandate of the Programme. As part of the Programme, CAF teams will provide technical assistance and capacity building to help LFI's conduct marketing activities, develop internal procedures to evaluate eligible technologies and/or projects, check compliance with the mandate and put in place monitoring systems. CAF will report to the GCF based on with the conditions established in the FAA and AMA. PMU will review and assess subprojects eligibility. In addition, contractual obligations will be established for both: the LFI and the agreement with Beneficiaries/SMEs.
- CAF will enter into an agreement with each LFI. Conditions between CAF and the LFI's will be set out in the loan contract. Conditions between SMEs and the LFI will also be set out in the loan contracts in line with the GCF's regulations.
- CAF will contractually ensure that the conditions required by GCF are transferred to the Credit Line Agreements (thought amendment to those already executed). CAF may reject a sub-loan that does not comply with programme eligibility criteria.
- No project may be financed with GCF's resources if it does not meet the conditions required by the GCF according to the FAA.
- The programme will focus on SMEs. CAF will include medium companies that sell up to USD 100 MM.

Figure 14: Funds flow chart



CAF will enter into an agreement with each LFI. Conditions between CAF and the LFI's will be set out in the loan contract. Conditions between SMEs and the LFI will also be set out in the loan contracts in line with the GCF's regulations.

LFI's agreements will contain AML/ CFT clauses that will be transferred to the LFI's Beneficiaries/SMEs (through the loan agreements between the LFI and the Beneficiary/SME).

Evaluation and due diligence of participating LFI's:

The Responsible Executive, assisted by the team, is responsible for the evaluation of the LFI's. The team must:

- Identify the main risk factors of the operation and the client and determine their possible mitigators.

- Analyze the technical, institutional, market, financial, economic, environmental and social aspects, anti-money laundering, among others, of the operation and the client, in an exhaustive way to determine its viability.
- In the case of non-sovereign risk operations, in addition to evaluating the client's ability to fulfill his contractual obligations, paying special attention to the economic-financial situation of the client, his payment experience and the macro-sector environment, as well as to other specific factors of the operation.

The Responsible Executive will collect information about the operation and the client, ensuring that it allows to know the real situation of the client and their perspectives. To the extent possible, the Responsible Executive will contrast or complement the information it receives from the client with external sources.

The team will complete the credit evaluation document included in annex 9. The evaluation is performed annually. On a quarterly basis, selected financial indicators are reviewed to identify financial deterioration. CAF's credit evaluation document of operations with financial institutions is included in Annex 9.

Repayment:

Loans will be repaid by the Beneficiaries/SMEs to the LFI, back to CAF and the GCF. The schedule of repayments is outlined in annex 3.

Information on Project / Programme Sponsor (Accredited Entity)

CAF is a multilateral development bank created in 1970, and owned by 19 countries, 17 of which are in Latin America, and the Caribbean, Spain and Portugal, as well as 13 private banks in the region. CAF promotes a sustainable development model through credit operations, non-reimbursable resources, and support in the technical and financial structuring of projects in the public and private sectors of Latin America.

With headquarters in Caracas, Venezuela, CAF has offices in Buenos Aires, La Paz, Brasilia, Bogota, Quito, Madrid, Mexico D.F, Panama City, Asuncion, Lima, Montevideo and Port of Spain. CAF's mission is to provide sustainable development and regional integration through an efficient mobilization of resources for a timely provision of multiple financial services, with high value added, to clients in the public and private sectors of the shareholder countries. CAF is a competitive financial institution, client-oriented, sensitive to the social needs, and supported by a highly specialized staff.

During 2018, CAF's total assets reached USD \$40 billion, an increase of 5.3% compared with USD \$38 billion reached in 2017. At the end of 2018, the Institution's net worth reached USD \$11.9 billion, 7.2% over the amount registered the previous year, strengthened by the capital contributions made by the shareholder countries and by retained earnings. At the end of 2018, the total loan and investment portfolio reached USD \$25.1 billion, more than 150 operations were approved for a total of USD \$13.6 billion.

CAF's credit ratings are among the highest of Latin American debt issuers. CAF's long-term credit rating is AA- (Fitch Ratings), AA- Standard & Poor's, AA Japan Credit Rating Agency, and Aa3 Moody's Investor Service. CAF's partnerships with public and private sector organizations have allowed it to play an active role in the promotion of projects and programmes that generate environmental benefits and to address climate change impacts. Over 28% of CAF portfolio includes green finance. Such projects have focused on energy efficiency, renewable energy solutions, sustainable transport and climate change adaptation through disaster risk reduction and ecosystem services. CAF is part of the International Development Finance Club (IDFC) through which, its member has adopted green finance commitments. CAF has an aspirational target to reach 30% of its portfolio for green finance. CAF is a Regional Direct Access accredited entity to the GCF.

Capacity of accredited entities and executing entities to deliver

A strategic work area of CAF is to support the financial systems of its member countries at three levels (i) regulations, barriers and attracting investments; (ii) coordination at the level of the financial industry; and (iii) financing and advisory at the level of financial institutions. These interventions include a wide range of activities, from regulatory change recommendations to create innovative financial products to providing finance directed to underserved sectors.

In 1997, a vice-presidency for Financial Institutions was created with a portfolio of USD \$1.2 billion of financial intermediation, representing 39% of the Bank loan portfolio. Through its successful track record, CAF has developed in-depth knowledge of the financial systems of its member countries, which enabled the establishment of business relationships with key public and private financial institutions in the region.

CAF currently offers its clients from the financial sector financing facilities tailored to its specific needs and to the relevant regulations. In 2019, financing facilities for a total of USD \$6.4 billion were approved for financial institutions in CAF member countries.

Moreover, since 2012, CAF has consolidated its Programme for **Environmental and Social Management** for Financial Institutions (PGASIF)²¹, as a platform to promote and enhance the management of environmental and social impacts in the financial sector of Latin-America, as well as to transfer knowledge and good practice in environmental and social and Governance (ESG) for the adoption of ESG principles in LFI. To date, 120 LFIs and more than 3,000 people from 15 countries of the region have received training supported by CAF on environmental and social safeguards, and green finance, including the publication of technical publications and guidebooks. In total, 10 client LFIs have received tailored support for the adoption and enhancement of Environmental and Social Management Systems and the development of green financing products in their portfolio.

With regards to its experience with **Energy projects**, CAF has developed a Programme for Green Business and Energy Efficiency (PNVEE) to stimulate the expansion of green credit lines to its LFIs clients. The programme includes technical tools to support LFIs in understanding opportunities in green business and EE. Through the PNVEE CAF will provide USD \$95 million in co-financing for the Green Climate Financing Facility for LFIs in Latin-America.

The CAF-GCF Green Climate Financing Facility for LFIs in Latin-America seeks to build upon and scale up, CAF experience and relationship with client LFIs to accelerate the development and volume of local climate change projects in Latin America by helping market actors overcome key financial and knowledge barriers. This will help trigger a transition in the financial sector towards sustainable financing with positive climate change impacts.

CAF has extensive expertise supporting the formulation and implementing of **Land Use projects and programs**. In terms of internal capacity to assess sustainable land use projects, CAF has a Vice-presidency of Sustainable Development with the purpose of promote and implement a regional agenda for sustainable and inclusive development in the region, by promoting growth that preserves biodiversity and is low in emissions and resilient to climate change, and which in turn facilitates access for the population to basic quality services in the sectors and / or thematic areas of water and sanitation, urban development, education, health, biodiversity.

This department is composed by four divisions, including Sustainability, Inclusion and Climate Change Division composed by 71 employees. Under this division there are three units: Environment and Climate Change, Green Business and Inclusion and Gender Equity Unit. As part of the team there is 1 executive specialized in land use projects formulation and implementation. Further information on these resources is presented in Section 3.6 of the Feasibility Study.

In addition, the programme will have a Programme Management Unit (PMU) that will include a Land Use Specialist who will be in charge to support the programme implementation including the projects' assessment, supervision and monitoring and evaluation activities for this sector. Additionally, as part of the Technical Assistance Component it is included agreements with specialized organizations to conduct the monitoring and reporting activities for projects above 1 million USD to ensure that produce the intended emissions reductions.

CAF's track record in Sustainable Land Use across Latin America is described in Section 3.6 of the Feasibility Study. It includes description on work performed with Forest Management, CDM projects for the generation of tCER of forestry activities, evaluation of the Eco Efficiency of the Forest Industry, Development of REDD+ projects in forests and private protected areas of Latin America, Agro-master plan, and other projects in the agriculture and agroforestry sector. In this same Section of the Feasibility Study, two cases of partnerships with different LFIs are described.

CAF has strategic partnerships in Sustainable Land Use with many organisations, such as:

- Instituto Interamericano de Cooperación para la Agricultura (IICA)
- International Centre for Tropical Agriculture (CIAT by its acronym in Spanish)
- Tropical Agricultural Research and Higher Education Center (CATIE by its acronym in Spanish)
- Food and Agriculture Organization of the United Nations (FAO)
- Korean Forest Service
- Agence Française de Développement (AFD)

CAF will seek the support of a Strategic Alliance for the optimal implementation and monitoring of the Programme.

CAF's functions as Accredited Entity and Executing Entity

CAF will hold the roles of both Accredited and Executing Entity of the Programme, based on its experience of successfully carrying out similar programme activities involving financial intermediation, in the Latin American region. The existence of a central unit, within CAF's sphere, will allow to guarantee compliance with technical standards and a close monitoring and follow-up by CAF to ensure consistent levels of progress in a unified manner across all four

²¹ More information on PGASIF can be found: www.pgasisf.org/

countries as well as a regular flow of information where progress of activities can be contrasted against the plan. This allows taking corrective actions if necessary, during Programme's execution, ensuring it is cost-effective.

The external auditing and the incorporation of observations and lessons learned to arise from such studies are guaranteed. All execution will be conducted based on an Operations Manual arising from any such agreement as CAF may enter with the GCF, which will respect all understandings reached.

GCF proceeds will be channelled by CAF onto Local Financial Institutions for the purposes of funded activities.

Component 1.0 Green finance credit line for LFIs

- Local Financial Institution (LFIs) and beneficiaries/SMEs²², as local and national actors execute projects/programmes

Component 2.0 – Technical Support and Awareness Building

CAF executes, carries out or implements activities under this component

CAF as Accredited Entity

CAF will maintain day-to-day oversight responsibility for Programme supervision and have direct responsibility for fulfilling the duties and obligations of a GCF Accredited Entity. It will be responsible for financial management and accountable for the use of GCF resources under the Programme. It will provide technical and administrative backstopping to the Programme Management Unit or PMU (see below) to ensure results-oriented management and proper administration of funds. It will maintain Programme accounts, monitor resource mobilization of baseline and co-finance. Financial transactions will be subject to annual audits undertaken by internationally certified auditors. The AE functions involve the provision of monitoring and evaluation services as well.

CAF will have permanent coordination with Programme staff and dialogue with Programme stakeholders.

CAF as Executing Entity

The Programme Management Unit (PMU) will be established in Panama at CAF's Headquarters will have a dedicated team to guarantee all components and activities are carried out according to the Programme design. It will articulate with the monitoring and evaluation activities (covered by CAF as Accredited Entity) to ensure that all expected results will be achieved on time and within budget.

This PMU will have a Programme Coordinator, an Energy Specialist, a Land Use Specialist, an Environmental and Social Specialist - with demonstrated knowledge in Gender approach – financed by CAF), and a Capacity Building Officer, that will as well provide administrative support of the PMU. Principal Executives of the Private Sector Vice-Presidency, and that are already part of CAF for the management of intermediated programmes, will be assigned for this Programme (1 in each participant country). The PMU will work closely with them, with the Monitoring and Evaluation Specialist (covered by the AE fee), with the administrative areas within CAF (Legal, Procurement, Human Resources, etc.), and with CAF's Sectorial Specialists (See Figure 15).

Training of CAF's Principal Executives will be prioritized for CAF to be able to provide more direct support to LFIs throughout the Programme.

The PMU will ensure that Programme implementation proceeds smoothly through well-written work plans, Terms of Reference and carefully designed administrative arrangements that meet CAF and GCF requirements. PMU's responsibilities will include the following:

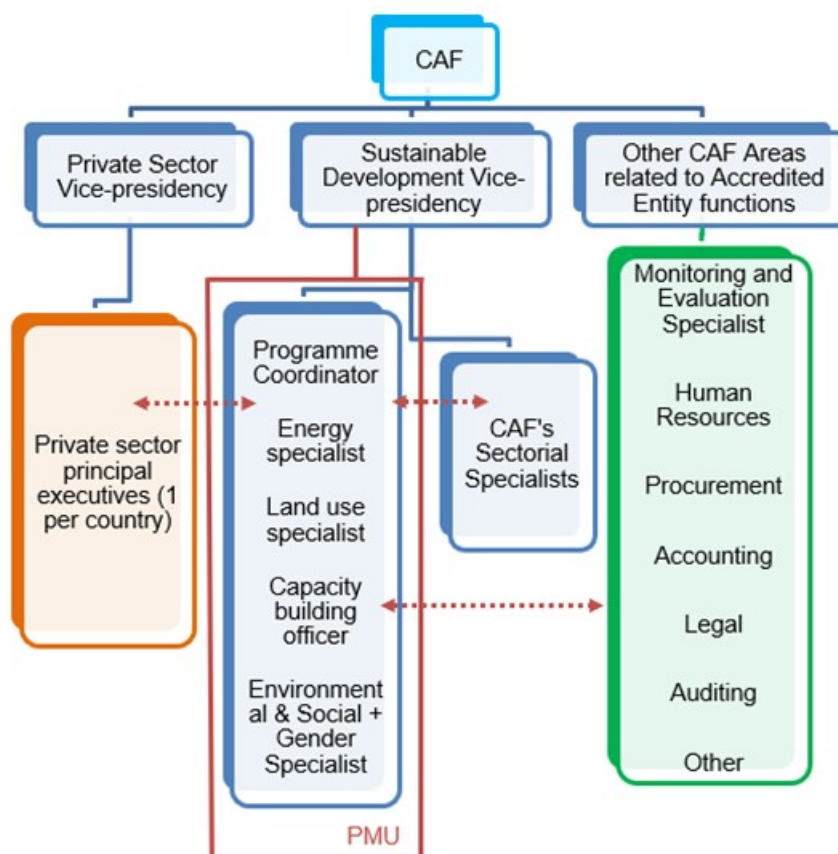
- Follow-up of the achievements of the Programme outcomes, outputs, and objectives.
- To manage day-to-day implementation of the Programme, coordinating activities by the rules and procedures of CAF/GCF.
- To provide overall administration, while acting as an independent and unbiased guarantor of cooperation and information exchange.
- To provide technical input as appropriate to the outcomes.
- To facilitate staff recruitment and procurement processes.
- To ensure, together with CAF, to coordinate with the stakeholders and other relevant regional programmes.
- To approve individual SME/PST projects to be financed by LFIs.
- To ensure, together with CAF, to convene quarterly Programme Implementation Meetings (PIMs) to review progress in implementing work plans.
- To ensure, together with CAF, that specified tasks are outsourced to suitable sub-contracted providers or national and international consultants through competitive bidding processes. PMU responsibilities in this

²² *Beneficiary: Small and medium enterprises, the industrial and corporate sector, farmers, technology suppliers, producers, vendors and installers

regard include development of bidding documents and terms of reference and monitor the overall progress of these processes.

- To organize Programme-level meetings and workshops, e.g., inception workshop, etc.
- To monitor financial progress reports and the financial balance provided by CAF's operational systems.
- To prepare overall Programme reporting.
- Planning and monitoring the technical aspects of the Programme, including regular field visits and periodic reporting.
- Ensuring advanced funds are used following agreed work plans and Programme budget.
- Preparing and adjusting commitments and expenditures to be authorized by CAF. Guaranteeing timely disbursements, financial recording and reporting against budgets and work plans.
- Managing and maintaining budgets, including tracking commitments, expenditures and planned expenditures against budget and work plan.
- Maintaining productive, regular and professional communication with other Programme stakeholders to ensure the smooth progress of Programme implementation.

Figure 15: The Programme Management Unit (PMU)



B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

GCF concessional loans and grants are required to supplement CAF funding for the programme to achieve the desired paradigm shift from an incipient to a sustainable market for local climate change projects across four countries with a total population of 72 million people. The main alternative funding source is private sector green bonds, which may be cost-prohibitive. Loans from national development agencies are more expensive, and often not tailored for climate investments. CAF is proposing to finance 50% of the programme, which ensures the effective use and leverage of GCF dollars. By co-financing the programme, GCF will be able to mobilize CAF's network in Latin America to support the implementation of target countries' NDCs. CAF is prepared to provide \$95 Million in loans to LFI to get this market off the ground but requires a partner able to provide concessional resources to trigger investments from the LFIs in climate related investments. GCF is the only source of climate finance capable of providing the volume of co-financing required, given the large size and geographic scope of the programme. Such support is particularly relevant due to the programme's potential for replication and scaling-up – in total, Latin America includes 20 countries, and has a population of 640 million people.

CAF will serve as a bridge between GCF and LFIs – as the programme is designed to provide consistent and stable low interest financing with favourable tenors for local climate change projects in Latin America. To date, this market has been inconsistent and inadequate at best. This is because there is many demand- and supply-side barriers to carrying-out local climate change projects. (see section B2 for a description of barriers).

In addition, grant resources to be provided by the GCF for the Component 2 – Technical Support and Awareness Building are essential to enable the successful implementation of the programme, and ensure the long-term sustainability of the programme in promoting low-carbon investments in target countries and sectors.

Previous experience with SME loan programmes for climate change mitigation activities has shown that loan programmes (including concessional loan programmes) alone are not enough, and that it is critical to mobilise demand and remove barriers to uptake. Component 2 of this programme is designed to do this, by (depending on the country and country needs) designing risk mitigation instruments for end users, developing standardised contracts to improve transparency, supporting banks to put in place efficient green loan disbursement systems and monitoring systems; matchmaking TSPs with Beneficiaries/SMEs (clients), and LFIs; raising awareness and building capacity.

The participant countries have been impacted by the global COVID-19 outbreak. Confinement and social distance measures, as well as the economic downturn will directly affect SMEs' investments. In response, CAF has approved a USD 50 mm Emergency Loan to each of its country-members directed towards the health sector and a USD 2.500 million Emergency Credit Line which will allow authorities to contribute to the continuity of business operations and the recovery of their economies. . This decision is of great importance for helping local MSMEs to deal with the economic downturn. The GCF funding will come to provide support and generate synergies through this programme, at a key time for fostering post-crisis low-carbon development.

B.6. Exit strategy and sustainability (max. 500 words, approximately 1 page)

The programme's capacity building and technical assistance approach will ensure programme sustainability over the long term. In terms of LFIs, technical assistance elements will support LFIs to develop financial mechanisms and business models that can help overcome current market barriers (e.g. upfront costs, perceived high risks related to climate change projects, etc.). These financial mechanisms, such as pay per use models, among others, are long-term and will continue to operate on the market after the implementation of the GCF programme. Capacity building for LFIs (Activity 2.3.1), will provide support for LFIs to develop internal processes to assess climate change mitigation projects and investments. It will further support LFIs to develop green lists for low carbon investments and draw attention to projects with negative impacts. This will ensure organizational strengthening and long-term capacity improvements, ultimately resulting in strengthened institutional structures to enable LFIs to continue to offer green lending opportunities in the long term.

Related to beneficiaries, awareness raising activities are expected to have a long-term effect in increasing awareness on the value of climate change projects and green investments by the stakeholders of the prioritized sectors. Over the duration of the Programme, it is expected that sustainable investments will demonstrate their benefits and value with a critical mass of projects. A common barrier for investments in low carbon technologies and practices is the lack of confidence in new technologies. The programme will help overcome this barrier through a combination of financial and non-financial risk mitigation instruments (Activity 2.2), and proof of concept through the critical mass of demonstration processes. Ultimately, the programme will encourage Beneficiaries/SMEs to continue investing in climate friendly technologies at market rates, beyond the programme's lifespan.

The programmes capacity building and technical assistance approach will ensure programme sustainability in the long-term. Technical assistance elements involve supporting LFIs to develop financial mechanisms/business models that can help to overcome current market barriers (upfront costs, high risk perceptions related to projects). These financial mechanisms (for example, pay per use models), will be long term and will continue to operate on the market

after the GCF programme is implemented. Capacity building for LFIs (activity 2.3.1), and support for LFIs to develop internal processes to assess climate change mitigation projects (via the technical assistance element and the development of a positive and negative list for climate friendly projects), will ensure long term capacity improvements, as well as institutional strengthening and sustainable change in the LFIs, to enable them to continue offering green lending in the future. SMEs and TSPs will as well be strengthened by the specific capacity building (Activity 2.3.2). The communication and lessons learned activities will further foster the long-term vision of the Programme actions.

C. FINANCING INFORMATION

C.1. Total financing

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)		Total amount		Currency		
		\$100,000,000		USD		
GCF financial instrument		Amount	Tenor	Grace period	Pricing	
(i)	Senior loans	\$95,000,000 (pari-passu)	10 years	(As defined in the term sheet) years	(As defined in the term sheet) %	
(ii)	Subordinated loans	NA	NA years	NA years	NA %	
(iii)	Equity	NA			NA % equity return	
(iv)	Guarantees	NA	NA years			
(v)	Reimbursable grants	NA				
(vi)	Grants	\$5,000,000				
(vii)	Results-based payments	NA				
(b) Co-financing information		Total amount		Currency		
		\$50,200,000		USD		
Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
CAF	Loan	\$50,000,000	USD	10 years 0 years	Enter%	pari-passu
CAF	Grant	\$200,000	USD	Enter years Enter years	Enter%	Options
(c) Total financing (c) = (a)+(b)		Amount		Currency		
		\$150,200,000		USD		
(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)		Please explain if any of the financing parties including the AE would benefit from any type of guarantee (e.g. sovereign guarantee, MIGA guarantee). Please also explain other contributions such as in-kind contributions including tax exemptions and contributions of assets. Please also include parallel financing associated with this project or programme.				

C.2. Financing by component

Full programme budget is included in Annex 4.

Component	Output	Indicative cost Options	GCF financing		Co-financing		
			Amount Options	Financial Instrument	Amount Options	Financial Instrument	Name of Institutions
1: Finance	1.1: Green finance credit line for LFIs (note: funding from GCF and CAF is to be disbursed down to LFIs proportionally and at the same time.).	\$145'000'000	\$95'000'000	Loan	\$50'000'000	Loan	CAF
2: Technical support and	2.1: Climate change and mitigation awareness raising	321,503	321,503	Grant	0	Grant	CAF

awareness raising	2.2: Enabling environment activities for development of projects	362,460	357,860	Grant	4,600	Grant	CAF
	2.3: Technical support and capacity building	4,019,654	3,853,304	Grant	166,350	Grant	CAF
	2.4: Dissemination and learning	261,383	241,383	Grant	20,000	Grant	CAF
Programme management	3.1: Programme management costs	235,000	225,950	Grant	9,050	Grant	CAF
Indicative total cost (USD)		\$150,200,000	\$100,000,000		\$50,200,000		

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?

Yes ☒ No ☐

C.3.2. Does GCF funding finance technology development/transfer?

Yes ☐ No ☒

Programme activities of Subcomponents 2.1, 2.2, 2.3, and 2.4 of Component 2 Technical Support and Awareness Building are designed to increase knowledge and learning of market actors.

This Component requires an amount of USD 4.965 million (USD 4.765 million funded by the GCF and USD 0.2 million co-financed by CAF). Please refer to Section B.3 for description.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's [Initial Investment Framework](#).

D.1. Impact potential (max. 500 words, approximately 1 page)

This programme is expected to achieve 10.70 million tCO₂eq of emission reductions through its lifetime, while training personnel at 11 LFIs on project assessment, and increasing climate awareness among 36,420²³ other local market actors. The programme will result in a total cost of USD \$14.03 per tCO₂eq avoided.

In addition, the programme is projected to result in:

- 1,270 GWh saved through energy efficiency projects
- 1,168 GWh generated from distributed renewable energy projects
- USD \$8,51 Million in income generation from land use projects
- 21,662 ha in land area managed under sustainable use

Other relevant indicators

Direct beneficiaries:

- 1,214 SMEs directly benefiting through loans and projects (target of 39% women owned SMEs).²⁴
- 11 LFIs will receive technical assistance, and 110 LFI staff will be trained on the identification, administration, and MRV on climate change loans (target of 50% women attending training seminars and workshops).

Indirect beneficiaries:

- Approximately 36,420 people will be reached through awareness building efforts
- GWh reductions through energy efficiency and renewable energy investments: 201.45 GWh per year
- Income generation from land use projects: USD \$8.51 Million per year

Area under sustainable land use: 21,662 ha.

See Annex 3, and Annex 6 for beneficiary indicator calculations.

The above mentioned gender targets (within the beneficiary descriptions) have been established considering existing figures that around 39% of SMEs in Latin American countries are owned by women.²⁵ In 2011-2012, only 22% of loans in LAC were provided to women-owned SMEs.²⁶ Thus, we propose to target at least 39% women-owned SMEs within the programme to enhance the engagement of women in accessing financial services and loans. Additional gender targets for activities are described in the gender action plan.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

Paradigm shift

The proposed programme is highly scalable and replicable, not only within Latin America but throughout the developing world because the market barriers the programme is designed to address (as described in the section B2 on barriers) are not unique to the target countries included in this proposal. Globally, these barriers – combined with the tendency of climate funds to prioritise large-scale results²⁷ – means that less than 10% of international, national, and regional climate funds reach the local level.²⁸ The programme seeks to change this tendency by making climate finance resources available at the local level through LFIs.

The programme is scalable within target countries because it takes a comprehensive approach to developing local markets for climate change projects. Increasing the volume of financing for local climate change projects through LFIs is one explicit output of this programme's design, but for the programme's on-lending financing structure to be successful requires a wide range of additional market interventions. Other programme financial activities include the development of standardized contracts that define contractual arrangements between SMEs and the TSP and aim to build trust and provide different performance incentives for TSPs who exceed the climate change goals in their contracts. Training, education and awareness building activities performed by the programme will teach LFIs how to

²³ Approximately 10 times the number of total projects estimated to be carried out over the 5-year project period

²⁴ A women-owned enterprise is: (A) ≥ 51% owned by woman/women; OR (B) ≥ 20% owned by woman/women; AND (i) has ≥ 1 woman as EO/COO/President/Vice President; AND (ii) has ≥ 30% of the board of directors composed of women, where a board exists. (IFC definition)

²⁵ IFC 2014

²⁶ Ernst & Young in IFC 2014

²⁷ Marek Soanes et al. Delivering Real Change: Getting International Climate Finance to the Local Level. IIED Working Paper. March 2017

²⁸ Ibid.

accurately assess climate change projects, directly connect local market actors (LFIs, TSPs, and technical service providers), and educate businesses on the benefits of carrying-out climate change projects.

Ongoing programme monitoring and evaluation will enable a process of continuous programme improvement. Lessons learned can be used to develop the next generation LFI programmes in other countries. To facilitate the process of replication throughout the LAC region, CAF will develop a portfolio of success stories that demonstrates the value of the programme to LFIs, TSPs, technical service providers, and local governments. Lessons learned and exemplary cases will be published on the programme web site and be used by CAF to recruit market actors for participation in replicate programmes.

The proposed programme targets four countries in the LAC region and will leverage existing CAF relationships with 11 LFIs across the countries. Should this programme move forward successfully, it could be replicated in additional Latin American countries. It could further integrate green financing for projects with adaptation benefits, some of which have been identified in the ESMS in Annex 6.

Contribution to the creation of an enabling environment

Despite strong progress at the policy level in some countries in Latin America, markets for climate change mitigation solutions - in particular small and medium sized projects - remain underdeveloped. The market environment for small to medium scale project requires support to develop at the pace needed to achieve national and global emission reduction targets.

This programme, along with the ongoing support of CAF, is designed to foster the development of new markets for low carbon solutions by creating an enabling market environment for small and medium sized projects.

Specifically, the following activities will contribute to overcome barriers, and create a long-term enabling environment for investments in low carbon solutions:

- The project will put in place long-term robust structures for green lending in at least 11 LFIs across Latin America. The green credit lines and technical support will involve the development of processes and procedures to evaluate green projects, which will have a long-term and sustainable impact.
- The green lending and technical support will also involve the development of an inventory of best practice energy efficiency, renewable energy and land sector mitigation projects. This will enable impact well beyond the lifetime of the project and will also enable the scaling-up of the programme within other LFIs. The project will enhance the ability of LFIs to understand and evaluate climate change projects and reduce the risk perception of the LFIs in relation to these projects.
- Capacity building for market actors, including financial institutions and TSPs will ensure that the market impacts are sustainable.
- Green finance credit lines and awareness campaigns will support the development of demand for green products, and hence the development of new green markets in sectors that have been traditionally difficult to reach (for example, the SME sector). Beneficiaries/SMEs will benefit from the awareness raising campaign and accessible and affordable finance (available through local and familiar financial institutions), to implement projects that will reduce their operating costs and increase their productivity. The early operation of the programme is expected to demonstrate to end users the value of the solutions, which will stimulate awareness and demand beyond the target financial institutions and target countries, to other market sectors and areas in Latin America.
- The project will also establish long-term alliances between trusted TSPs and financial institutions, putting the connections in place to enable the different market actors to collaborate.

Contribution to regulatory framework and policies

All target countries have the necessary legal frameworks in place to systematically drive investment in climate change projects. The element that is missing, and which this programme is designed to address, is accessible and affordable financing, as well as the establishment of a strong green finance market.

As outlined above, the project is well aligned with national emission reduction targets and priorities. Successful performance of the programme, and the creation of an enabling market environment, will encourage and support national and local authorities to prioritize strong policies in these sectors. To address any remaining barriers in the market, CAF will continue to carry out policy dialogue activities, not as part of the proposed programme but in parallel in its function as a regional development bank.

This programme will also build upon and complement existing agreements focussing on greening the financial sector in Latin America, such as the Protocol Verde (Green Protocol) and Protocolo de Sostenibilidad / Protocolo de Finanzas Sostenibles (Sustainable Finance Protocol) and the National Sustainable Finance Tables. These voluntary protocols provide guidelines to support the financial industry to address growing environmental and social issues.

This programme will support LFIs to understand and make the most of the business opportunity associated with green projects; hence, supporting the banking sector to green, even in the absence or more stringent green banking policies or regulations.

D.3. Sustainable development (max. 500 words, approximately 1 page)

Programme co-benefits include the following indicators and targets:

Economic

- **Additional income from land use investments and energy savings:** Mitigation investments in land use generate additional income in the form of sales revenues from timber and other land use products. Energy efficiency and renewable energy projects reduce SMEs expenditure on energy bills and improve productivity.
 - *Target: USD \$31million in additional income generated by the end of investment period.*
- **Financing mobilized:** LFIs finance 70-80% of total project costs (debt to capital ratio). The additional amount comes from the beneficiary SMEs themselves. The total financing mobilized by this program is the sum of LFI investments and the SMEs own capital.
 - *Target: At least USD \$35 million mobilized from SMEs (project developers' capital).*

Environmental

- **Area under sustainable land use:** The main environmental co-benefit of land use mitigation investments will be new areas brought into sustainable land use, measured in hectares.
 - *Target: At least 21,662 hectares under sustainable land use practices (total)*

Adaptation

- **Area with enhanced resilience and SMEs with less dependency on energy supply:** Many of the eligible investments have potential adaptation co-benefits. For example, establishing production systems with a tree cover can lower the risk of erosion due to heavy rain events related to climate change, if compared to a baseline without tree cover; the adoption of adapted pastures increases resilience of the farming systems; renewable energy generation and energy efficiency measures lowers vulnerability by lowering the dependence on external energy supply.
 - *Target: At least 21,662 hectares under sustainable land use practices; 289 land use sector projects; 234 renewable energy projects and 691 energy efficiency projects.*

Social

- **Number of Beneficiaries/SMEs (direct beneficiaries):** The number of direct loan beneficiaries directly translates from the number of projects financed, as we assume one project per beneficiary SME.
 - *Target: 1,214 direct beneficiaries engaged in the programme, including 289 land use sector projects, 234 renewable energy projects, and 691 energy efficiency projects*
- **Number of LFI staff trained (direct LFI beneficiaries):** LFI staff will be trained in the identification, administration, monitoring and reporting of climate change loans (energy and land use together). We assume on average 10 participants per participating LFI and currently 11 participating LFIs.
 - *Target: 110 participants from LFIs participate in trainings and workshops (50% women).*
- **Number of jobs created from land use sector investments (indirect beneficiaries):** Land use mitigation investments tend to generate additional jobs, because system complexity increases with higher area efficiency. Example: Converting an extensive cattle pasture into a silvo-pastoral system requires additional management of cattle and the added management of the forestry component including labour for the establishment and continued maintenance of the plantation. For the estimation, only additional on-farm jobs are taking into account, not indirect jobs created up- and downstream the value chain, e.g. in tree nurseries and in wood processing. For pure forestry plantations, 0.1 full time equivalent positions created per hectare of investment is assumed, for silvo-pastoral systems 0.15 and for agro-forestry systems 0.3. The mathematical average of these is 0.18. The weighted average, based on the likelihood of investment types materializing per country and LFI, will yield a more precise estimate. A conservative estimate of the number of jobs created based on the area target and the mathematical average number of jobs created per hectare.
 - *Target: 3,899 jobs created from low-carbon land use sector investments²⁹*
- **Number of jobs created from energy efficiency and renewable energy investments:** It is estimated that 14.4 jobs are created for every USD \$1 million invested in energy efficiency. This is based on an average of

²⁹ Since the jobs created will be calculated by a coefficient per land use investment type, a gender-disaggregated target cannot be provided.

two sources including the European Energy Efficiency Industrial Forum and Apollo Alliance.³⁰ This results in a total of approximately 989 jobs generated through the programme from energy efficiency sub projects.

- It is estimated that 6.65 jobs are created per MW installed for renewable energy sub-projects. This is based on an average estimate from four sources including Renewable Energy Policy Project (2006), the European Photovoltaic industry Association and Greenpeace (2006) and others.³¹ This results in a total of over 283 jobs generated through the programme from the renewable energy sub projects.

- *Target: 1,272 jobs created from energy efficiency and renewable energy investments.*

Gender

- **Number of participating LFIs with gender strategies, policies or procedures, or women-targeted financial products:** The programme will include within their evaluation of LFIs the existence and quality of gender strategies, policies or procedures within LFIs, and whether or not they have any women-targeted financial products. Funds will be supported to develop and/or strengthen LFIs strategies as needed.
 - *Target: All participating LFIs have gender strategy, policy or procedures, and/or women-targeted financial products.*
- **Number of women participants in trainings, workshops and conferences:** The number of women and men attending programme supported workshops, trainings and conferences. Gender-disaggregated lists of participants will be collected.
 - *Target: 50% of participants in trainings, workshops and conferences are women.*
 - *Target: 50% female LFI staff are trained within programme activities (50% of LFI staff trained within the programme)*
- **Number of beneficiary SMEs that are women-owned or -led:** In Latin America and the Caribbean around 39% of SMEs are owned by women,³² however only 22% of loans were provided to women-owned SMEs.³³ The programme aims to strengthen the provision of green credit lines to women-owned SMEs.
 - *Target: At least 39% of beneficiary SMEs are women owned.*
- **Amount of programme loans that reach women-owned or -led SMEs:** The amount of programme finance in senior loans that are accessed by women-owned or -led SMEs. Currently only ~22% of finance is accessed by women-owned SMEs in Latin America.³⁴
 - *Target: 30% of programme loans accessed by women-owned or -led SMEs*
- The programmes Gender Action Plan ensures cross-cutting gender-related measures have been integrated into all activities and the programmes monitoring framework. It further addresses key barriers identified in the gender assessment that limit women's access and/ or use of green finance through the provision of capacity building, and targeted support for LFIs and beneficiary SMEs and other key stakeholders. A communication plan and dissemination strategy will be developed for the programme within the first year, which will include a strategy for how to engage women and promote gender-sensitive development. LFIs will be supported to develop or strengthen their gender policies, strategies and procedures, in addition to strengthening their Environmental and Social Management Systems (ESMS), which will include monitoring of key environmental and social standards, including gender. In addition, the programme management team will include a gender specialist to monitor the implementation of the GAP, support with gender-related trainings and activities, and provide support to LFIs to implement gender-related measures within the programme (for further information refer to the Gender Assessment and Action Plan in Annex 6).

D.4. Needs of recipient (max. 500 words, approximately 1 page)

Financial, economic, social and institutional needs

The programme addresses the economic development level, institutional strength and implementation capacity of the target countries by accelerating markets for local climate change projects through concessional financing, training of LFI staff in project assessment and monitoring and verification, standardized contracts for TSPs and SMEs, and matchmaking between LFIs, TSPs and SMEs beneficiaries. The programme fills a large gap in local financing by focusing efforts on LFIs. Currently, most small and medium sized enterprises in target countries are facing high interest rates from commercial banks with no differentiation for climate investments, and/or they have limited relationships with

³⁰ According to the European Energy Efficiency Industrial forum, (2012) 19 new direct jobs are created for every one million Euros invested in energy efficiency (equivalent to 15.8 jobs per million USD). According to the Apollo Alliance's research, it is projected that about 13 full time equivalent jobs are created per million dollars invested into energy efficiency. An average of the two sources has been used and multiplied by the total expected investments in energy efficiency.

³¹ REPP, 2006 estimates 4.5 jobs per MWh installed, EPIA / Greenpeace, 2006 estimate 12.2 jobs per KWh installed; CAPPIRG, 2002 estimate 2.5 jobs per KWh installed, and IDEA, 2005 estimate 7.4 jobs per MWh installed. An average of 6.65 was taken and multiplied by the total MWh to be installed as part of the programme.

³² IFC 2014

³³ Ernst and Young in IFC 2014

³⁴ Ibid.

commercial banks. The programme's awareness raising campaign and gender action plan are designed to increase awareness on the benefits of green projects and opportunities for LFIs and project developers, ultimately supporting social and gender-inclusive development.

Economic and social needs for the SME segments in LAC

The SME beneficiaries of the program, SMEs, are key elements of economic and social growth within the four participating countries, in Latin America, and amongst developing and emerging economies worldwide. The contribution of SMEs to total employment (when considering the micro segment as well) averages 67%, across all national income levels from low to high income countries.³⁵ Against this background, supporting the economic growth of SMEs through concessional loans for efficiency upgrades (which climate change mitigation loans are in effect, whether in energy or land use) can have a strong macro-economic benefit with associated social benefits for job creation in participating countries.

SMEs, (including farmers), often need efficiency investments the most in order to generate cost savings and higher profit margins in the long run. At the same time, this segment relies more frequently on financing than larger businesses in order to be able to afford long term upgrades such as higher performance technologies. For example, investing in residential energy efficiency is a key measure in addressing the rising cost of housing. In land use, investing in improved cattle breeds and feed and incorporating trees into the production is an effective measure to generate additional cash flow and higher return per area.

Financial needs – lack of adequate financial products for climate change investments

The Latin American finance gap for SMEs is USD \$1,098 billion.³⁶ Given that 39% of SMEs are women owned (on average across sectors), the gender specific gap is 86 billion USD, the largest credit gap for women owned SMEs across global regions. This generic financing gap becomes more pronounced for longer term investments as short-term investments are often self-financed in this segment. SMEs often lack access to long term financing with adequate conditions (pricing, tenor, and grace periods) due to small loan sizes and relatively high transaction costs. According to a global OECD study (2018), the average interest rate spread between loans to SMEs and larger enterprises was between 3.52 and 12.70 percentage points in participating Latin American countries; in Chile the difference was 5.29 for example (with a decreasing trend). This difference in lending conditions based on company size is indicative of the difficulties SMEs face in accessing attractive financing that responds to their needs.

In addition, lending for new technologies such as clean energy solutions and climate change mitigation practices in land use, creates another barrier on top. As outlined in previous sections, these technologies tend to offer longer than usual payback periods with lower returns and high upfront costs. While the trend is moving towards longer term SME financing (> 1 year) in general,³⁷ tenors of more than 5 years are not available in target markets at adequate terms.

Need for strengthening LFIs' institutional and implementation capacity

LFIs are interested in the SME segment, as well as in climate change investments, if a) financial incentives from external sources are made available; and b) capacities could be developed in-house to manage this type of credit product. In summary, LFIs face institutional and implementation capacity barriers throughout the entire loan cycle that hinder them from servicing climate change credits to SMEs:

- **Client acquisition:** LFIs do not have trusted relationships with project developers, or projects are too small to be of interest; LFIs do not have sufficient connections to get the help they need to generate climate change loans to new or existing clients.
- **Credit sourcing:** Credit officers do not have the tools or knowledge to effectively identify climate change projects or understand their financial and non-financial benefits.
- **Credit rating:** LFIs do not have the tools or knowledge to effectively evaluate the financial viability of climate change projects; the perceived level of risk of financing climate change projects is too high for LFIs.
- **Credit pricing and condition setting:** LFIs have insufficient suitable capital to invest in climate change projects
- **Monitoring & evaluation:** LFIs do not have the ability to monitor and report on project results.

D.5. Country ownership (max. 500 words, approximately 1 page)

Existence of a national climate strategy and coherence with existing plans and policies, including NAMAs, NAPAs and NAPs

³⁵ ILO 2013

³⁶ IFC, MSME Finance Gap, 2017. < <https://www.ifc.org/wps/wcm/connect/03522e90-a13d-4a02-87cd-9ee9a297b311/121264-WP-PUBLIC-MSMEReportFINAL.pdf?MOD=AJPERES&CVID=m5SwAQA>

³⁷ OECD 2018

All of the target countries have the national policy frameworks and the ambition needed to foster local climate change projects. Commitments such as countries' NDCs to the UNFCCC, and other relevant policies are outlined in Section B1, strategic context, and the market assessment. This programme has been designed to support selected LFIs that will contribute to the national targets set out countries' NDCs, ensuring alignment with relevant policy documents and supporting other international commitments (Sustainable Development Goals, Aichi Biodiversity Targets, etc.).

Engagement with NDAs, civil society organizations and other relevant stakeholders

During the preparation of this proposal, CAF has engaged with the four-target country's NDAs with regards to this Programme through face-to-face meetings, presentations and email correspondence. After consultations made during 2018-2019, CAF has continued holding meetings with the NDAs. In 2020, meetings with NDA representatives served to follow up on the advances of the proposal's preparation, to receive improvement requests that were responded satisfactorily and to address queries regarding a diverse set of issues such as beneficiary eligibility, interest rates, programme timeline, synergies with other projects and programmes, and monitoring and evaluation. The Funding Proposal and its annexes were adapted to fulfil the NDAs' suggestions and were submitted to them. CAF is committed to maintaining fluid communication with governments throughout the implementation of the program. In addition to maintaining an open channel, the program includes specific and structured activities to maintain dialogues with these actors and share the progress and lessons learned from the program (see Sub-component 2.4).

CAF has been active in these four countries providing support for policy dialogue activities. For example, in Chile, CAF is supporting the National Development bank (CORFO) for developing a green investment platform (GIP), and CAF has been engaging directly with local authorities in Panama, Ecuador, Peru and Chile, with regards to sustainable energy, energy efficiency and land-use policy formulation, implementation and financing. Additionally, CAF has extensive multi-stakeholder engagement experience in the target countries in topics related with transportation, hydro, biomass, sustainable land use.

CAF collaborates with LFIs that are part of this Programme, and has direct communication with governments, authorities and the civil society, to uphold the principle of country ownership via direct partnerships through their national offices (CAF has offices in the four countries); via country representatives on CAF's Board of Directors (all member countries are represented), and via the provision of country and sector strategies that are developed with the relevant country's involvement and in consultation with key stakeholders.

During the preparation of this proposal, CAF has held roundtables with LFIs, one-on-one meetings with banking associations and TSPs. CAF has also engaged with SMEs, SMEs representatives, SMEs associations and entities with recognized knowledge on SMEs and the sectors targeted by this proposal. All these actors helped to identify the key needs and barriers, and to design the Programme. Interviews have also served to draw a list of potential subprojects that could be considered by the Programme in early stages of the implementation. Consultations with women-led SMEs have been carried out. However, additional consultations are planned during program implementation, in line with the Gender Action Plan. Please refer to Annex 2. Feasibility study and market assessment and Annex 7. Stakeholder consultations and stakeholder engagement plan, for further details on the consultation processes in each of the participant countries. Table 15 summarizes the main actors approached.

Table 15: Consulted LFIs and entities in each country

Panama	Ecuador
LFIs: Banistmo, Multibank SMEs, TSPs, actors with informed opinion: Sindicato of Industries, National Cleaner Production Centre, Induplast, Plásticos Generales S.A., SN Power – Association of mini hydropower plants, Union of Industrialists of Panama.	LFIs: Procredit, Produbanco, Banco Pichincha, Banco Bolivariano, Banco Guayaquil, CFN, Banco Pacífico, Mutualista Pichincha, Asociación de Bancos Privados del Ecuador. SMEs, TSPs, actors with informed opinion: Quito's Chamber of Commerce, Agromache, Agroapoyo.
Peru	Chile
LFIs: Scotiabank, BCP, BanBif, Interbank SMEs, TSPs, actors with informed opinion: ENGIE Services Peru, Energy Efficiency Directorate (MINEM), National Society of Industries, Inter-American Finance Bank, Reforesta Peru, Atria Energía.	LFIs: Banco del Estado de Chile, Banco BICE, Banco de Crédito e Inversiones (BCI). SMEs, TSPs, actors with informed opinion: Chilean Development Corporation (CORFO), Sustainability and climate change agency, Wood Certification Corporation, Santa María University, chair of environmental economics, ANESCO, National Association of Energy Efficiency Companies, local experts in climate investments.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

Estimated cost per t CO₂ eq, defined as total investment cost / expected lifetime emission reductions (mitigation only)

(a) Total project financing	USD \$150.2 million
(b) Requested GCF amount	USD \$100 million
(c) Expected lifetime emission reductions overtime	10.70 million tCO ₂ eq
(d) Estimated cost per tCO ₂ eq (d = a / c)	USD \$14.03 / tCO ₂ eq
(e) Estimated GCF cost per tCO ₂ eq removed (e = b / c)	USD \$9.34/ tCO ₂ eq

Describe the detailed methodology used for calculating the indicators (d) and (e) above.

A bottom-up assessment of project potential by country by project type was performed. Refer to Annex 3 for further details on the calculation.

- Expected volume of finance to be leveraged by the proposed project/programme and because of the Fund's financing, disaggregated by public and private sources (mitigation only)
- Private
 - US\$145 Million, from participating LFI's (through programme)
 - US\$35 Million, beneficiary contributions (SMEs)
- Public: US\$0

The leveraged ratio of the GCF Funding is 0.852:1.

This is the ratio of CAF contribution and beneficiary contribution, to GCF contribution.

The LFI's are not contributing additional funding. The LFI's receive the Funding to create green credit lines with the aim to allocate these funding and repay the loan commitments to CAF and the GCF. However, the LFI's will be take the credit risk of project and the SME borrower.

A bottom-up assessment of project potential by country by project type was performed. Please see Annex 3 for further details.

Economic and Financial Analysis

A bottom-up economic and financial analysis was performed by technology type, and by country – please refer to Annex 3.

Unsuitable financing options – including high and undifferentiated interest rates for climate investment, and short-term loan tenors are one of the key barriers to investments in energy efficiency, renewable energy and land sector mitigation projects in Latin America. SMEs tend to prioritize other non-green investments that are more “attractive” in terms of risk-return.

Concessional funding from the GCF and CAF will be used to make these investments competitive against other investment opportunities. The provision of concessional financing, with longer loan tenors are key elements to support LFI's to continue to engage in this sector. The concessionality will be determined for each country and LFI, while also considering the corresponding market needs based on the principle of least concessionality.

Concessional loans and grants from the GCF along with CAF's investment will create and foster new markets for climate change projects at the local level in the target countries. Concessional financing provided by the GCF would allow to LFI's to provide suitable conditions for these projects, enabling investments in low-carbon solutions.

In the case of GCF financing for the forestry sector, that is, productive-oriented forestry projects, the additionality is given in the possibility of exploring mechanisms that ensure certain stability on the voluntary market price through an agreed minimum price of carbon credits; depending on the carbon sequestration, which, although they do not represent a significant income to the activity, significantly improve cash flow, becoming a mechanism that underpins the economic sustainability of the activity.

Technical Evaluation

Loan proceeds will finance local energy efficiency, distributed renewable energy, and land use climate change projects as described in Section B3, programme description. The sustainable energy technologies expected to be deployed are relatively consistent across the four target countries while land use project types considerably vary.

Appendix 2 of the Feasibility Study includes a comprehensive list of technical references, guidelines and manuals that will serve as guide for the implementation of the Programme. Some of the most relevant are:

Energy: CAF guidelines for Air conditioners, Compressed air, Automation and process control, High Efficiency Boilers, Water Heating with Solar Energy, Energy Cogeneration, photovoltaic solar energy, high efficiency furnaces, High Efficiency Lighting, High Efficiency Motors, Refrigeration, Fuel replacement.

Additionally, CAF has Sectorial Manuals for financing energy efficiency: Food and Beverage Manual for Ifs, Manual Public Lighting Company, Manual Hotels and Hospitals Company, Manual Agribusiness Companies, Agro industrial Manual for Ifs, Manual Food and Beverage Company, Public Lighting Manual for Ifs, Cement Companies Manual, Cement Manual for Ifs, Manual Large Company Surfaces, Manual Large Surfaces for Ifs, Hotels and Hospitals Manual for Ifs, Manual Pulp and Paper Companies, Pulp and Paper Manual for Ifs, Steel and Metalworking Manual for Ifs, Steel and Metalworking Manual for Companies, Textile Manual for Companies, Textile Manual for Ifs.

Land Use: numerous FAO publications have been taken as references for the Programme, with regards to Agroforestry, landscape restoration in degraded lands, integrated soil and nutrient management, low-carbon livestock, and aquaculture. Other publications by JICA, the Convention of Biological Diversity or IFC provide highly relevant knowledge on Agroforestry, natural forest management, silviculture. GHG tools and standards for the Sector are found relevant, e.g. Multicriteria HGH tool selector (FAO), Ex-act User Manual: Estimating and Targeting GHG mitigation in Agriculture (FAO), AFOLU requirements for the VCS Standard and Gold Standard. IFC guidelines on different Land Use aspects such as Annual Crop Production, Aquaculture, Dairy processing, Forest Harvest Operations, among others, have been as well been identified for guiding the technical quality of the Programme investments.

E. LOGICAL FRAMEWORK

This section refers to the project/programme's logical framework in accordance with the GCF's [Performance Measurement Frameworks](#) under the [Results Management Framework](#) to which the project/programme contributes as a whole, including in respect of any co-financing.

E.1. Paradigm shift objectives

Please select the appropriated expected result. For cross-cutting proposals, tick both.

X Shift to low-emission sustainable development pathways

☐ Increased climate resilient sustainable development

E.2. Core indicator targets

Provide specific numerical values for the GCF core indicators to be achieved by the project/programme. Methodologies for the calculations should be provided. This should be consistent with the information provided in section A.

E.2.1. Expected tonnes of carbon dioxide equivalent (t CO ₂ eq) to be reduced or avoided (mitigation and cross-cutting only)	Annual	535,228 t CO ₂ eq
	Lifetime	10,704,562 t CO ₂ eq
E.2.2. Estimated cost per t CO ₂ eq, defined as total investment cost / expected lifetime emission reductions (mitigation and cross-cutting only)	(a) Total project financing	\$150,200,000
	(b) Requested GCF amount	\$100,000,000
	(c) Expected lifetime emission reductions	10,704,562_ t CO ₂ eq
	(d) Estimated cost per t CO ₂ eq (d = a / c)	\$14.03 Choose an item. / t CO ₂ eq
	(e) Estimated GCF cost per t CO ₂ eq removed (e = b / c)	\$9.34 Choose an item. / t CO ₂ eq
E.2.3. Expected volume of finance to be leveraged by the proposed project/programme as a result of the Fund's financing, disaggregated by public and private sources (mitigation and cross-cutting only)	(f) Total finance leveraged	\$85,200,000
	(g) Public source co-financed	NA Choose an item.
	(h) Private source finance leveraged	\$ 85,200,000
		=
		\$50,200,000 (CAF contribution).
		\$35,000,000 (beneficiary contribution)
	(i) Total Leverage ratio (i = f / b)	0.852: 1
E.2.4. Expected total number of direct and indirect beneficiaries, (disaggregated by sex)	Direct	1,214 direct SME beneficiaries receiving loans and implementing projects as part of the programme. (39% women-led) 110 individuals from LFI's trained on E&S (50% of female)
		5,171 jobs created in climate friendly industries 36,420 people reached with climate change information and mitigation solutions
	For a multi-country proposal, indicate the aggregate amount here and provide the data per country in annex 17.	
	Direct	Click here to enter text. (Expressed as %) of country(ies)

E.2.5. Number of beneficiaries relative to total population (disaggregated by sex)	Indirect	Click here to enter text. (Expressed as %) of country(ies)
	<i>For a multi-country proposal, leave blank and provide the data per country in annex 17.</i>	

E.3. Fund-level impacts

Select the appropriate impact(s) to be reported for the project/programme. Select key result areas and corresponding indicators from GCF RMF and PMFs as appropriate. Note that more than one indicator may be selected per expected impact result. The result areas indicated in this section should match those selected in section A.4 above. Add rows as needed.

Expected Results	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	
M1.0 Reduced emissions through increased low-emission energy access and power generation	□ 1.1 Tonnes of carbon dioxide equivalent (t CO ₂ eq) reduced or avoided as a result of Fund funded projects/programmes – gender-sensitive energy access power generation (sub-indicator)	LFIs with CAF oversight	0	57.620 tCO ₂ e	218.775 tCO ₂ e	See Annex 3 (Financial Model). Methodology explained in Annex 11 (Monitoring and Evaluation Plan) Project lifetime: 20 years Justification of project lifetime: useful life of technology. Annual emission reductions: 80,171 tCO ₂ e Lifetime emission reductions: 1,341,168 tCO ₂ e
M3.0 Reduced emissions from buildings, cities, industries and appliances	□ 3.1 Tonnes of carbon dioxide equivalent (t CO ₂ eq) reduced or avoided as a result of Fund funded projects/programmes – buildings, cities, industries, and appliances subindicator	LFIs with CAF oversight	0	29.627 tCO ₂ e	112.137 tCO ₂ e	See Annex 3 (Financial Model) Methodology explained in Annex 11 (Monitoring and Evaluation Plan) Project lifetime: 20 years Justification of project lifetime:

						useful life of technology. Annual emission reductions: 37,012 tCO₂e Lifetime emission reduction: 630,307 tCO₂e
<i>M4.0 Reduced emissions from land use, reforestation, reduced deforestation, and through sustainable forest management and conservation and enhancement of forest carbon stocks</i>	□ 4.1 Tonnes of carbon dioxide equivalent (t CO₂eq) reduced or avoided (including increased removals) as a result of Fund-funded projects/programmes – forest and land-use sub-indicator	LFIs with CAF oversight	0	285.279 tCO₂e	1,300.983 tCO₂e	See Annex 3 (Financial Model) Methodology explained in Annex 11 (Monitoring and Evaluation Plan) Project lifetime: 20 years Justification of project lifetime: default values according to IPCC 2006³⁸. Annual emission reductions: 530.864 tCO₂e Lifetime emission reductions: 1,300,983 tCO₂e
<i>Economic co-benefits</i>	Number of new green jobs from low-carbon investments		0	0	5,171 jobs	See Annex 3 (Financial Model) Assuming no major productivity change for

³⁸ 2006 IPCC Guidelines for National Greenhouse Gas Inventories, Vol. 4 Chapter 2. The length of time that land remains in a conversion category after a change in land use is by default 20 years.

						the selected technologies
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E.4. Fund-level outcomes

Select the appropriate outcome(s) to be reported for the project/programme. Select key expected outcomes and corresponding indicators from GCF RMF and PMFs as appropriate. Note that more than one indicator may be selected per expected outcome. Add rows as needed.

Expected Outcomes	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions Assumptions
				Mid-term)	Final	
M6.0 Increased number of small, medium and large low-emission power suppliers	☐ 6.3 MWs of low emission energy capacity installed, generated and/or rehabilitated as a result of GCF support.	LFIs M&V with CAF oversight	0	15.94 MW (at generator)	42.5 MW (at generator)	See Annex 3 (Financial Model) Assuming 4 yrs of implementation (credit disbursements start in Year 2)
M7.0 Lower energy intensity of buildings, cities, industries and appliances	☐ 7.1 Energy intensity/improved efficiency of buildings, cities, industries and appliances as a result of Fund support.	LFIs M&V with CAF oversight	0	190,473.19 MWh (avoided energy at meter)	507,928.51 MWh (avoided energy at meter)	See Annex 3 (Financial Model) Assuming 4 years of implementation (credit disbursements start in Year 2). Lifetime of EE: 10 years Justification of project lifetime: useful life of technology. Lifetime MWh: 1,269,821 MWh will be avoided.
M9.0 Improved management of land or forest areas contributing to emissions reductions	☐ 9.1 Hectares of land or forests under improved and effective management that contributes to CO2 emission reductions	LFIs M&V with CAF oversight	0	4,332 ha	21,662 ha	See Annex 3 (Financial Model) Methodology explained in Annex 11 (Monitoring and Evaluation Plan) including expected improvements in land and forest management

E.5. Project/programme performance indicators

The performance indicators for progress reporting during implementation should seek to measure pre-existing conditions, progress and results at the most relevant level for ease of GCF monitoring and AE reporting. Add rows as needed.

Expected Results outputs	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	
1.1 Financially viable climate change mitigation projects are identified, and financed	a. Total project financing volume b. Number of SMEs benefited	LFIs M&V with CAF oversight	0 0 0	US\$ 58,5 Million b.364 SMEs (39% women)	a. US\$ 145 Million b. 1,214 SMEs, with 39% of women-led SMEs.	See Annex 3 (Financial Model) Assuming interest of LFIs in financing mitigation projects
2.1 Climate change and mitigation awareness raised.	a. number of workshops. b. number of participants at workshops	LFIs M&V with CAF oversight	0	a. 4 workshops b. 144 (39% women)	a. 12 workshops b. 360 participants at workshops (39% women).	
2.2 Enabling environment for the development of mitigation projects	a. number of TSPs databases developed b. number of participants at matchmaking events c. number of standardised contracts created, or specific contracts supported.	CAF reporting	0	a. 11 databases b.40 participants (25% match women) c. 12 contracts	a.11 databases of TSPs b. 40 participants in matchmaking events (25% match women) c. 12 contracts (one per country for each sector - EE; RE, land use)	At least one standardised contract per country. Assuming participation of TSPs and LFIs in the proposed activities
2.3 Technical support and capacities built for LFIs, SMEs and TSPs	2.3.1 Technical support and capacities built for LFIs a. LFIs personnel trained in Project Assessment b. pipeline of bankable projects	LFIs M&V with CAF oversight	0	a.88 individuals at LFIs trained b. 9 pipelines of	a. 110 individuals at LFIs trained in Project Assessment (50% women) b. 11 pipelines of	See Annex 3 (Financial Model) Assuming participation and interest of LFIs in the

	c. Total number of LFIs assessed and supported for improving ESMS systems d. LFI personnel trained regarding ESMS systems including gender considerations e. LFIs personnel trained on GHG baseline and MRV f. LFIs with MRV system implemented			bankable projects c.8 LFIs supported for improving EMS system d. 70 LFI personnel trained on ESMS systems (50% women) e. 110 LFIs personnel trained f. 11 LFIs with MRV system	bankable projects c.11 LFIs supported for improving EMS system d. 110 LFI personnel trained on ESMS systems (50% women) e. 110 LFIs personnel trained on GHG baseline and MR (50% women) f. 11 LFIs with MRV system implemented	proposed activities
	2.3.2 Technical support and capacities built for TSPs a. Number of SMEs/TSPs trained in mitigation projects development b. Number of women-led SMEs trained in green literacy c. Number of SMEs supported with pre-investment activity d. Number of SMEs/TSPs trained in GHG baseline and MRV			a. 216 SMEs/TSPs trained (39% women) b.30 women-led SMEs trained c.60 SMEs supported (39% women-led) d. 216 SMEs/TSPs trained in GHG baselines and MRV (39% women)	a.720 SMEs/TSPs trained on mitigation projects b.60 women-led SMEs trained in green literacy c. 200 SMEs with pre-investment support (feasibility study) -39% women-led. d. 720 SMEs/TSPs trained in GHG baseline and MRV (39% women-led)	Assuming participation and interest of SMEs in the proposed activities
2.4 Dissemination and learning reinforced	a. Communication and Dissemination Strategy developed	LFIs M&V with CAF oversight		a. 1	a. 1	(under the respective activities).

	b. Promotional material developed c. Programme website d. Information platform e. Number of case studies f. Number of women-led SME case study g. Number of learning workshops h. Number of key stakeholders reached with targeted presentations	CAF reporting on activities.		N/A c. 1 d. 1 e. 0 f. 0 g. 0 h. 30 stakeholders	b. at least 2 videos c. 1 website d. 1 platform e. 3 Case studies (1 per sector) f. 1 women-led SME case study g. 2 learning workshops with 100 participants h. 240 key stakeholders reached with targeted presentations	
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E.6. Activities

All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in the implementation timetable. Add rows as needed.

Activity	Description	Sub-activities	Deliverables
1.1.1 Green finance credit lines for LFIs	A climate finance credit line with adequate financial terms and conditions will be made available for LFIs from countries participating in the programme to finance local distributed renewable energy, energy efficiency, and land use climate change mitigation projects. Loans will be made available to Beneficiaries/SMEs, and TSPs to improve or grow their businesses	Participating LFIs will be finalised and agreements will be entered. Numerous eligible LFIs have already been identified in each target country (See Annex 3). In principle, any LFI that meets the following criteria could be eligible for the green finance credit line: - Criteria 1: Sustainability and green finance goals - Criteria 2: Have in place an environmental and social risk management system	Green credit lines in place in collaboration with at least 11 LFIs.

		Criteria 3: LFI is a client of CAF.³⁹ The use of loan proceeds by an eligible LFI will comply with a “Policy Statement” included in the loan agreement between CAF and the LFI. LFIs will on-lend funds to TSPs for investing in pre-approved technologies or project types, or technologies/projects approved by experts procured by CAF. Detailed project eligibility criteria have been established to define the scope of investment of the climate finance credit line and specific climate change and environmental, social, and economic co-benefits indicators. This component will be financed by Loans	
2.1.1 Climate change and mitigation awareness raising	Organization of workshops on climate change, mitigation projects in the targeted sectors and operational aspects of the programme, including eligibility, mitigations technologies, ESMS, MRV and financing, promoting the benefits of such technologies. These workshops will be organized in the different targeted countries during the first 3 years and will be directed at LFIs, SMEs and TSPs.	The goal of this subcomponent is to increase knowledge of the Programme and available financing as well as climate change, mitigation projects, targeted sectors and countries of the Programme, highlighting the benefits of such projects and operational aspects important for accessing the financing. This activity is financed through non reimbursable resources.	12 workshops for awareness raising on climate change impacts, mitigations technologies benefits and operational aspects on the programme.
2.2.1 Matchmaking between LFIs and TSPs:	The programme will identify TSPs and connect them to facilitate project development.	Matchmaking between LFIs, and TSPs Connections between market actors will be strengthened to facilitate project development. Potential TSPs often do not have established relationships with LFIs. The	The programme will connect market actors to facilitate project development. Potential TSPs often do not have established relationships with LFIs. The same is true of LFIs – they often do not know TSPs. The programme will develop a

³⁹ The control will be implemented through contractual obligations. In the Credit Lines Agreements, the relevant clauses on this matter must be transferred to both: the LFI and the agreement with Beneficiaries/SMEs. In the Credit Lines Agreements there will be clauses that oblige Beneficiaries/SMEs and third parties to comply with such policies.

		same is true of LFIs – they often do not know TSPs. Through this activity, the programme will develop a database of local market actors and work to connect them through direct outreach, the programme Website, and through other mediums. .	database of local market actors and work to connect them through direct outreach, the programme Website, workshops and information sessions.
2.2.2 Country opportunities for standardized performance-based contracts.	Develop standardize contractual arrangement templates that can be used by TSPs and SMEs to negotiate and deal green investment opportunities and increase trust in the proposed technologies.	This activity will help clients and providers to have a clear and transparent contractual arrangement to negotiate investments in energy efficiency, renewable energy or low-carbon land use. Contractual agreements will aim to create trust and transparency (<i>not</i> to subsidize payments). Contracts can be in the form of transparent, payment arrangements that are structured to provide an incentive for TSPs, to distribute risk to appropriate actors, and/or to guarantee savings. This mechanism will function as a reward for TSPs that achieve or exceed climate results pre-established in their loan contract with LFIs. Examples of performance-based contracts include pay-per-use contracts, leasing contracts, and energy performance contracts. This component will be financed by Grants	Contribute to TSPs and SMEs to negotiate and transparent the deals. Establish different type of performance-based payment contracts that would be structured to provide an incentive for TSPs, to distribute risk to appropriate actors, to guarantee savings and create trust
2.3.1 Technical support for LFIs	2.3.1.1 Technical Support in Project Development and Assessment: *1. LFIs will be trained on how to conduct and utilize market assessments, including data collection and analysis, selection of target clients, preliminary eligibility and	Training will be provided to LFIs, enabling them to assess projects presented to them. There will be “classroom” and on-the-job training, as well as on-going technical support for LFI personnel. Project assessments are likely to include: verification	Training will be provided to LFIs to develop specific financing mechanisms to overcome current market barriers and build a green credit line. Technology TSPs will be trained to present and build a pipeline of bankable projects.

	creditworthiness assessment of projects. This will strengthen the selection of creditworthy TSPs/SMEs and support the identification of eligible projects at an early stage. * 2. Technical Assistance to develop a pipeline of bankable projects. Support will be provided for LFIs to develop specific financing mechanisms to overcome current market barriers. The financing mechanisms would be tailored to each bank and could include energy savings insurance; and/or pay per use model for the energy sectors. 2.3.1.2 Strengthening environmental and social risk management systems and skills: directed to LFIs to enhance their ability to invest in sustainable projects and ensure robust environmental and social management systems are in place, including managing for gender benefits and reducing gender related risks. 2.3.1.3 Technical support for GHG baseline definition and MRV, aims to strengthen capacities and provide technical support to LFIs for an effective GHG baseline definition and the effective monitoring, reporting and verification.	of technical feasibility and financial viability, findings and conclusions, cash-flow forecasts, financial viability parameters (net present value (NPV), internal rate of return (IRR)), sensitivity analysis and risk analysis. LFIs will be trained on how to conduct and utilize market assessments, including data collection and analysis, selection of target clients, preliminary eligibility and creditworthiness assessment of projects. This will strengthen the selection of creditworthy TSPs and support the identification of eligible projects at an early stage. The technical assistance activity will also involve support for LFIs to develop specific financing mechanisms to overcome current market barriers. The financing mechanisms would be tailored to each bank and could include energy savings insurance; and/or pay per use model. These business models are described in detail below. Technical support will be provided to LFIs to identify gaps in the ESMS, develop improvements and audit the implementation of the ESMS to ensure robust systems for E&S risk analysis and mitigation. Based on gap analysis, identify current status and needs for improvement of LFIs' current ESMS. This includes managing for gender benefits and reducing gender related risks (e.g. supporting development or strengthening of gender strategies, policies, and procedures). Independent audits to assess the adequate implementation of	Strengthen the LFIs ESMS systems to enhance their ability to invest in sustainable projects and ensure robust environmental and social management systems are in place. This includes managing for gender benefits and reducing gender related risks. Independent audits to assess the adequate implementation of ESMS. Reporting by the LFIs to CAF will be consolidated to evaluate programme results, and to provide information to participating country governments to inform them of the programme's contribution to NDCs and other relevant national climate change goals. The efficiency and effectiveness of the programme will be evaluated throughout its lifetime. Final evaluations on the success of the programme will be prepared. Capacities of LFIs strengthen to determine baseline and monitor, report and verify impact of mitigation projects.
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		ESMS. The PMU will organize trainings to strengthen skills among LFI personnel on the monitoring and reporting framework to ensure appropriate reporting of results of the Programme. This component will be financed by Grants	
2.3.2 Technical support for SMEs and TSPs:	2.3.2.1: Technical support for project development includes This activity aims at training potential SMEs and TSPs beneficiaries of the Programme with the skills and project pre-investment facilities to better understand and be able to develop mitigation projects in the targeted sectors. 2.3.2.2 Technical support for GHG definition and MRV for SMEs and TSPs. aims at providing technical support to enhance GHG baseline definition and MRV systems.	Technical support for project development includes: *Training on mitigation projects how to structure bankable projects, ESMS, standardize contracts and operational aspects of the Programme *Training on green business literacy for women-led SMEs. The goal of this activity is to foster participation of women-led SMEs in the Programme. *Pre-investment facility for SMEs, potential borrowers of LFIs participating in the Programme can be eligible for this facility. The facility will support the performance of audits and technical feasibility studies at beneficiary sites for the identification of project development opportunities for EE, RE or low-carbon land use mitigation projects. Support for financial evaluation and financial aspects of projects can also be eligible. Technical support for GHG definition and MRV for SMEs and TSPs. The goal of this activity is to train potential beneficiaries and SMEs and TSPs who have already been allocated credits through the Programme in the adequate GHG baseline definition and the MRV framework of the Programme, to guarantee	Workshops on project development Workshops on green business literacy for women-led SMEs Audits, technical feasibility studies and technical support for project development. Workshops on GHG baseline and MRV Educational material to widely disseminate operational aspects of mitigation projects development, GHG baseline estimation and MRV.

		and effective monitoring and reporting. Production of audio-visual educational material to support wide dissemination among beneficiaries of the above-mentioned topics.	
2.4.1: Communication and visibility:	Communication and visibility activities aim to ensure appropriate information management, dissemination of the information and activities organized by the programme and to ensure gender sensitive communication and reach. :	Subactivities include: Communication and Dissemination Strategy: The Programme will develop and implement a communication and dissemination strategy that includes measures to engage women, women's organizations and women-owned SMEs Development of promotional material of the Programme: include webinars, explainer videos, story-telling videos, communication material, and publications, two-pagers, among others. Programme Website: Information Management Platform, which will allow to disseminate information on the Programme, and will work as a platform for the general management of data and information on project eligibility, monitoring and reporting of LFIs and beneficiaries	Communication strategy and gender sensitive approach. Promotional material. Website Information Management platform.
2.4.2 Lessons learned and stakeholders' engagement activities	With this activity, lessons learned will be promoted throughout the implementation by identifying case studies with best practices and women-led successful interventions. Knowledge management and stakeholders' involvement with the programme will be fostered through workshops and targeted presentations.	-Case studies: Identifying throughout the project at least 3 case studies with lessons learned in each of the sector: EE, RE, Land Use. Selected successful projects in the different countries will be selected and identified by the PMU to learn what made them succeed, what were the main benefits of the project and lessons learned to be later on shared in the Program website, presentations, among other formats. In the selection of the stories both men-led as well as women-led SMEs	Case studies with lessons learned. Targeted presentation to key stakeholders Learning workshops

		projects must be included, and when interviewing project beneficiaries, it must be guaranteed the voice of women and men are equally included. -Women-led SMEs success stories: Develop a case study of inclusive finance in mitigation projects identifying women led-SMEs which were allocated a credit for the first time for mitigation technologies: EE, ER and land use projects. -Learning workshops: 2 workshops will be conducted during the lifetime of the Project: one in the mid-term of the Project implementation and another in year 5. The goal of the workshop will be to present lessons learned with relevant stakeholders, including government, other organizations working in mitigation projects, and beneficiaries. Targeted Presentations for dissemination of lessons learned to key stakeholders: (e.g., government sector, trade or commercial associations). The information sessions will consist of bilateral meetings and targeted presentation on programme progress and alignment in the country.	
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E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

CAF will set up a monitoring framework at programme level that will apply to all participating LFI across the four selected countries. For climate benefit monitoring at sub-borrower level, differentiated approaches will be implemented for clean energy and land use respectively at LFI level.

For more details, Refer to Annex 110 for the Green Climate Financing Facility for LFIs in Latin America including a specific MRV plan for land use sector investments.

Reporting from LFIs to CAF

The programme will apply the standard procedures established by CAF for monitoring and evaluation of investment operations. Based on the proposed results and a monitoring and evaluation plan to be agreed between CAF and participating LFIs, the evolution of indicators should be reported periodically during the programme execution. In coordination with CAF, participating LFIs will compile and maintain all information, indicators and parameters necessary for the preparation of programme reports, including annual reports, midterm review and final evaluation.

It will be the responsibility of participating LFIs to ensure that the sub-borrower is eligible for funding from the programme in accordance with the programme's eligibility criteria, as defined for clean energy and sustainable land use. Monitoring of disbursements for eligible expenditures will be reviewed by the CAF ex- post. In coordination with participating LFIs, CAF may schedule supervision visits to monitor and verify the proper use of resources and compliance with contractual conditions of the programme with regards to the use of funds.

Operations approved by participating LFIs and presented to CAF to be part of the programme must be properly identified in the LFI's accounting systems and be in compliance with what is stated in the specific loan agreements. These records should allow for identifying financial conditions of each transaction (e.g. currency, maturity, and interest rates), the value of the contract, loan proceeds and eventual use of proceeds for monitoring purposes, programme funds balances and default rates, if necessary.

The monitoring process intends to follow up the execution of the programme in order to identify the intermediate milestones achieved in each phase and evaluate its outcomes and fulfilment of proposed targets. The indicators to be monitored will be those included the log frame in section E.

Participating LFIs will collect the necessary data for monitoring and present annual reports to CAF. SMEs will also be trained to be able to contribute with the MRV system and to provide accurate data. In some cases, CAF will make calculations required for some indicators, based on the information provided by the LFIs' in the annual reports. The participating LFIs' own information systems will undergo a gap assessment by CAF to analyse whether they are sufficient and appropriate for monitoring the proposed indicators.

Participating LFIs will deliver these annual reports within thirty (30) calendar days after the end of each year of programme's implementation. The reports will include information regarding the evolution of the indicators, as well as financial information regarding the use of the resources. CAF will be entitled to request additional information, if necessary. In addition to the annual reports and the scheduled activities for monitoring of the operations described above, CAF will contract an independent midterm evaluation within thirty (30) months from the effective date of the loan contract or when 50% of the programme resources have been disbursed – whichever occurs first. Finally, participating LFIs will present a final report to CAF up to six (6) months after the day of the last disbursement and CAF will contract an independent final evaluation. The LFIs final reports shall contain all relevant information to assess if objectives of the programme and targets for each indicator have been met. Based on this report CAF will also prepare a Project Completion Report (PCR), which evaluates the fulfilment of targets, reviews the overall results of the operation and describes lessons learned, among other relevant aspects.

Reporting from CAF to GCF

Monitoring, reporting and evaluation arrangements will comply with CAF's Accreditation Master Agreement and GCF policies, as well as the Funded Activity Agreement (FAA). CAF will provide annual progress reports on the status of the funded activity throughout the relevant reporting period, based on the above described logical framework, and reporting from LFIs to CAF.

CAF will consolidate above described annual, mid-term and final reports from LFIs and send them to the GCF within additional thirty (30) days of the above-mentioned reporting periods by LFIs to CAF. In addition to these consolidated reports, CAF will report on the indicators defined in Section E. CAF will deliver numbers in a logframe format a) annually within sixty (60) calendar days after the end of each year of program implementation; b) at mid-term within thirty (30) months from the effective date of the loan contract or when 50% of the programme resources have been disbursed – whichever occurs first; and c) at programme end up to six (6) months after the day of the last disbursement of a participating LFI.

An independent mid-term evaluation will be conducted within thirty months of the effective date of the loan contract or when 50% of the program resources have been disbursed – whichever occurs first. The mid-term evaluation will be based on a participatory and inclusive process, and will involve the following:

- Review of the institutional, technical, environmental, social, economic and financial aspects of the program
- Review of the portfolio of sub-projects, including activities, planned outputs, expected impacts, cost and financing
- Review of the achievement of planned impacts and indicators (according to the Logframe)
- Assessment of the need to restructure or reformulate the program.

MRV framework

CAF will set up a monitoring framework at programme level that will apply to all participating LFIs, TSPs and SMEs across the four selected countries. All specific MRV actions and steps described below for clean energy and land use will be undertaken by the LFIs and SMEs/TSPs:

- Energy:
 - Approach: For energy efficiency and renewable energy projects, MRV and due diligence processes should be in proportion to the size of the project in order to avoid disproportionately increased costs. Different approaches are recommended for projects above and below a size threshold defined as project with a total investment of less than USD 1 million (small), and projects with a total investment value of over USD 1 million (medium/large). Robust MRV procedures are important to ensure projects are delivering the expected impacts, however, overly complex MRV requirements for small projects can cause the LFI to lose interest in such project, or can cause high transaction costs to increase meaning that the projects lose some of their economic benefit for the LFI and/or the client.
 - Methodology: The methodology for estimating baselines, energy savings, and greenhouse gas emissions reductions should be based on the International Financial Institutions (IFI) Framework for a Harmonized Approach to Greenhouse Gas Accounting. The IFI approach for energy efficiency and renewable energy are included in the documents: IFI approach to GHG Accounting for Energy Efficiency Projects and IFI Approach to GHG Accounting for Renewable Energy Projects.
- Land Use:
 - Methodology: Based on IPCC, the MRV system for all of the investments in land use will follow the same generic formula to calculate emission removals.
 - Approach: for the purpose of grouping the estimate of carbon dioxide emissions removals from different activities in the land use sector, each LFI will apply the Ex-Ante Carbon-balance Tool (EX-ACT) (FAO, 2017). EX-ACT is a land-based accounting system, estimating carbon stock changes (i.e. emissions or sinks of CO₂) as well as GHG emissions per unit of land, expressed in equivalent tonnes of CO₂ per hectare and year. The tool helps project designers to estimate and prioritize project activities with the greatest economic benefit and potential for climate change mitigation. This GHG mitigation potential may also be used for economic analyses and for allocating additional project funds.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

The main programme risks are: low program participation, technology performance, inappropriate use of loan proceeds, and macroeconomic factors. The risks are low to moderate in nature and CAF expects they can be largely mitigated through the implementation of planned programme activities.

Further, CAF has more than 25 years of experience with project financing through local financial institutions, during which CAF created control mechanisms to mitigate key project and client risks. In general, during the due diligence the main aspects that CAF considers in assessing risk of its clients (corporate / banks) are the following factors, which are weighted:

Figure 6. Overview of evaluation factors

Evaluation Factors	Overall Weight	Factor Type
1. Country Risk	15%	Macro
2. Industry Risk	5%	Industry
3. Market	10%	Client
4. Sponsor - Shareholders	5%	Client
5. Management	7%	Client
6. Financing Options	5%	Client
7. Experience and Seniority	3%	Client
8. Financial Structure	8%	Client
9. Solvency	4%	Client
10. Indebtedness	3%	Client
11. Operating Cash Flow - Hedging	20%	Client
12. Financial Reports	5%	Client
13. Operation Type	2%	Client
14. Term	2%	Client
15. Guarantees and Insurance	6%	Client

CAF will also ensure that participating LFI have an environmental and social policy and, based on it, have implemented an Environmental and Social Risk Analysis and Management System for the categorization of its operations and for the evaluation of the environmental and social risk of their portfolios. Technical assistance will be provided to support the strengthening of the ESMS if necessary, and independent audits will be performed to ensure the adequate implementation of ESMS. See section G.

Below are described the main financial, technical and operational, social and environmental risks that might prevent the programme objectives from being achieved. Furthermore, the table below describes the risk mitigation measures.

CAF will ensure that LFIs comply with national regulations and currently all national regulations in the countries targeted in this program are align with the international standards.

For probability: High has significant probability, Medium has moderate probability, Low has negligible probability

For impact: High has significant impact, Medium has moderate impact, Low has negligible impact

Prohibited practices include abuse, conflict of interest, corruption, retaliation against whistleblowers or witnesses, as well as fraudulent, coercive, collusive, and obstructive practices

Selected Risk Factor 1: Low levels of programme participation by enterprises

Category	Probability	Impact
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Technical and operational	Medium (5.1-20% of project value)	Medium
Description		
Enterprises – including small and medium sized commercial and industrial businesses and farms – may develop fewer projects than expected. These entities have many competing priorities and limited time. Further, many of these entities are simply not aware of what projects could be conducted, what opportunities there are for financing, or the potential benefits of projects for their enterprises.		
Mitigation Measure(s)		
The programme is designed to mitigate this risk, specifically: • Activity 2.1.1: Climate change and mitigation awareness raising • Activity 2.2.1: Matchmaking between LFIs and TSPs • Activity 2.2.2: Country opportunities for standardized performance-based contracts • Activity 2.3.1: Technical Support for LFIs • Activity 2.3.2: Technical support for SMEs/TSPs • Activity 2.4.1.: Communication and visibility • Activity 2.4.2: Lessons learned and stakeholders' engagement activities The probability of the risk occurring – given information currently available – cannot reasonably be assumed to be lower than medium at this time.		
Selected Risk Factor 2: Climate technologies do not perform as expected		
Category	Probability	Impact
Social and environmental	Medium (5.1-20% of project value)	Medium
Description		
Distributed renewable energy, energy efficiency and land use climate change projects implement may not perform as expected; if this occurs, they will have a lower impact on climate change than estimated.		
Mitigation Measure(s)		
The programme is specifically designed to mitigate this risk, particularly: • Activity 2.3.1: Technical Support for LFIs • Activity 2.3.2: Technical support for SMEs/TSPs • Programme Management. Technical support and capacity building with LFIs will include development of technology-specific project assessment protocols. The majority of projects is expected to involve the type of “prescriptive” technologies with relatively well understood performance. In some cases, TSPs may propose technologies that are site-specific, or “custom”. The programme will also develop “custom technology” assessment protocols. As part of ongoing technical support for LFIs, experts retained by CAF will work with LFIs to review all “custom” project applications over a certain size (e.g., anticipated loan size) prior to loan approval. The Energy Savings Insurance (ESI)⁴⁰ Scheme being put in place in Peru, and Chile can also be used to mitigate this risk. ESI guarantees the energy savings promise of the TSP to the SME, using a surety insurance mechanism, a standardised contract, and an independent third-party validation mechanism. The ESI and other models such as ESCO, servitisation (pay as you use) models, among others would be proposed to the LFI according to the market characteristics. The TA support will guide and support the LFI in incorporating these innovative business models for structuring and building demand for their green credit lines. Over time and with programme experience the probability of this risk occurring is expected to be low.		

⁴⁰ The Energy Savings Insurance model developed by BASE, includes an insurance that guarantees the energy savings to SMEs and reduce the risk perception in energy efficiency investments.

Selected Risk Factor 3: Use of loan proceeds outside programme requirements		
Category	Probability	Impact
Technical and operational	Medium (5.1-20% of project value)	Low
Description		
LFIs may disburse loans for projects that do not meet CAF or GCF requirements.		
Mitigation Measure(s)		
An LFI's receipt of programme loan proceeds will be contingent on the LFI's compliance with their CAF programme agreement, which will include specific guidelines for project financing approval. CAF's will supervise the compliance of the LFIs and review the portfolio of projects. Ongoing programme monitoring by CAF will help ensure compliance.		
Selected Risk Factor 4: Macroeconomic risks		
Category	Probability	Impact
Other	High (>20% of project value)	Low
Description		
Macroeconomic factors including exchange rate fluctuations, political instability and other factors that impact programme performance.		
Mitigation Measure(s)		
Market assessments for participating countries will include assessment of macroeconomic treats and opportunities. CAF is mitigating this risk by selecting a portfolio of target countries that are relatively stable. Further, CAF monitors current events in the LAC region, and will monitor potential impacts on LFIs and program performance. Partnering LFIs will be obligated to provide yearly updates to CAF on financial performance. Currency fluctuations could impact the value of reflows to CAF and partner institutions. As a hedging mechanism, LFIs generally conduct foreign exchange swaps with third party providers, as needed. Further, the target countries were selected in part based on their creditworthiness as rated by global financial rating agencies. Even with reasonable mitigation measures in place, the nature of macroeconomic risks does not warrant the anticipated probability of occurring to low.		
Selected Risk Factor 5: Risk related to COVID-19 outbreak		
Category	Probability	Impact
Other	High (>20% of project value)	High
Description		
COVID-19 outbreak and related measures taken by the participant countries may impact programme performance. Confinement and social distance measures, as well as the economic crisis derived from the economic downturn can prevent TA activities from being carried out, may prevent beneficiaries from coming forward to apply for credit, may prevent beneficiaries from taking the risk of committing themselves to a credit, may impede providers to comply with requests.		
Mitigation Measure(s)		
In response, CAF has approved a USD 50 mm Emergency Loan to each of its country-members directed towards the health sector and a USD 2.500 million Emergency Credit Line which will allow authorities to contribute to the continuity of business operations and the recovery of their economies. This decision is of great importance for helping local MSMEs to deal with the economic downturn. The GCF funding will come to provide further support and generate synergies through this programme, at a key time for fostering post-crisis low-carbon development. With regard to project activities, in the event of a health crisis CAF will make all means available to ensure that activities are carried out under the highest standards of prevention. In times of confinement, ways to continue with the implementation of the project will be evaluated, with the help of virtual tools where possible.		

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

CAF has a strong working relationship with LFI across Latin America and works together with such institutions as well as project developers towards overcoming key barriers in financing sustainable investments. As described in B.4, since 2012, CAF has been implementing the its Programme for Environmental and Social Management for Financial Institutions (PGASIFs) - a platform to promote and enhance the management of environmental and social impacts in the financial sector of the Latin-American region, while also transferring knowledge and promoting good practices in environmental and social and Governance (ESG) to strengthen the adoption of ESG principles in LFIs. Such experience has been paramount for the design and elaboration of the proposed program and it's ESMF, ensuring that appropriate and robust procedures and safeguards are in place for implementing climate change projects in the energy and land use sectors.

Environmental and Social Planning at the Programme Level

Together CAF and participating LFIs will ensure that comprehensive and robust environmental and social screening and management systems are in place, and program activities and investments are closely monitored, evaluated and reported in terms of social and environmental impacts. During the due diligence phase of the LFIs, CAF will assess the ESMS of each institution and ensure that it is aligned with the ESMF of the Programme, including CAF's Environmental and Social Safeguards and those of the GCF.

Participating LFIs must have an environmental and social policy and, based on it, have implemented an Environmental and Social Risk Analysis and Management System for the categorization of its operations and for the evaluation of the environmental and social risk of their portfolios. The measures to be applied by the LFIs include the following:

- Verify that the operations it finances are not prohibited by law;
- Verify that the operations it finances are not included in the Exclusions List of CAF, and the program-specific exclusion list included within ESMF (Annex 6);
- Require compliance with national legislation in terms of obtaining permits and environmental licenses, use of natural resources and activities with dangerous substances;
- Categorize and evaluate the environmental and social risk of the operations it finances;
- Verify that the amounts requested by their clients include the implementation of the measures established to minimize the environmental and social risks of their operations;
- Present reports of the environmental and social management of its operations, according to the frequency established in the credit agreement, which will be fixed depending on the risks of its portfolio and the magnitude of the credit granted by CAF;
- CAF will conduct a screening on all participating LFIs regarding the quality and robustness of their environmental and social standards. Technical support needs will be identified to ensure that LFIs ESMS are adequate to support the screening, approval, monitoring and evaluation of investments in the targeted areas. When ESMS systems are either not in place or are weak, CAF will provide technical to help establish or improve such systems, and where possible support LFIs to improve their ESMS to be able to participate within the program. LFIs with ESMS that do not meet GCF or CAF standards will not be able participate within the program.

A gap assessment will be performed and when not fully aligned the LFIs will receive support to make the required adjustment and capacities for their participation in the Programme (within Activity 2.3.1.2). This is an added value of the Programme which will contribute to strengthen LFIs ESMS, contributing to the long-term sustainability and transformational character of the Programme. In addition, independent audits will be performed to ensure that the ESMS are implemented adequately.

All sub-loans will be screened by LFIs for their environmental and social risks and impacts prior to credit approval. During this screening phase projects will be revised according to the LFIs' Environmental and Social Risk Analysis and Management System to ensure they adhere to local regulations and laws, including ESIA requirements. Category A or high-risk projects will not be supported within the program, along with other investments described in the program exclusion list within Annex 3. The Programme will be limited to Category B projects and will not finance category A projects. As such it is qualified as I-2.

Where necessary environmental and social management plans (ESMPs) will be either in place or developed at the final loan beneficiary level to manage identified risks and adverse impacts.

For this program, within the framework of eligibility requirements established for the sub-projects as described in the previous section, LFI will manage loans according to the following requirements:

- 1) An Environmental and Social Assessment (ESA) will be conducted by LFI for all investments to identify potential risks. The ESA should include:
 - a. A description of the area of influence of the operation, including the area of direct and indirect influence;
 - b. Characterization of the environment, including information specific to the project site that has a level of detail and geographic scale according to the area of direct and indirect influence, that covers all of the environmental and social components/ factors that could be affected by the project. It should include information on climate change and climate variability, as well as exposure to natural disasters. Such information should provide a clear baseline of environmental and social data.
 - c. Identification and evaluation of environmental and social impacts
 - d. Elaboration of an Environmental and Social Management Program (ESMP), compatible with the legal and institutional framework of the respective country, that identifies concrete prioritized measures and actions to prevent, mitigate, compensate or enhance environmental and social impacts that could be generated by the operation.
- 2) All investments will comply with all applicable environmental, social, health and safety, and labor regulatory requirements of the respective country where the project/ investments are implemented.
- 3) LFI will monitor and ensure that the participating Beneficiary/SME will comply with all applicable environmental, social, health and safety, and labor regulatory requirements of the participating country.
- 4) During project screening by LFI, sub-projects will be categorized into low, medium and high risks based on the preliminary environmental and social assessment. High risks projects will not be deemed eligible for financing.
- 5) An exclusion list has been developed that identifies investments that will not be supported by the program (Annex I). This list will be integrated into the loan approval process, ensuring all supported projects comply with the exclusion list.
- 6) Ensure the necessary stakeholder consultation is conducted during project preparation phase, as necessary.
- 7) LFI must appoint an Environmental and Social Officer, or equivalent position, for the duration of the Project to monitor the implementation of the environmental and social management plans, and to support the screening, evaluation, monitoring and reporting of environmental and social risks and impacts. This officer must provide regular reporting to the appointed CAF safeguard executive.
- 8) For Energy Efficiency sub-projects, adopt a Decommissioning and Disposal Protocol for replaced equipment and materials acceptable to the CAF, to be presented by LFI and approved by CAF as a condition prior to first disbursement. The protocol must ensure that any equipment replaced is not reused and is appropriately disposed. Once approved, said Protocol will be part of this ESMF and as such will apply to the LFI and each respective sub-borrower as pertinent to their respective responsibilities.
- 9) For land use investments, LFI will screen investments using a country-level deforestation risk matrix, to ensure that appropriate conditions are in place to ensure that the supported investments will not result in deforestation. Such an assessment will identify deforestation risk at different administrative levels and provide tools and information to support LFI and CAF for the screening and M&E of investments. A more detailed description of the assessment can be found in the Annex 6

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

The program will promote gender equality and women's empowerment both at the fund- and project-level. The program will support the use of gender-disaggregated indicator systems, requiring participating LFI to collect and report on gender-disaggregated data. While many of the LFI have such systems, some may need to integrate or strengthen their M&E systems to ensure that such gender-disaggregated data is collected. In terms of financial products, the project will support the design and promotion of green sub-loans that enhance the participation of female-led SMEs. CAF will work with LFI to target women's organizations, support awareness raising campaigns, and set clear targets to target women-owned SMEs. Entrepreneurial development services will be further supported through the design and promotion of entrepreneurial development services (e.g. energy efficiency audits, promotion of green investment alternatives in land use, among others), in ways that enhance participation of female-led SMEs. Finally, the program will support financial education through the design and promotion of training programs to enhance participation of female personnel and/or female-led SMEs within the Programme.

A gender responsive M&E framework has been developed for the project, which will work with LFI to track monitor and evaluate the impact of the program and its project-level investments on gender. Tracked indicators include, among others, the percentage of female-owned SMEs accessing credit, the number of men and women who have accessed trainings, among various other indicators (see Gender Action Plan in Annex 6 for further information). A gender-

specialist will oversee the implementation of the gender action plan at the fund level and liaise with LFIs as necessary to ensure that their ESMS adequately meets gender-related requirements, to follow up on the M&E of gender-related targets with LFIs, and to provide ongoing support as required on topics related to gender within the context of the proposed program.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

As per the Accreditation Master Agreement (AMA), CAF, as the Accredited Entity, shall be responsible for the overall management, implementation oversight and supervision of the programme in line with its own internal rules, policies and procedures, including administering and managing the use of GCF Proceeds, as well as the monitoring, evaluation and reporting responsibilities.

CAF will enter into a Funded Activity Agreement with the GCF, for the Loan and the Grant, which will describe the specific requirements regarding the financial management of GCF's resources for the programme.

For CAF and GCF loan resources to LFIs, CAF will enter into, or amend existing, loan contracts for credit lines with each participating LFI. Loan resources will be administrated as per CAF's Manual for the Credit and Equity Investment Process (MN/DCRR -017) which has been reviewed by the GCF during CAF's accreditation process. The Manual guides the process for all the phases of the credit, including: (i) Origination; (ii) Evaluation; (iii) Approval; (iv) Formalization; and (v) Administration. GCF non-reimbursable resources will be executed by CAF, following its Manual for the Management of Technical Cooperation Operations (MN /VPP – 064).

The procurement processes will follow the last version of CAF's Manual of Procurement of Goods, Consulting Services and Works (NM/DFLA-038). The Chapter VIII of this Manual includes all the details and thresholds for the procurements. These thresholds for the procurement of goods and services are presented in the table below.

CAF guidelines will be used for acquisition and contracting of goods. These guidelines have been included in Annex 10.

Exact items to be procured are outlined in Annex 4: Budget.

Table 16. Overview of process thresholds for the procurement of goods and services

Threshold (Amount in USD)	Method	General procedures
0 – 5,000 (Only for the purchase of goods)	Direct contracting	1. Receive at least one offer.
5,001 – 10,000 (Only for the purchase of goods)	Market assessment	1. Market assessment; 2. Receive at least two (2) offers 3. Select the best offer based on the completion of an evaluation.
0-10,000 (Only for the purchase of services, consultancy and works)	Direct contracting	1. Receive at least one offer.
10,001 – 50,000 (For the purchase of goods, services, consultancy and works)	Market assessment	1. Market assessment; 2. Receive at least three (3) offers from different providers; and 3. Select the best offer based on the completion of an evaluation.
50,001 – 150,000 (For the purchase of goods, services, consultancy and works)	Market assessment	1. Prepare Terms of Reference; 2. Market assessment of potential providers; 3. Receive at least three (3) offers from different providers; and

		4. Perform an evaluation based on the criteria indicated in the terms of reference.
150,001–Until the next amount indicated below, depending the type of purchase.	Private bidding	Private bidding to select providers – Request for Proposal. An evaluation Committee will review the offers and select the provider.
From 250,000 – For Consultancy services From 500,000 – for the purchase of goods and commercial or professional services From 2,000,000 – for the purchase of works	International Public bidding	International Public bidding process for the selection of providers – Request for Proposal. An evaluation Committee will review the offers and select the provider.

G.4. Disclosure of funding proposal

☐ No confidential information: The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☐ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- ☐ full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- ☐ redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

- ☒ Annex 1 NDA no-objection letter(s) [\(template provided\)](#)
- ☒ Annex 2 Feasibility study - and a market study, if applicable
- ☒ Annex 3 Economic and/or financial analyses in spreadsheet format
- ☒ Annex 4 Detailed budget plan [\(template provided\)](#)
- ☒ Annex 5 Implementation timetable including key project/programme milestones [\(template provided\)](#)
- ☒ Annex 6 E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3):
[\(ESS disclosure form provided\)](#)
 - ☐ Environmental and Social Impact Assessment (ESIA) or
 - ☐ Environmental and Social Management Plan (ESMP) or
 - ☐ Environmental and Social Management System (ESMS)
 - ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
- ☒ Annex 7 Summary of consultations and stakeholder engagement plan
- ☒ Annex 8 Gender assessment and project/programme-level action plan [\(template provided\)](#)
- ☒ Annex 9 Legal due diligence (regulation, taxation and insurance)
- ☒ Annex 10 Procurement plan [\(template provided\)](#)
- ☒ Annex 11 Monitoring and evaluation plan [\(template provided\)](#)
- ☒ Annex 12 AE fee request [\(template provided\)](#)
- ☐ Annex 13 Co-financing commitment letter, if applicable [\(template provided\)](#)
- ☒ Annex 14 Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

- ☐ Annex 15 Evidence of internal approval [\(template provided\)](#)
- ☒ Annex 16 Map(s) indicating the location of proposed interventions
- ☒ Annex 17 Multi-country project/programme information [\(template provided\)](#)
- ☐ Annex 18 Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
- ☐ Annex 19 Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
- ☐ Annex 20 First level AML/CFT (KYC) assessment
- ☐ Annex 21 Operations manual (Operations and maintenance)

- *Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*



Gabinete Subsecretario de Hacienda

TLC

E7695/2018

Santiago, Republic of Chile, January 16th, 2020

Mr.

Yannick Glemarec

Executive Director of the Green Climate Fund (GCF)

Re: Funding proposal for the GCF by Corporación Andina de Fomento (CAF – Development Bank of Latin America) regarding the Green Climate Financing Facility for LFI in Latin-America

We refer to the programme “Green Climate Financing Facility for LFI in Latin-America” which involve Chile as included in the funding proposal submitted by Corporación Andina de Fomento (CAF – Development Bank of Latin America).

The undersigned is the duly authorized representative of the Ministry of Finance, the National Designated Authority/focal point of Chile.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Chile has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with Chile’s national priorities, strategies and plans;
- (c) In accordance with the GCF’s environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,



FRANCISCO MORENO GUZMAN
UNDERSECRETARY MINISTRY OF FINANCE
NATIONAL DESIGNATED AUTHORITY



Oficio Nro. MAE-MAE-2020-0259-O**Quito, D.M., 19 de marzo de 2020**

Asunto: Funding proposal for the GCF by Development Bank of Latin America (CAF) regarding the programme "Green Climate Financing Facility for LFIs in Latin-America"

Señor
Yannick Glemarec
Executive Director
GREEN CLIMATE FUND
En su Despacho

Dear Mr. Glemarec,

The following is In reference to the programme titled "Green Climate Financing Facility for LFIs in Latin-America" in Ecuador, as included in the funding proposal submitted by the Development Bank of Latin America (CAF) to us on March 17.

The undersigned is the duly authorized representative of the Ministry of Environment of Ecuador, which acts as National Designated Authority.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our No-Objection to the programme as included in the funding proposal.

By communicating our No-Objection, it is implied that:

1. The government of Ecuador has no-objection to the programme as included in the funding proposal;
2. The programme, as included in the funding proposal, is in conformity with Ecuador's national priorities, strategies and plans;
3. In accordance with the GCF's environmental and social safeguards, the programme, as included in the funding proposal, is in conformity with relevant domestic legislation.

As National Designated Authority, we underline that our national process for ascertaining no-objection to the programme, as included in the funding proposal, has been duly followed, thereby being applicable to all projects or activities that will be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Oficio Nro. MAE-MAE-2020-0259-O

Quito, D.M., 19 de marzo de 2020

Atentamente,

Documento firmado electrónicamente

Lcdo. Juan Sebastián De Howitt Holguín
MINISTRO DEL AMBIENTE

Copia:

Señor Abogado
Steven Augusto Petersen Rojas
Viceministro del Ambiente

Señor Magíster
Carlos Arturo Espinosa Gallegos Anda
Subsecretario de Cambio Climático

Señorita Bióloga
Karina Patricia Salinas Heredia
Directora Nacional de Adaptación al Cambio Climático, Encargada

Señorita Ingeniera
Gabriela Jeanneth Vargas Luna
Especialista de Políticas de Cambio Climático 3

Señor Ingeniero
Ricardo Mauricio Proaño Cardenas
Especialista de Políticas de Cambio Climático

Señora Secretaria
Teresa Del Pilar Pérez Toscano
Secretaria de la Subsecretaria

rp/gv/ks/ce



Panama, March 30th, 2020
OCTI-064-2020

Mr.
YANNICK GLEMAREC
Executive Director
Green Climate Fund

Dear Sir,

We refer to the project “*Green Climate Financing Facility for LFI in Latin-America*” which involve Panama as included in the funding proposal submitted by Development Bank of Latin America (CAF).

The undersigned is the duly authorized representative of the Ministry of Environment of Panama, the National Designated Authority/focal point of Panama.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the project “*Green Climate Financing Facility for LFI in Latin-America*” as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Panama has no-objection to the project as included in the funding proposal;
- (b) The project as included in the funding proposal is in conformity with Panama’s national priorities, strategies and plans;
- (c) In accordance with the GCF’s environmental and social safeguards, the project, as included in the funding proposal, is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the project, as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all activities to be implemented within the scope of the project.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,



GUSTAVO PADILLA CORRO
Head of the International Technical Cooperation Office

GPC/LC/ad/jmc/dc

Albrook, Calle Broberg, Edificio 804
República de Panamá
Tel.: (507) 500-0855

www.miambiente.gob.pa



**MINISTERIO DE ECONOMÍA Y FINANZAS
DIRECCIÓN GENERAL DE ASUNTOS DE ECONOMÍA
INTERNACIONAL, COMPETENCIA Y PRODUCTIVIDAD**

**"DECENIO DE LA IGUALDAD DE OPORTUNIDADES PARA MUJERES Y HOMBRES"
"AÑO DE LA UNIVERSALIZACIÓN DE LA SALUD"**

To: The Green Climate Fund ("GCF")

Lima, March 25th 2020

Re: Funding proposal for the GCF by the Development Bank of Latin America (CAF) regarding the Green Climate Financing Facility for LFI in Latin-America programme.

Dear Madam, Sir,

We refer to the Green Climate Financing Facility for LFI in Latin-America programme in Peru as included in the funding proposal submitted by CAF to us on March 17th, 2020.

The undersigned is the duly authorized representative of the Ministry of Economy and Finance, the National Designated Authority of Peru.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Peru has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with Peru's national priorities, strategies and plans;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

CARLOS GALLARDO TORRES
General Director
General Directorate of International
Economic Affairs, Competition and
Productivity



Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Green Climate Financing Facility for Local Financial Institutions in Latin-America
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	Corporación Andina de Fomento (CAF)
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	Chile, Ecuador, Panama, and Peru
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Wednesday, October 7, 2020
Language(s) of disclosure	English and Spanish
Explanation on language	Spanish is the official language of the participant countries.
Link to disclosure	English: https://www.caf.com/media/2825869/green-climate-financing-facility-for-lfis-in-latin-america-environmental-and-social-management-framework-eng.pdf Spanish: https://www.caf.com/media/2825870/programa-de-financiamiento-verde-para-instituciones-financieras-locales-en-america-latina-marco-de-gestio-n-ambiental-y-social.pdf
Other link(s)	https://www.caf.com/es/temas/a/ambiente-y-cambio-climatico/proyectos/

Remarks	An ESMS consistent with the requirements for a Category I-2 project is contained in the "Environmental and Social Management Framework".
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), IPP Framework (if applicable)	
Description of report/disclosure on accredited entity's website	Indigenous Peoples Planning Framework (IPPF) / Wednesday, October 7, 2020
Language(s) of disclosure	English and Spanish
Explanation on language	Spanish is the official language of the participant countries.
Link to disclosure	English: https://www.caf.com/media/2825869/green-climate-financing-facility-for-lfis-in-latin-america-environmental-and-social-management-framework-eng.pdf Spanish: https://www.caf.com/media/2825870/programa-de-financiamiento-verde-para-instituciones-financieras-locales-en-america-latina-marco-de-gestio-n-ambiental-y-social.pdf
Other link(s)	https://www.caf.com/es/temas/a/ambiente-y-cambio-climatico/proyectos/
Remarks	The IPP Framework and scope of indigenous peoples plan is contained in Annex F of the "Environmental and Social Management Framework".
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Wednesday, October 7, 2020
Place	Hard copies of the disclosure were made available at the CAF office branches, located at: Chile (Montevideo Office) Ciudadela 1235 entre Reconquista y Camacúa, Montevideo Ecuador Av. 12 de Octubre N.24-562 y Cordero Edificio World Trade Center, Torre A, piso 13, Quito Panama Vía Boulevard Pacífica, P.H. Oceanía Business Plaza, Torre 2000, Piso 27, Ciudad de Panama Peru Avenida Enrique Canaval y Moreyra No 380 Edificio Torre Siglo XXI piso 13, San Isidro, Lima
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	TBD
Date of GCF's Board meeting	Monday, November 9, 2020

Note: This form was prepared by the accredited entity stated above.

Independent Technical Advisory Panel's assessment of FP149

Proposal name:	Green Climate Financing Facility for Local Financial Institutions in Latin America
Accredited entity:	Corporación Andina de Fomento (CAF)
Project/programme size:	Medium

I. Assessment of the independent Technical Advisory Panel

1.1 Impact potential Scale: Medium/High

1. In many Latin American countries, the energy and land use sectors are responsible for the majority of greenhouse gas (GHG) emissions. Emissions from the energy sector vary substantially from country to country, but the region's reliance on fossil fuels and growing energy needs imply that the sector will continue contributing to increasing global GHG emissions. Approximately 40 per cent of GHG emissions in the region are produced by the agriculture, forestry and other land use sectors.
2. Although investments in low-carbon technologies and land-use practices are generally recognized as effective for climate change mitigation, the adoption of such technologies and practices remains limited in Latin America. Local financial institutions (LFIs) often do not have the technical skills or the necessary financial backing to evaluate, finance and monitor climate change projects. LFIs tend to view the projects as risky and are therefore hesitant to develop suitable financial products.
3. Small and medium-sized enterprises (SMEs) and farmers are the primary investors for small-scale renewable energy (RE), energy efficiency (EE) and sustainable land use projects. They often view new, climate-friendly technologies as high risk and fail to understand how projects would benefit them and/or how to identify the most appropriate projects. Even if suitable projects are identified, these investors face high transaction costs and unattractive financing terms from LFIs. According to the analysis conducted by the accredited entity (AE), the payback period of EE and RE investments ranges from four to six years in the participating countries. SMEs regard such payback periods as unattractive given a general investment payback period of two years for other investments in their businesses.
4. Therefore, the key barriers that currently inhibit investments in small-scale RE, EE and sustainable land-use projects for climate change mitigation are primarily:
 - (a) The unavailability of commercial bank financing with attractive pricing and longer tenor for investors; and
 - (b) The limited knowledge of investors and LFIs of low-carbon technologies and of the potential benefits of such climate change projects.
5. The proposed programme aims to offer financial and technical assistance to local market players such as LFIs, technology and/or solution providers (TSPs), and investors in the agriculture, forestry, commerce industry and service sectors to overcome key barriers to developing small-scale climate change mitigation projects in the RE, EE and land-use sectors. With the programme's support, 11 LFIs will develop credit lines designated specifically for

climate change mitigation projects. The programme will also provide technical assistance with a focus on education, technical support and awareness-raising for LFIs, TSPs and investors.

6. The programme's implementation period will be 10 years, including a five-year disbursement period.

7. The participating countries are Chile, Ecuador, Panama and Peru, which have a combined population of 72 million. All participating countries produce substantial GHG emissions from the energy and agriculture sectors. While there is a strong foundation of knowledge regarding proven and effective low-carbon technologies and practices for the target sectors, scaling up and properly incentivizing their adoption remains a challenge owing to numerous barriers.

8. The Corporación Andina de Fomento (Development Bank of Latin America (CAF)) is both an AE and an executing entity.

9. The programme will require a total funding amount of USD 150.2 million. This funding will come from multiple sources: a USD 95 million GCF loan; a USD 50 million CAF loan; a USD 5 million GCF grant; and a USD 0.2 million CAF grant. Thus, the total funding of USD 100 million provided by GCF will consist of a USD 95 million loan and a USD 5 million grant.

10. The programme is comprised of two components:

- (a) A green finance credit line for LFIs; and
- (b) Technical support and awareness-raising.

11. A USD 145 million credit line will be made available for 11 LFIs in the countries participating in the programme. The LFIs that receive funding from the programme will, in turn, lend to investors (SMEs and farmers) to invest in RE, EE and sustainable land use projects. The sustainable land use projects will include silviculture (sustainable forestry production and conservation), agriculture and livestock systems.

12. The programme's technical support and awareness-raising component can be divided into six subcomponents:

- (a) Creating links between LFIs and TSPs;
- (b) Developing standardized performance-based contracts between TSPs and beneficiaries;
- (c) Providing technical support and capacity-building for LFIs, TSPs and investors;
- (d) Conducting an awareness-raising campaign among stakeholders, including government agencies;
- (e) Enhancing the environmental and social risk management systems and skills of LFIs; and
- (f) Establishing a monitoring and reporting framework of climate results for LFIs.

13. For the programme, the AE has selected 11 LFIs from among those with existing business partnerships, those that have sustainability and green finance goals in particular, and those with an environmental and social risk management system in place. Two to three LFIs have been selected for each participating country, and each LFI is expected to receive a credit line of USD 8–17 million.

14. Of the USD 145 million provided for the 11 LFIs to on-lend, the AE estimates that USD 55.2 million, or 38.1 per cent, will be used to fund EE projects. Sustainable land use projects represent 30.0 per cent, with a total amount of USD 43.5 million, while RE projects represent 31.7 per cent, with a total of USD 46 million.

15. The programme will fund 1,214 climate change mitigation projects. Of these, 691 (or 56.9 per cent of the total) will be EE projects. There will also be 289 sustainable land use projects (23.8 per cent of the total) and 234 RE projects (19.3 per cent of the total).
16. The programme will achieve GHG emission reductions of 5.8 million tonnes of carbon dioxide equivalent (MtCO₂eq) over its 10-year lifespan. More specifically, sustainable land use projects are expected to achieve GHG emission reductions of 4.8 MtCO₂eq, representing 81.9 per cent of the programme's total GHG emission reductions. RE and EE projects are estimated to achieve GHG emission reductions of 0.7 MtCO₂eq (12.4 per cent) and 0.3 MtCO₂eq (5.7 per cent), respectively.
17. Moreover, the funding proposal estimates total GHG emission reductions of 10.7 MtCO₂eq over a period of 20 years, 10 years beyond the programme's lifespan. This calculation can be considered reasonable for the impact projection of RE and sustainable land use projects, which, in general, have longer investment periods. However, such a long impact projection period could lead to an overestimation of GHG emission reductions from EE equipment and projects given their relatively short investment life.
18. The programme will provide financial support for 1,214 SMEs (including farmers) to promote investments in climate change mitigation projects in the participating countries. The AE aims to ensure that at least 39 per cent of SMEs supported by the programme are women-owned. In total, approximately 36,420 people will be reached through the programme's awareness-raising efforts.
19. The independent Technical Advisory Panel (TAP) considers the impact potential of the programme as "medium/high".

1.2 Paradigm shift potential

Scale: Medium/High

1.2.1. Potential for knowledge-sharing and learning

20. The key barriers that have been identified for investments in small-scale RE, EE and land use sector projects are primarily:
 - (a) The lack of suitably priced financing of long tenor; and
 - (b) The limited awareness and knowledge among LFIs and SMEs of the benefits and technology of climate change mitigation projects.
21. The programme will assist LFIs in overcoming these barriers by offering funding of longer tenor priced at submarket rates to on-lend to climate change mitigation projects. Additionally, the programme will assist not only LFIs but also TSPs and investors through capacity-building and awareness-raising.
22. The programme will help LFIs, TSPs and SME investors to explore and develop an inventory of the best and most suitable technologies and practices in their respective sectors and national context. This will help to scale up and replicate the programme, which will contribute to promoting a favourable environment for investments in climate change mitigation projects in the participating countries. The experience and track record that LFIs gain and establish through the programme is expected to revert the credit perspective of LFIs regarding the financing of climate change mitigation projects. Nevertheless, the scaling-up and replication of the programme may continue depending on the availability of necessary concessional funding of longer tenor and submarket pricing that can be offered to LFIs.

1.2.2. Contribution to the creation of an enabling environment

23. Programme monitoring and evaluation will enable a process of continuous improvement. Lessons learned will be shared and applied to improve the programme in the participating countries as part of the programme's technical support. CAF will develop and implement a communication and dissemination strategy that will include measures to engage women and women-owned SMEs. A portfolio of success stories will be developed to help demonstrate the programme's value to LFIs, TSPs and government agencies. These lessons learned and success stories will be included in various promotional materials and published on the programme website.

24. All participating countries have the necessary legal frameworks in place to enhance investment in climate change projects. Moreover, this programme is well-aligned with national GHG emission reduction targets and priorities. The programme's successful performance and the creation of a favourable market environment are expected to encourage and support national and local authorities in prioritizing strong policies in the RE, EE and land use sectors.

25. The independent TAP views the programme's paradigm shift potential as "medium/high".

1.3 Sustainable development potential

Scale: High

1.3.1. Environmental co-benefits

26. The programme will contribute to the development of 234 RE generation projects in this region, where fossil fuel generation remains the primary source of electricity. It will generate 1,168 gigawatt hours (GWh) of RE and achieve energy savings of 1,270 GWh over the investment lifetime.

1.3.2. Economic co-benefits

27. The programme is expected to convert 21,662 hectares (ha) of land area to sustainable uses, resulting in production income from timber and other land use projects over the programme's lifetime. Productivity of SMEs would be improved as a result of efficient energy consumption. The AE estimates that additional income of USD 31 million in total would be generated by the end of the investment period.

28. It is estimated that, for every USD 1 million that is invested in EE projects, 14.4 jobs are created. Thus, the programme's EE projects will generate approximately 989 jobs. For every MW installed for RE projects, it is estimated that 6.65 jobs are created. Through the programme, this will generate over 283 jobs.

29. Furthermore, land use mitigation investments generate additional jobs because the system complexity increases in line with the increase in area efficiency. Therefore, it is estimated that 3,899 jobs will be created from low-carbon land use investments based on the target area, and the average number of 0.18 jobs created per ha.

30. In total, the programme is projected to create 5,171 jobs in the climate change sector in the participating countries.

1.3.3. Social co-benefits

31. Of the 110 LFI staff (10 staff per each LFI) expected to participate in the programme's trainings and workshops, the programme aims to ensure female representation of 50 per cent.

32. The programme also aims to strengthen the provision of credit lines to women-owned SMEs. It plans to make at least 39 per cent of its beneficiaries (borrowers) women-owned SMEs and to offer at least 30 per cent of its funding amount to women-owned SMEs. In Latin America from 2011–2012, only 22 per cent of loans were provided to women-owned SMEs, even though they represent 39 per cent of the total SMEs.

33. The independent TAP assesses the sustainable development potential of the programme as “high”.

1.4 Needs of the recipient

Scale: High

1.4.1. Absence of alternative sources of financing

34. According to a global study undertaken by the Organisation for Economic Co-operation and Development in 2018, the average interest rate spread for loans to SMEs and larger enterprises was between 3.52 and 12.70 percentage points in participating Latin American countries. This difference in lending conditions, which is based on company size, is indicative of the difficulties SMEs face in accessing attractive commercial financing.

35. Securing commercial lending for new technologies – such as clean energy solutions and climate change mitigation practices in land use – poses additional challenges to SMEs. These technologies tend to have higher upfront costs and offer lower returns, making their payback period longer than that of ordinary investments.

36. The commercial banking market in the participating countries offers SMEs short-term loans. While the tenor for these loans has recently become longer, it rarely extends to a tenor of five years with adequate terms.

37. Therefore, GCF financing is critical for the success of the programme. Without GCF financing, the programme would be unable to provide LFIs with longer-tenor, submarket-priced funding to overcome the current market and financial barriers that limit the promotion of small-scale RE, EE and sustainable land use projects.

1.4.2. Need for strengthening institutions and implementation capacity

38. The existing market for LFI-financed climate change projects in participating countries is very small. Very few LFIs offer dedicated financial products that can suitably fund these types of projects. According to the evaluation conducted by CAF, only 9 out of the 56 LFIs that were assessed in the target countries offer dedicated green financial products. Of these, only two specialize in land use, seven focus on sustainable energy, and four offer green finance for both the sustainable energy and land use sectors.

39. Therefore, the programme addresses the needs of LFIs to enhance institutional capacity and create a favourable environment in order to expand their involvement in financing small-scale RE, EE and sustainable land use projects in the participating countries. The programme will assist with the establishment of specific markets for local climate change projects by creating links between LFIs and TSPs, and by standardizing performance-based contracts between TSPs and beneficiaries

40. The independent TAP regards the needs of the recipient as “high”.

1.5 Country ownership

Scale: High

1.5.1. Existence of a national climate strategy

41. All four participating countries have a national policy framework and relevant domestic policy to foster climate change mitigation projects in RE, EE and sustainable land use activities to counter climate change impacts. The programme will support selected LFIs that will contribute to the national targets set out in nationally determined contributions (NDCs).

42. In accordance with its NDC, Chile aims to reduce its GHG emissions by 30 per cent below its 2007 level by 2030 (35–45 per cent of these reductions will be contingent on international financial support). The NDC has identified energy, agriculture, land use, land-use change and forestry (LULUCF) as priority sectors for mitigation. Energy is the largest contributor to the country's GHG emissions, representing 75 per cent of total GHG emissions, followed by agriculture (15 per cent). By 2025, the country aims to increase the share of clean energy to up to 20 per cent of energy generation and reduce energy consumption by 20 per cent. The Government of Chile's policies and initiatives in the agriculture sector recognize the importance of the sector in mitigating GHG emissions and include measures to support climate change adaptation and mitigation. Chile is aiming to reforest 100,000 ha of degraded land with its own resources by 2035.

43. In its intended nationally determined contribution (INDC), Ecuador aims to promote RE to reduce GHG emissions in the energy sector by 20.4–25.0 per cent compared with the business-as-usual scenario. The energy sector and the agriculture, forestry and other land use sector are the largest contributors, accounting for 50 and 43 per cent of the country's total GHG emissions, respectively. Ecuador's INDC further outlines targets to reduce GHG emissions from deforestation and forest degradation through reforestation and the promotion of sustainable production systems.

44. Panama's NDC highlights the importance of the energy and LULUCF sectors. The LULUCF sector contributes 80 per cent of the country's national GHG emissions, while the energy sector contributes 17.3 per cent. The NDC confirms the Government of Panama's intention to promote RE and EE and carry out reforestation and ecosystem restoration. Panama is aiming to achieve a 30 per cent share of RE in all installed capacity by 2050 compared with a share of 7 per cent in 2010, excluding hydropower. In terms of the LULUCF sector, the country has set a target of an increase in carbon dioxide (CO₂) absorption capacity of at least 10 per cent by 2050 compared with the baseline scenario without the NDC. With international support, it could be further increased by up to 80 per cent.

45. Peru's INDC reaffirms the importance of promoting RE sources and reducing deforestation and forest degradation. Half of Peru's national GHG emissions are attributed to LULUCF. By 2030, Peru aims to reduce its GHG emissions by 30 per cent compared with the business-as-usual level, which is also subject to the availability of international financing and the establishment of favourable conditions. The country's National Energy Policy for the period 2010–2040 promotes RE and EE and the development of an energy sector with minimum impact on the environment, including by reducing the sector's contribution to national GHG emissions. The National Strategy on Forests and Climate Change (2016) promotes a reduction in deforestation and degradation and the conservation of 54 million ha of primary forests as a national priority.

1.5.2. Capacity of accredited entities or executing entities to deliver

46. Created in 1970, CAF is a multilateral development bank owned by 19 countries – more specifically, by 17 countries in Latin America, Portugal and Spain, and 13 private banks in the region. CAF promotes sustainable development and regional integration in Latin America by offering financial assistance to both the public and private sectors. At the end of 2018, the total loan and investment portfolio of CAF amounted to USD 25.1 billion, with over 150 operations approved for a total of USD 13.6 billion. The long-term credit rating of CAF is AA– according to Standard & Poor’s and Aa3 according to Moody’s Investor Service.

47. Over 28 per cent of the portfolio of CAF includes green finance focusing on EE, RE solutions, sustainable transport, and climate change adaptation through disaster risk reduction and ecosystem services. The objective of CAF is to achieve a 30 per cent share of green finance in its portfolio. In 2019, CAF approved the financing of facilities totalling USD 6.4 billion for financial institutions in its member countries.

48. CAF has also developed the programme for green business and energy efficiency (PNVEE) to stimulate the expansion of green credit lines to its LFI clients. PNVEE includes technical tools to help LFIs to better understand green business and EE opportunities. Through PNVEE, CAF will provide USD 95 million to the programme.

49. CAF has direct investments in sustainable land use projects across Latin America. Its assistance includes financial and technical support for agriculture, sustainable forest management and REDD-plus.

1.5.3. Engagement with civil society organizations and other relevant stakeholders

50. CAF supports governments in relation to sector policy and regulatory development. It has engaged directly with local authorities with regard to sustainable energy, EE and land use policy formulation, implementation and financing. CAF also has extensive experience with multi-stakeholder engagement in the target countries with respect to the transportation, hydropower, biomass and sustainable land use sectors.

51. During the preparation of the funding proposal, CAF engaged in discussions with the participating countries’ national designated authorities and LFIs. TSPs and banking associations were also involved in the discussions, in addition to SMEs, SME associations and entities with knowledge and interest in the sectors targeted by the programme. Consultations with women-led SMEs were also carried out.

52. No-objection letters issued by the national designated authorities of the four participating countries are attached to the funding proposal.

53. The independent TAP assesses the country ownership of the programme as “high”.

1.6 Efficiency and effectiveness

Scale: Medium

1.6.1. Cost-effectiveness and efficiency regarding financial and non-financial aspects

54. The programme requires GCF and CAF to contribute USD 100.0 million and USD 50.2 million, respectively, for a total of USD 150.2 million. The programme will achieve GHG emission reductions of 5.8 MtCO₂eq over its 10-year lifespan, resulting in a cost of USD 25.8 per tCO₂eq. The GCF cost per tCO₂eq is estimated to be USD 17.2.

55. Taking into account the long investment period of RE and sustainable land use projects and applying a projected 20-year mitigation period for the programme, the programme's total GHG emission reductions are projected to amount to 10.7 MtCO₂eq. In this case, the cost of the GHG emission reductions is estimated to be USD 14.0/tCO₂eq. The GCF cost per tCO₂eq would decline to USD 9.3.

56. The programme estimates that sustainable land use projects will be the most efficient, achieving GHG emission reductions of 8.7 MtCO₂eq, or 81.6 per cent of the programme's total emission reductions, with a funding allocation of USD 43.5 million, which equates to 30.0 per cent of the USD 145.0 million for LFIs to on-lend. RE projects are estimated to deliver GHG emission reductions of 1.3 MtCO₂eq (12.5 per cent) with a funding allocation of USD 46.4 million (31.7 per cent). With regard to EE projects, a funding allocation of USD 55.2 million is anticipated, resulting in GHG emission reductions of 0.6 MtCO₂eq, or 5.9 per cent of the total GHG emission reductions of the programme.

57. Given the estimation that the performance of sustainable land use projects will determine the programme's overall success and efficiency, the TAP reached an agreement with the AE that the AE should endeavour to maintain the distribution of financing among the RE, EE and sustainable land use sectors as presented in the funding proposal. More specifically, the total amount of financing for the sustainable land use sector committed by LFIs to their borrowers/beneficiaries will not be equal to or less than 20 per cent of the total loan amount committed by LFIs in the programme, except in the two years after the first disbursement. The agreement is reflected in the term sheets.

58. The programme's funding of USD 145.0 million will be lent to LFIs, which in turn will on lend to SMEs for RE, EE and sustainable land use projects. GCF is requested to provide a USD 95 million fund priced at submarket rates to incentivize SMEs to borrow and invest in RE, EE and sustainable land use projects. The concessionality of GCF funding will be passed on to LFIs, and ultimately to SME borrowers.

1.6.2. Amount of co-financing

59. GCF will contribute funding to the programme in the total amount of USD 100 million (a USD 95 million loan plus a USD 5 million grant). The GCF contribution will be matched with USD 50.2 million in funding from CAF (a USD 50 million loan and a USD 0.2 million grant). Accordingly, the co-financing ratio is estimated to be 0.50.

60. The funding contributed by GCF and CAF, except for a USD 5.2 million grant, will be lent to LFIs and, in turn, lent to investors for investing in RE, EE and sustainable land use projects. While LFIs do not contribute their own funds, the AE assumes that investors (borrowers) will invest their own capital in the projects, amounting to a total of USD 35.0 million. Therefore, the GCF contribution of USD 100 million will leverage a total of USD 80.2 million (including the CAF loan and grant contribution) with a ratio of 0.8.

1.6.3. Programme/project financial viability and other financial indicators

61. The programme includes a technical assistance component to train and support LFIs in assessing the technology and financial viability of RE, EE and sustainable land use projects. The projects' financial viability varies depending on both the type of project and the country. As LFIs assume credit risk, the potential projects' financial and technical viability will be assessed and confirmed by LFIs with the programme's technical support.

62. GCF and CAF will jointly assume the credit risk of LFIs. Participating LFIs have been screened and selected by CAF out of those that share sustainable and green finance goals, have an environmental and social safeguard management system in place, and maintain a satisfactory credit and operational history with CAF.

63. The sustainability of the programme's intervention in the target countries after the end of the programme is likely to require concessional funding. Financial and commercial bottlenecks hindering the promotion of small-scale RE, EE and sustainable land use projects will, however, be eased as a result of the programme's intervention.

1.6.4. Industry best practices

64. Through its technical support and awareness-raising component, the programme will help LFIs to develop the necessary technical capacity to review and fund climate change mitigation projects effectively. As part of this component, standardized performance-based contracts between TSPs and beneficiaries will be developed. In addition, the capacity of LFIs, TSPs and beneficiaries/SMEs will be improved and a monitoring and reporting framework of climate results will be established for LFIs.

65. The programme also promotes suitable technologies and practices for RE, EE and land use climate change projects. The sustainable technologies expected to be deployed for RE and EE are relatively consistent across the six participating countries. However, land use project types may vary considerably. CAF has developed a comprehensive list of technical references, guidelines and manuals to be consulted during implementation of the programme.

66. It is expected that industry best practices will evolve in the EE, RE and sustainable land use sectors in the participating countries as technologies and practices are continuously reassessed by LFIs, TSPs and SMEs to adopt the most effective and efficient applications during the programme's lifespan.

67. The independent TAP assesses the programme's efficiency and effectiveness as "medium".

II. Overall remarks from the independent Technical Advisory Panel

68. The independent TAP recommends that the Board approve the programme as presented.

69. The programme aims to reduce GHG emissions in Chile, Ecuador, Panama and Peru through locally financed and developed small-scale climate change mitigation projects in the RE, EE and land use sectors. The programme will assist LFIs, TSPs and SME investors/borrowers in overcoming financial and technology barriers by offering not only concessional funding but also technical support for capacity-building and awareness-raising.

Reply to the Independent Technical Advisory Panel assessment findings (FP149)

Proposal name: Green Climate Financing Facility for Local Financial Institutions in Latin America

Accredited entity: Corporación Andina de Fomento (CAF)

Impact potential
AE concurs with iTAP assessment
Paradigm shift potential
AE concurs with iTAP assessment and remarks. The AE acknowledges that the scaling-up and replication of the programme might rely on the availability of necessary concessional funding of longer tenor as highlighted by the iTAP. Nevertheless, the consultation process carried out also revealed that major barriers are the lack of understanding of the business of many LFIs, the lack of proper information regarding these technologies among SMEs and the lack of linkages between TSPs, SMEs and LFIs. Thus, as part of the activities of the Programme, emphasis will be given to strengthen capacities to LFIs, TSPs and SMEs for reducing the knowledge and information gaps, including among others: development of bankable projects pipelines within LFIs, development of standardize-performance contracts, which will help clients and providers to have a clear and transparent contractual arrangement to negotiate investments; and activities to increase knowledge of mitigation and financial benefits, among all SMEs and LFIs. The replication and scaling up is expected to be promoted through all these activities as well, which will also have a positive impact in accessing future resources from the LFIs for these technologies and sectors, considering the knowledge acquired through the programme.
Sustainable development potential
AE concurs with iTAP assessment and remarks.
Needs of the recipient
AE concurs with iTAP assessment and remarks.
Country ownership
AE concurs with iTAP assessment and remarks.
Efficiency and effectiveness

AE concurs with iTAP assessment and remarks.

As stated in the iTAP's assessment the AE acknowledges that sustainable land use projects will be the most efficient, and therefore will consider different strategies during the implementation of the Programme, aimed at targeting and engaging with potential beneficiaries of this sector to ensure the maintenance of the distribution of financing among the RE, EE and sustainable land use sectors as presented in the funding proposal; and complying with the agreement included in the Term Sheet, namely, that the total amount of financing for the sustainable land use sector committed by LFIs to their borrowers/beneficiaries will not be equal to or less than 20 per cent of the total loan amount committed by LFIs in the programme, except in the two years after the first disbursement.

Overall remarks from the independent Technical Advisory Panel:

AE concurs with ITAP assessment.

ANNEX 8 – GENDER ASSESSMENT AND PROGRAMME LEVEL ACTION PLAN

CAF has long-standing experience working on topics related to financing and gender in Latin America.

This assessment and the resulting Gender Action Plan are based on key literature published, initial discussions with LFIs, and was informed by various studies, consultations and workshops conducted by CAF throughout Latin America. A notable recent effort co-financed by CAF was wide ranging study conducted in the financial sector throughout Latin America with the objective to present and promote different alternatives for Latin American financial institutions to improve financial services for women.¹ Further consultations will be conducted in the inception phase, and ongoing stakeholder engagement events, including events targeted at women-owned SMEs, will ensure ongoing engagement of men and women.

Gender Assessment

Program Description²

The program objective is to reduce greenhouse gas emissions in Latin America through locally financed and developed climate change projects in Latin America. Specifically, the program will focus on the energy and land use sectors, both of which are major contributors to GHG emissions in participating countries (Chile, Ecuador, Panama, and Peru).

The program consists of a financial component and technical/ awareness raising component:

- **Financial Component (Loan/ Credit Risk Guarantee)**
 - Output 1.1 Green Finance Credit Line for LFIs
- **Technical Support and Awareness Building Component**
 - Output 2.1 Climate change and mitigation awareness raising
 - Output 2.2 Enabling environment activities for development of Projects
 - *2.2.1 Matchmaking between LFIs and solution providers*
 - *2.2.2 Standardized performance-based contracts for solution providers*
 - Output 2.3 Technical support and capacity building
 - *2.3.1 Technical support for LFIs*
 - *Technical support for project development and assessment*
 - *Strengthening environmental and social management systems*
 - *Technical support for GHG baseline definition and MRV*
 - *2.3.2 Technical support for SMEs/TSPs*

¹ Accessible online under: <https://www.ecobankingproject.org/catapultando-poder-financiero-la-mujer-caso-negocios-instituciones-financieras-america-latina-ya-cuenta-version-ingles/?lang=en#.XABstttKipo>

² A more detailed description can be found above in Section 3, or in the full program proposal submitted to the GCF.

- Technical support for project feasibility
- Technical support for GHG baseline definition and MRV
- Output 2.4 Dissemination and learning reinforced
 - *2.4.1 Communication and visibility*
 - *2.4.2 Lessons learned and stakeholders' engagement activities*

Through these components and sub-components, the project aims to:

- Identify, finance and implement bankable climate change projects in the energy and land use sectors, providing improved incentives for solution providers and LFIs;
- Strengthen interest by LFIs in climate change projects, where LFIs increasingly see climate change projects are bankable and necessary projects;
- Increase volume of finance, with suitable financing conditions, for low-carbon investments in the energy and land use sector in Latin American countries;
- Improve awareness of solution providers on climate-change benefits, including financial and non-financial benefits;
- Strengthen the capacities of LFIs for monitoring, evaluation and reporting for climate change projects; and
- Improve opportunities for women to access finance for climate change projects in participating countries.

Existing Gender Inequality: Overview

The highest gender inequality index (GII) is in Panama (0.460), and the lowest is in Chile (0.288; Table 1).³ A study on the gender gap⁴ conducted by the World Economic Forum in 2018 found different results with Ecuador ranking 41st internationally, followed by Panama (45), Peru (52), and Chile (54).⁵ The following sub-sections will provide more detailed information on key areas related to gender inequality in the program's target countries.

Table 1: Overview of gender development index, gender inequality index, and global gender gap rankings

³ UNDP 2019

⁴ Assessed the gap across four categories: economic participation and opportunity, educational attainment, health and survival, and political empowerment. In total 14 indicators are used to develop the overall Global Gender Gap Index used by the World Economic Forum. More detailed information on the indicators is available online: http://www3.weforum.org/docs/WEF_GGGR_2018.pdf

⁵ World Economic Forum 2018

Country	Gender Development Index (GDI) ⁶	Gender Inequality Index (GII) ⁷	Global Gender Gap Ranking ⁸ (2018)
Chile	0.962	0.288	54
Ecuador	0.980	0.389	41
Panama	1.005	0.460	45
Peru	0.951	0.381	52

Source (unless noted otherwise): UNDP Human Development Reports, <http://hdr.undp.org/en/countries>;

Poverty and income

Gender inequality is still a challenge in the program's target countries, although all countries have made major advancements in promoting gender equality along with socio-economic development during the last decades. In terms of the human development index, Chile has the highest average HDI ranking of the program's target countries, ranking 42nd globally in 2019.⁹ When focusing on the HDI disaggregated by gender, women have a lower HDI than men in all of the program countries, with the exception of Panama.

Table 2: Human development index (HDI) disaggregated by gender

Country	Human Development Index	
	Female	Male
Chile	0.828	0.860
Ecuador	0.748	0.763
Panama	0.794	0.790
Peru	0.738	0.776

Source: UNDP Human Development Reports, <http://hdr.undp.org/en/countries>;

Education

All countries have seen improvements in access to education for women and girls. The largest gap in women having secondary education is in Peru (57% women vs. 69% men), however this average is still higher than other countries such as Ecuador (52%; Table 3). Nonetheless, there are still substantial differences when comparing urban versus rural areas, where women in rural areas are often less likely to access secondary education.¹⁰

⁶ "The GDI measures gender gaps in human development achievements by accounting for disparities between women and men in three basic dimensions of human development—health, knowledge and living standards using the same component indicators as in the HDI. The GDI is the ratio of the HDIs calculated separately for females and males using the same methodology as in the HDI. It is a direct measure of gender gap showing the female HDI as a percentage of the male HDI." - UNDP (No Date): <http://hdr.undp.org/en/content/gender-development-index-gdi>

⁷ "The GII is an inequality index. It measures gender inequalities in three important aspects of human development—reproductive health, measured by maternal mortality ratio and adolescent birth rates; empowerment, measured by proportion of parliamentary seats occupied by females and proportion of adult females and males aged 25 years and older with at least some secondary education; and economic status, expressed as labour market participation and measured by labour force participation rate of female and male populations aged 15 years and older." – UNDP (No Date): <http://hdr.undp.org/en/content/gender-inequality-index-gii>

⁸ World Economic Forum 2018

⁹ UNDP 2019

¹⁰

In terms of literacy all countries have relatively high literacy rates. The lowest literacy rate for women is 92% of adult women in Ecuador, compared to 94% of men. Illiteracy is a barrier for many women to access information and services.

Table 3: Literacy and population with secondary education disaggregated by gender

Country	Literacy rate (% of adults 15 and above)*		Population with at least some secondary education (% ages 25 and older)	
	Female	Male	Female	Male
Chile	96 ^A	96 ^A	79.0%	80.9%
Ecuador	92 ^A	94 ^A	51.9%	51.9%
Panama	95 ^B	96 ^B	72.2%	74.8%
Peru	92 ^B	97 ^B	57.4%	68.5%

A: 2017; B: 2018

Source: UNDP Human Development Reports, <http://hdr.undp.org/en/countries>; *ILO Estimate 2019 in World Bank DataBank

Health

While access to and quality of health services has improved in program's target countries, women, especially in rural areas, tend to be more disadvantaged in accessing services. In 2017, the International Labour Organization identified 37 countries where inequities in legal health coverage for the rural population were considered 'extreme', of which 9 countries were in Latin America.¹¹

The maternal mortality rate has been in decline in all of the target regions over the last decades. Nonetheless, there are still stark differences between the program's target countries with the highest maternal mortality rate is in Panama (94 deaths/ 100,000 births), and the lowest rate is in Chile (22 deaths/ 100,000 births; Table 4).¹² In terms of adolescent birth rates (births per 1,000 women ages 15-19), Chile has the lowest rate at 41 whereas the highest rates are in Panama and Ecuador with 82 and 79 respectively.¹³ Women have longer life expectancy at birth than men in all countries, with life expectancies in the range of 73 to 82 years.¹⁴

Table 4: Maternal mortality ratio, adolescent birth rates, and gender-disaggregated lifespan

	Maternal mortality ratio (deaths per 100,000 live births)	Adolescent birth rate (births per 1,000 women ages 15-19)	Life expectancy at birth	
			Female	Male
Chile	22	41.1	82.5	77.6
Ecuador	64	79.3	79.6	74.1
Panama	94	81.8	81.6	75.2
Peru	68	56.9	79.3	73.8

¹¹ ILO 2017

¹² UNDP 2019

¹³ UNDP 2019

¹⁴ UNDP 2019

Source: UNDP Human Development Reports, <http://hdr.undp.org/en/countries>;

Political Participation & Decision Making

At the international level, all participating countries are signatories or have acceded to the Convention on the Elimination of All Forms of Discrimination against Women (CEDAW).¹⁵ The programme will further support the Sustainable Development Goal 5 “*achieve gender equality and empower all women and girls*”.

All participating countries are committed to strengthening gender equality. Each country has developed its own institutions, as well as targets, strategies and goals for enhancing gender equality within their constitutions, national development plans, strategies and sector-policies (Table 5).

Table 5. Examples of national institutions and policies supporting Gender Equality

Country	Description of Key National Policies and Institutions
Chile	▪ Constitution of the Republic of Chile ▪ National Service for Women in Chile ▪ Ministry of Women and Gender Equity ▪ Institutional Policy for Gender Equity in Science and Technology ▪ Gender Agenda 2014-2018
Ecuador	▪ Constitution of the Republic of Ecuador ▪ National Development Plan 2017-2021 ▪ National Council for Gender Equality ▪ National Agenda for Women and Gender Equality
Panama	▪ Constitution of the Republic of Panama ▪ Strategic Government Plan 2015-2019 ▪ National Women’s Institute ▪ Public Policy for Equal Opportunities for Women
Peru	▪ Constitution of Peru ▪ Ministry of Women and Vulnerable Populations (since 1996) ▪ National Plan for Gender Equality (2012-2017)

Nonetheless, while the program target countries improved their legal frameworks and policies promoting the political engagement of women, in practice women are still underrepresented in government and political decision making. Out of the program’s target countries, Ecuador has the highest share of seats in parliament for women (38%), whereas Panama has among the lowest share with only 18.3% (Table 6).¹⁶ All countries have seen increases since 2009, with the

¹⁵ All countries except for Paraguay signed and ratified the convention, whereas Paraguay acceded to the convention (providing the same rights as the original signatory). For more information refer to: https://treaties.un.org/Pages/ViewDetails.aspx?src=TREATY&mtldsg_no=IV-8&chapter=4&lang=en

¹⁶ UNDP 2019

exception of Peru which has similar levels to 2009.¹⁷ Nonetheless, considering women make up ~50% of the population, there is still needed improvement in improving the gender balance in political participation and decision making, and mainstreaming gender-equality throughout the legal and policy framework.

Table 6: Share of seats in parliament held by women

Country	Share of seats in parliament for women (%)
Chile	22.7%
Ecuador	38.0%
Panama	18.3%
Peru	27.7%

Source: UNDP Human Development Reports, <http://hdr.undp.org/en/countries>;

Resource Use & Labor Force

The United Nations Economic Commission for Latin America and the Caribbean as well as the International Labour Organization reported that there has been an 11% increase in women's participation in the labour force over the last 30 years in Latin America and the Caribbean.¹⁸ Nonetheless, the same study found that there is still a substantial wage gap with women earning on average 17% below men of the same age and economic status, and unpaid labour is often placed on women resulting in an uneven balance of workload and compensation.¹⁹

Women's participation in the national labour force is within the range of 51-70% the program region, with the highest participation in Peru and the lowest in Chile (Table 7).²⁰ In the agricultural sector, women are employed less than men with % of female employment in the sector ranging from 5% to 26%, in Chile and Peru respectively.²¹

Table 7: Labour force participation and employment in agriculture (by gender)

Country	Labour force participation (% ages 15 and older)		2019 employment in agriculture *	
	Female	Male	% of female employment	% of male employment
Chile	51.0%	74.2%	5%	12%
Ecuador	56.6%	81.8%	24%	29%
Panama	52.5%	80.5%	8%	18%
Peru	69.9%	84.7%	26%	29%

Source: Source: UNDP Human Development Reports, <http://hdr.undp.org/en/countries>; *ILO Estimate 2019 in World Bank DataBank

¹⁷ World Bank DataBank

¹⁸ ELAC 2019

¹⁹ ELAC 2019

²⁰ UNDP 2019

²¹ ILO Estimate 2019 in World Bank DataBank

Land tenure is a major barrier for women particularly in the land use sector, where women in many countries in LAC have lower access to land tenure or formal land use rights (Table 8). This has major implications for women's livelihood security and makes it difficult for many women to access credit/ finance.

Table 8. Distribution of i) agricultural holders and ii) agricultural landowners by sex (% female)

Country	Distribution of Agricultural Holders by Sex – Females	Distribution of Agricultural Landowners by Sex - Females
Chile	29.9% (2007)	N/A
Ecuador	25.4% (2000)	51% (2010)
Panama	29.3% (2001)	N/A
Peru	30.8% (2012)	12.7% (2000)

Source: FAO 2018; <http://www.fao.org/gender-landrights-database/data-map/statistics/en/>

Advances in women's access to resources includes increased access to bank accounts and/or mobile money-service providers. The following Table provides an overview of the percentage of the female population (ages 15 and older) with an account at a financial institution or with mobile money service providers. The highest percentages are found in Chile (71%), whereas the lowest are in Peru (34%; Table 9).²² While all countries show positive trends, the statistics still show a notable gap in the control and access to financial resources, and the importance of increasing women's access to finance.

Table 9: Percentage of women with an account at a financial institution or with a mobile money-service provider

Country	Women with account at financial institution or with mobile money-service provider (% of female population ages 15 and older)
Chile	71.3%
Ecuador	42.6%
Panama	42.3%
Peru	34.4%

Source: UNDP Human Development Reports, <http://hdr.undp.org/en/countries>;

Gender Violence

Gender violence is still an issue in all of the target countries (Table 10). Statistics on violence against women (from an intimate partner), show that there is a drastic difference between target countries. In Panama 14% of women over the age of 15 have experienced violence from an intimate partner, whereas Ecuador has the highest rate out of the target countries with 40% of

²² UNDP 2019

women having experienced violence.²³ Gender violence, however, is often under-reported, and it is possible that the actual statistics are much higher.

Table 10: Violence against women experienced by the female population by an intimate partner

Country	Violence against women ever experience, intimate partner (% of female population ages 15 and older)
Chile	Unavailable
Ecuador	40.4%
Panama	14.4%
Peru	31.2%

Source: UNDP Human Development Reports, <http://hdr.undp.org/en/countries>;

Acknowledging issues related to gender violence, the following Table 11 summarizes efforts in each of the target countries to eradicate gender violence. While there are women's shelters in all countries, often the availability of services is limited in rural areas. During program implementation it will be important to include the dissemination of information on gendered violence (e.g. hotlines, brochures with an overview of rights, reporting, etc.), as well as available resources available in each country.

Table 11: Examples of initiatives to address gender-based violence in the program's target countries

Country	Examples of key institutions and initiatives to address gender-based violence
Chile	Red Chilena Contra la Violencia Hacia las Mujeres:²⁴ They provide guides on how and where to report gender-based violence, as well as guidance for finding and accessing additional support services.
Ecuador	CEPAM:²⁵ Provides services and information on gender-based violence in Ecuador
Panama	- El Instituto Nacional de la Mujer²⁶ y su campaña 'A Todos y Todas Nos Toca': Campaign aims to prevent femicide and domestic violence. The Institute is also responsible for coordinating with shelters and short-stay centers for women who are victims of gender-based violence and provides information and guidance for reporting gender-based violence and accessing key services. - Establishment of the Comité Nacional contra la Violencia en las Mujeres (CONVIMU) in 2014, which focuses on issues related to gender-based violence
Peru	Observatorio Nacional de la Violencia Contra las Mujeres y los Integrantes del Grupo Familiar:²⁷ Provides educational information on gendered violence and domestic violence, including information on laws, statistics and other reports.

²³ UNDP 2019

²⁴ For more information, refer to: <http://www.nomasviolenciacontramujeres.cl/>

²⁵ For more information, refer to: <http://cepam.org.ec/experiencias/>

²⁶ For more information, refer to: <https://inamu.gob.pa/comite-nacional-contra-la-violencia-en-la-mujer/>

²⁷ For more information, refer to: <https://observatorioviolencia.pe/>

Country	Examples of key institutions and initiatives to address gender-based violence
	In addition, they provide guidance and information on available services for reporting violent acts and accessing other supporting services in Peru.

Existing Gender Inequality: Financial inclusion of women-owned SMEs in LAC

Financial inclusion constitutes an important factor for the empowerment and economic autonomy for women. To improve access to financial products and services for women allows them to broaden their opportunities from a productive, personal and financial perspective. Nonetheless, financial inclusion remains a challenge for many women globally, where there is a funding gap of \$287 billion for financing SMEs owned by women.²⁸ It has been further estimated that 70% of women-owned SMEs in developing countries have inadequate or no access to financial services.²⁹

Information Box: Key definitions

Women-owned (IFC definition)³⁰ If an enterprise is:

(A) $\geq 51\%$ owned by woman/women, OR

(B) $\geq 20\%$ owned by woman/women; AND (i) has ≥ 1 woman as EO/COO/President/Vice President; AND (ii) has $\geq 30\%$ of the board of directors composed of women, where a board exists.

Such challenges are present in Latin America and the Caribbean (LAC), where it is estimated that around 39% of SMEs across all sectors are owned by women.³¹ The number is much lower in sectors such as agriculture (see below) and can be assumed to be mostly true for the services sector. In 2011-2012, only 22% of loans in LAC were provided to women-owned SMEs.³² Globally, the estimated financing gap for women-owned SMEs is the largest in LAC at 85,638 million USD (Figure 1). In LAC, SMEs have roughly the same distribution of women-owned formal enterprises across the three main economic sectors retail, services and manufacturing. This is important for the green lending potential, as sustainable land use loans are only applicable under the category manufacturing (i.e. primary production and processing), while clean energy loans have potential demand across all three sectors.

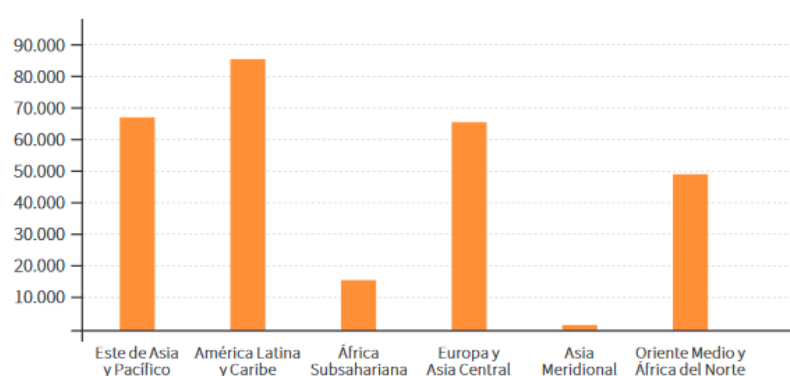
²⁸ IFC 2014

²⁹ Goldman Sachs 2014

³⁰ https://www.ifc.org/wps/wcm/connect/industry_ext_content/ifc_external_corporate_site/financial+institutions/priorities/ifcs+definitions+of+targeted+sectors

³¹ IFC 2014

³² Ernst & Young in IFC 2014



Fuente: IFC (2014). Women-Owned SMEs: A Business Opportunity for Financial Institutions.

Figure 1: Financing gap for women-owned SMEs across continents

Source: CAF 2018 based on IFC 2014

Barriers for women-owned SME Development

Related to enterprise development, barriers for women include limited business skills and networks, as well as other socio-cultural barriers. Women often do not have access to the same training as men and may have limited financial education or 'business literacy', which can limit the formation and growth of their businesses in a profitable and strategic manner.³³ Women's networks often tend to be weaker than men's networks, limiting women's professional connections, including professional support networks such as business mentors.³⁴ Socio-cultural factors can further limit enterprise development given the historical role of women contributing to unpaid household labor, where men are often more associated with enterprise development and commercial activities.³⁵ Such factors can limit women's role in making decisions, accessing household resources and in the confidence to develop and enterprise.

Barriers for Women-Owned SMEs to Access Credit

Beyond barriers for women to develop SMEs, additional barriers exist that limit women-owned SME's access to credit, including social barriers, unsuitable guarantee requirements, size of the credit and few credit products are oriented towards women, among others.³⁶

With social barriers it is often related to restrictions on mobility and time availability, especially since many women are responsible for unpaid household labor.³⁷ The above described factors related to SME development are further relevant, given the historical dominance of men in many commercial activities while women are often more associated with household labor.

Guarantee conditions further limit women's ability to access credit, as many of the requirements reflect socio-cultural discrimination, often related to the control of resources, land ownership,

³³ Ibid.

³⁴ IFC 2014; CAF 2018; Barahona et al. 2018

³⁵ Ibid.

³⁶ CAF 2018

³⁷ Ibid.

collateral, among other requirements.³⁸ Land tenure is a major barrier for women particularly in the land use sector, where women in many countries in LAC have lower access to land tenure or formal land use rights (Table B1). If women do not have formal access to land tenure, it is often extremely challenging for them to access credit for productive activities.

Given the use of income as a main factor to assess credit conditions and amounts, women are often only able to access smaller loans with unfavorable conditions (e.g. high interest rates).³⁹ While some institutions are designing financial products targeted at women, there is a gap in fully developing such products at scale that target women's financial preferences and needs, while also addressing the identified barriers that they face to access credit. Many banks focus on providing micro-credit lending for women, however, do not focus on lending small and medium loans to women.

Women's Organizations

Various women's organizations are active in each country, many working with the energy and productive sectors. The following Table 12 provides examples of such organizations where co-operation could be pursued to support program implementation, especially related to awareness raising and capacity building activities.

Table 12. Examples of organizations and associations working on gender-related topics in participating countries

Country	Examples of Organizations
Chile	- Asociación Gremial EmpreMujer - CreceMujer (Banco Estado) - Mujeres Emprendedoras
Ecuador	- Asociación de mujeres de Juntas Parroquiales Rurales del Ecuador - Unión Nacional de Mujeres de Ecuador (UNME) - Centro Ecuatoriano para la promoción y acción de la mujer
Panama	- Asociación de Empresarias y Profesionales de Panama - Asociación de Mujeres Corporativas de Panama - Asociación de Mujeres Rurales
Peru	- Asociación de Mujeres Empresarias del Peru - Asociación Mujer Peruana - Asociación de Mujeres Industriales y Empresarias - Organización Internacional de Mujeres en Negocios - Flora Tristán

Possible Impacts and Risks related to Gender

As described above, there is a major financing gap for women-owned SMEs to access financial services in LAC. Thus, business as usual practices could impact women by continuing to maintain

³⁸ Ibid.

³⁹ Ibid.

or even broaden the gap if women are not effectively targeted and empowered through supporting measures within the program.

The following social barriers will be taken into account to the extent possible when working with LFIs:

- Women face a greater workload in childcare and home responsibilities, which could affect the size and performance of a SMEs.
- The level of education and training of women entrepreneurs is lower than that of men.
- Women entrepreneurs have limited access to capital. Generally, women do not have access to financial resources, as their companies are very small, and their nature does not meet the requirements requested by the banking institutions. Women entrepreneurs are normally financed through family or friend loans, personal savings or moreover from their suppliers.
- Women entrepreneurs have less availability of access to credit in traditional commercial banks since sometimes they cannot cover the requirements to apply for a loan (for example: property titles, guarantees).
- Capitalizing is very difficult for women given the high interest rates and short credit terms, which does not allow them to have the financial support they need for growth.
- Financial institutions are generally very conservative when dealing with poor people and particularly with women. They tend to restrict their financial services, such as savings or credit, or prefer to service property owners or members of households with high income levels and large companies. In this way, these women entrepreneurs are completely out of the financial system.
- Women are often subject to discriminatory practices by financial institutions, even when their financial profile could be the same as that of men.
- Usually women receive little or no financial education.
- Women face negative stereotypes about their ability to do business.
- Women's SMEs are located mainly in the services sector, have little growth access in financial terms and face structural deficiencies reaching relevant information, management training for their own company and scarce access to information technologies. That said, women still play a key role in the energy and land use sectors, and a major barrier for them is accessing credit.

The Programme is anticipated to have primarily positive impacts by improving the access of women to finance for climate projects in the energy and land use sectors, building the capacities of women for SME operation, and improving gender-responsive M&E systems within LFIs to promote the empowerment of women and effectively monitor and evaluate the impact of lending operations on women. Additional gender-related trainings will be conducted to support women-owned SME development, and to support LFIs to strengthen their gender policy and design targeted financial products for women – helping to address key barriers that limit women's access to finance. The following section discusses key recommendations that have been integrated into the program to mitigate gender-related risks and promote positive impacts supporting the empowerment of women. These recommendations are further reflected in the Gender Action Plan.

Approach to Strengthen Gender within the Proposed Program

While the financial inclusion of women-owned SMEs is not the main objective of the program, which is aimed at establishing green credit lines with commercial banks to increase investments in clean energy and sustainable land use at the SME level, gender is seen as a cross-cutting measure to be included throughout all program components. It is of utmost importance that women are adequately included in all processes of the program at the LFI and final beneficiary level and that financial products (sub loans to SMEs) are designed and promoted in a way that it encourages uptake by women-owned SMEs.

CAF's recent report on financial inclusion of women in Latin America (CAF 2018), concludes that there are five areas of intervention for gender mainstreaming in LFI transactions (Table 13): indicator systems to account for gender impact, second tier financing, financial products, entrepreneurial development services, and financial education. The following table gives an overview of the areas that are relevant for the proposed program and the impacts, risks and barriers identified in the previous sub-section.

Table 13: Areas of gender mainstreaming under the Green Credit Line Program

Area	Agent	Action	Program phase	Beneficiaries
1) Second tier financing	CAF	Selecting LFIs that have a gender strategy or women-oriented financial products; or LFIs that are willing to develop gender-oriented financial products or a gender-strategy.	Programme preparation	Participating LFIs
2) Gender indicator systems	CAF, participating LFIs	CAF to require gender disaggregated data on sub-loans, participating LFIs to collect and report gender disaggregated data. Activity 2.5 to support LFIs to strengthen ESMS, including strengthening gender-related screening of projects, management of safeguards and additional benefits, and gender-responsive monitoring and evaluation.	Programme preparation and implementation	Participating LFIs
3) Financial Products	CAF, participating LFIs	Design and promotion of green sub-loans in ways that enhance participation of female led SMEs	Programme implementation	Women-owned SMEs
4) Entrepreneurial development services	CAF, participating LFIs	Design and promotion of entrepreneurial development services (e.g. energy efficiency audits, promotion of green investment alternatives in land use, etc.) in ways that enhance participation of female led SMEs	Programme implementation	Women-owned SMEs

Area	Agent	Action	Program phase	Beneficiaries
5) Financial education	CAF, participating LFIs	Design and promotion of training programs in ways that enhance participation of female FI staff and/or female led SMEs	Programme implementation	Women-owned SMEs, staff at participating LFIs

1. **Second level financing:** The program itself is designed in a way that gender considerations are mainstreamed throughout the preparation and implementation phase. This could have a demonstration effect in the industry and will help establish the importance of gender mainstreaming in the financial sector of the programme countries and in the LAC region as a whole. However, it should be noted as the programme is targeting LFIs and their clients directly, no program outcome will support second tier financial institutions (for example national development banks) per se, unless they decide to participate in exceptional cases like Chile, for example.
2. **Gender-responsive M&E system:** CAF will require participating LFIs to collect and report all information on sub-loans in a gender disaggregated manner. Most participating banks are doing this already, although for some this approach will be new. The consistent application of this guideline will help draw conclusions on the participation and performance (financial and in terms of mitigation benefit) of female led SMEs vis-à-vis male led SMEs, as well as the overall average. The Gender Action Plan further provides key indicators and activities that will be implemented and actively monitored to ensure the programme.
3. **Financial products:** Program design includes the promotion of green sub-loans that enhance the participation of female-led SMEs. Specifically, the program includes targets to ensure that on average 30% of program beneficiaries are women-owned SMEs. Additional trainings will be provided for LFIs on gender, including targeted financial products for women.
4. **Entrepreneurial development services:** The program has been designed to promote entrepreneurial development services in ways that enhance the participation of female-led SMEs. Trainings will be provided on SME-development for women, and through promoting partnerships with women's networks and organizations in each participating country.
5. **Financial education:** The program includes targeted trainings that aim to enhance the participation of female staff within LFIs, as well as female-led SMEs. Specific-targets have been established to ensure equitable participation of men and women within trainings, and specific trainings will be targeted for women to overcome gender-specific barriers for accessing credit and designing climate change projects.

Gender Action Plan (GAP)

The proposed program includes gender as a cross-cutting element, which has been mainstreamed into the various components and sub-components. It has been designed to promote gender equality and the empowerment of women through addressing key barriers which limit their access to financing in the energy and land use sectors in LAC.

All loans within the program must comply with CAF's environmental and social safeguards, including gender equality (S09). CAF promotes gender equality in the operations it finances. For this, it demands that there is no gender discrimination in the operations that it finances, and it

encourages (more detailed information on the safeguard, and the environmental and social risk management process are provided in the program's Environmental and Social Management Framework).

The project budget includes a total of 288,700 USD for gender mainstreaming activities (see Annex 4. Budget). This budget is for the hiring of local gender consultants that will support all the processes, and for workshops that will support the capacity building activities. Thus, the Programme will ensure that there is accompaniment of gender consultants or demonstrable gender expertise in the activities of Output 2.1 "Climate change and mitigation awareness raised" to accompany the workshops; of Output 2.2, "enabling environment" for the revision of contracts with a gender perspective; of Output 2.3 "Technical support and capacity building", in which activities they will accompany both LFIs and TSPs and SMEs - and in particular women-owned SMEs - throughout the implementation of the Programme; and those of Output 2.4 "Dissemination and learning", in which they will carry out systematization of success cases and in events and workshops to share learning. The development of Activity 2.3.1.2 Strengthening environmental and social management systems, will have a significant weight in mainstreaming gender.

In addition to this budget, PMU's Environmental and Social Specialist shall have proven knowledge and skills in gender issues to ensure that this approach is mainstreamed throughout the programme. This specialist shall co-ordinate the work of local consultants who are hired for different activities. In addition, this specialist shall co-ordinate with CAF's gender specialists.

CAF will ensure that gender-sensitization will be integrated into all trainings, and program-staff will all undergo gender trainings to ensure compliance with CAF's safeguard 09.

The following Table 14 presents the program's Gender Action Plan (GAP). The GAP demonstrates how gender-related measures have been mainstreamed into the program to promote gender equality and the empowerment of women, and to ensure that gender-related risks and potential adverse impacts are mitigated or avoided. The GAP will be used as a tool for gender-responsive M&E throughout the program's duration.

Table 14. Gender Action Plan

Action	Indicator	Timeline	Responsible Institution	Costs (USD)
Financial Component				
Sub-component 1.1 Green finance credit line for LFIs				
Evaluation of LFIs: existence and quality of gender strategies, policies or procedures; women-targeted financial products	Baseline: 0 Target: All participating LFIs (11 LFIs) have gender strategy, policy or procedures, or women-targeted financial products. If not, support will be provided within Activity 2.3.1.2 to strengthen and/or develop strategies, policies and/or procedures. MoV: Gender strategies, policies and procedures.	Programme inception phase	CAF	Included within monitoring costs (AE fee)
Program beneficiaries include women-owned SMEs. At program start LFI specific baselines will be established at portfolio level regarding gender gaps in land use and clean energy lending.	Baseline: 0 Target: An average of 25% of beneficiaries are women-owned SMEs Baselines established at portfolio level MoV: Monitoring reports, LFI-SME contracts and agreements	By program end	CAF in coordination with LFIs	
Program finance accessed by women	Baseline: 0 Target: At least 25% of overall program finance accessed by women-owned SMEs ⁴⁰ MoV: Monitoring reports, financial records	By program end	CAF in coordination with LFIs	
Technical Support and Awareness Building Component				

⁴⁰ Note that currently 22% of finance meets women-owned SMEs, thus 25% represents a realistic target given the baseline.

Action	Indicator	Timeline	Responsible Institution	Costs (USD)
Output 2.1 Climate change and mitigation awareness raising				
This activity has the objective of increasing knowledge of the Programme (and available financing) as well as climate change mitigation project opportunities focusing on the targeted sectors and countries of the Programme, highlighting the benefits of such projects and operational aspects important for accessing the financing. Participation of women-led SMEs will be actively promoted and awareness raising and gender considerations on gender gaps, barriers and additional issues women face in energy efficiency, renewable energy and land use sector will also be included in trainings.	Baseline: 0 Target: At least 185 (39%) women-owned SMEs participate in these workshops. Training materials, agendas, attendance sheets, photos, meeting summaries	By end of Year 2	CAF in coordination with LFIs	Included within monitoring costs (AE fee). A portion of the workshops' costs (total \$108,000) can be considered allocated to gender contents.
Output 2.2 Enabling environment activities for development of projects				
Activity 2.2.1 Matchmaking between LFIs and solution providers				
Matchmaking between LFIs and solution providers includes projects operated by women (women-owned SMEs)	Baseline: 0 Target: At least 25% of matches ⁴¹ made between LFIs and solution providers that support women-owned SMEs or that have a strong gender-empowerment component. MoV: LFI-SME contracts	By end program	CAF in coordination with LFIs	Included within monitoring costs (AE fee).
Activity 2.2.2 Country opportunities for standardized performance-based contracts				
Gender expert revises standardized contract template(s) for each country to ensure that the documents are gender sensitive.	Baseline: 0 Target: At least 4 standardized contracts (1 per country), written in a gender sensitive manner.	By end program	CAF in coordination with LFIs in each country	Gender consultants' costs included in budget of activity 2.2.2

⁴¹ A match is made when a meeting has taken place between the LFI, the solution provider and the SME, proven through minutes of the meeting.

Action	Indicator	Timeline	Responsible Institution	Costs (USD)
	MoV: Standardized contract templates			(20,000 USD). In addition, the Programme management team's gender expert will revise the documents.
Output 2.3 Technical support and capacity building				
Activity 2.3.1 Technical support for LFIs				
<i>Activity 2.3.1.1 Technical support for LFIs in Project Development and Assessment</i>				
Gender consultants to perform the activity: "12 on-the-job trainings on programme management and sectorial technologies (assuming 11 LFIs confirmed + 1 potential that enters de Programme). Each on-the-job programme consists of 5 days of training provided to each LFI by 2 international consultants, 1 local facilitator and 1 national gender consultant". As part of this on-the-job training, trainings for LFIs on gender and how to improve access to finance for women-owned SMEs, and to improve gender mainstreaming and monitoring for LFIs.	Baseline: 0 Target: 11 participating LFIs have been trained in programme management and sectorial technologies with gender perspective. Target: 320 staff are trained within programme activities, out of which 50% or 160 are female LFI staff (50% of 320 LFI staffed trained within the programme) MoV: Training materials, agendas, attendance sheets, photos, meeting summaries	By end of year 2	CAF in coordination with LFIs	\$ 33,450 for gender consultants and a portion of the workshops' costs
<i>Activity 2.3.1.2 Strengthening environmental and social management systems</i>				
Provision of technical support to LFIs to strengthen ESMS, including measures to ensure that both men and women benefit from projects fi-	Baseline: 0 Target: 11 participating LFIs have strengthened ESMS, including measures	By end of year 2	CAF in coordination with LFIs	\$111,000 dedicated for gender experts within assessment

Action	Indicator	Timeline	Responsible Institution	Costs (USD)
nanced by the LFI, promoting gender-responsive monitoring of investments, and ensuring that supported investments do not widen gender gaps or produce adverse impacts. LFIs will be encouraged to also disseminate information on gender-based violence, and brochures/ information on available in-country initiatives and resources to report gender-based violence, as well as information on other relevant gender-related initiatives. LFIs must also provide information on the complaints and grievance redress mechanism to all beneficiaries (see ESMF Annex H for more detailed information).	to enhance gender-sensitive and responsive monitoring. MoV: revised ESMS for each LFI (documentation reports/ policies, etc.), LFI audits to ensure its application			teams, however many other activities will strengthen ESMS, including gender (total budget of \$1.394 million)
<i>Activity 2.3.1.3 Technical support for GHG baseline definition and MRV</i>				
One local gender consultant per country for assisting the local consultants in providing capacity building in gender-sensitive M&E. They will be reporting to the E&S and Gender Specialist of the PMU.	Baseline: 0 Target: 11 participating LFIs have strengthened gender-sensitive and responsive monitoring. MoV: Training materials, agendas, attendance sheets, photos, meeting summaries.	By end of year 2	CAF in coordination with LFIs	\$ 64,000
<i>Activity 2.3.2 Technical support for SMEs/TSPs</i>				
<i>Activity 2.3.2.1 Technical support for Project feasibility</i>				
Trainings on green business literacy for women-owned SMEs in the energy and land use sector together with women's organizations and LFIs in participating countries	Baseline: 0 Target: 60 women-led SMEs are trained in green business literacy in the energy and land use sector together with women's organizations and LFIs in participating countries. 50% of participants in trainings, workshops and conferences are women.	By end of Year 2	CAF in coordination with LFI	\$112,000

Action	Indicator	Timeline	Responsible Institution	Costs (USD)
	MoV: Training materials, agendas, attendance sheets, photos, meeting summaries			
<i>Activity 2.3.2.2 Technical support for GHG baseline definition and MRV</i>				
Workshops - Trainings for SMEs in developing GHG baselines: 3 workshops per year in year 1, 2, 3 (in total, 36 workshops)	Baseline: 0 Target: 288 women-led SMEs are trained in developing GHG baselines (39% of participation of women-led SMEs). MoV: Final communication and dissemination strategy	By end of Year 3	CAF in coordination with LFIs	Included in monitoring costs (AE fee) and responsibilities of Programme's Gender specialist.
Sub-component 2.4 Dissemination and learning				
<i>Activity 2.4.1 Communication and visibility</i>				
Development of a communication and dissemination strategy that includes measures to engage women, women's organizations and women-owned SMEs	Baseline: 0 Target: Communication and dissemination strategy elaborated, including measures to engage women, women's organizations and women-owned SMEs. MoV: Final communication and dissemination strategy	By end of year 1	CAF in coordination with LFIs	\$255,000 total cost of activity - \$30,000 exclusively for gender
Implementation of communication and dissemination strategy, and awareness raising campaigns targeted at women's groups and women-owned SMEs	Baseline: 0 people reached through awareness raising, strategy not implemented Target: Strategy implemented, with a focus on engaging women. Target: 55,000 people reached through awareness building efforts (50% women) MoV: Attendance sheets/ records from workshops, webinars, and other stakeholder events	By program end	CAF in coordination with LFIs	

Action	Indicator	Timeline	Responsible Institution	Costs (USD)
<i>Activity 2.4.2 Lessons learned and stakeholders' engagement activities</i>				
Women-led SMEs success stories: Develop a case study of inclusive finance in mitigation projects identifying women led-SMEs which were allocated a credit for the first time for mitigation technologies: EE, ER and land use projects.	Baseline: 0 Target: success story elaborated. MoV: Final format	By year 5	CAF in coordination with LFIs	\$22,500
Learning workshops, targeted presentations for dissemination of lessons learned to key stakeholders with: i) government institutions; ii) industrial/sectorial association of SMEs; iii) TSPs. Participation of women-led SMEs and representation of women from the institutions will be promoted. Lessons learned on gender issues will be particularly shared.	Baseline: 0 Target: Learning workshops and targeted presentations, with a focus on engaging women. Target: 50% women participation. MoV: Attendance sheets/ records from workshops, webinars, and other stakeholder events	By year 5	CAF in coordination with LFIs	Included in monitoring costs (AE fee)
Programme management				
Programme management team includes a Gender, E&S specialist to mainstream the E&S and gender issues throughout the implementation of the Programme.	Gender, E&S specialist included in Programme Management Unit	Throughout programme duration	CAF	\$215,000 for Gender, E&S specialist, in addition to Local gender specialists
Programme management team includes gender specialist to monitor the implementation of the GAP and support LFIs to implement gender-related components of the program. Budget dedicated for the ongoing monitoring of the GAP.	Gender specialist assigned for program evaluation and monitoring; Budget dedicated for the monitoring and implementation of the GAP	Punctual input throughout program duration	CAF	Included in monitoring costs (AE fee)

Action	Indicator	Timeline	Responsible Institution	Costs (USD)
Regular reporting on GAP progress according to program timeline and monitoring protocol	Project Reports include GAP progress (e.g. Inception report, annual program monitoring reports, final program report)	Throughout program duration	CAF and participating LFIs	

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